KOLTE • PATIL
Creation, not construction.

To,
The Assistant Manager,
National Stock Exchange of India Limited
Listing Department, 'Exchange Plaza',
Bandra Kurla Complex,
Bandra (East),
Mumbai – 400051

To,
The General Manager,
BSE Limited,
Corporate Relationship Department,
1st floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Date: 19 September 2016

Sub: Submission of Annual Report for the financial year ended on 31 March 2016

Ref: NSE Symbol and Series: KOLTEPATIL and EQ
BSE Code and Scrip Code: 9624 and 532924

Dear Sir/Madam,

Pursuant to Regulation 34 (1) of SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015, please find attached herewith Annual Report for the financial year ended 31 march 2016.

This is for your information and record.

Thanking you,

For Kolte-Patil Developers Limited

Kolte-Patil Developers Ltd. Pune

Vinod Patil
Company Secretary and Compliance Officer
Membership No. A13258

Encl.: As above

Kolte-Patil Developers Limited
Annual Report 2015-16

15/16

The Power of Execution

Building faster. Marketing faster. Collecting faster.

Corporate information

Board of Directors and Key Managerial Personnel:

Mr. Rajesh Patil : *Chairman and Managing Director*

Mr. Naresh Patil : *Vice Chairman*

Mr. Milind Kolte : *Executive Director*

Mrs. Sunita Kolte : *Non-Executive Director*

Mrs. Vandana Patil : *Non-Executive Director*

Mr. Prakash Gurav : *Independent Director*

Mr. Umesh Joshi : *Independent Director*

Mr. Jayant Pendse : *Independent Director*

Mr. G. L. Vishwanath : *Independent Director*

Mrs. Manasa Vishwanath : *Independent Director*

Mr. Gopal Sarda: *Chief Executive Officer (Mumbai) and Group President*

Mr. Atul Bohra: *Chief Financial Officer*

Mr. Vinod Patil: *Company Secretary*

Registered Office:

2nd Floor, City Point, Dhole Patil Road,
Pune – 411001
Tel. No. +91-20-66226500
Fax No. +91-20-66226511
Website: - www.koltepatil.com

Regional Office:

Bangalore:
22/11, 1st Floor, Park West, Vittal Malya Road,
Bangalore- 560001
Tel. No.:- +91-80-22243135, 22242803
Fax No. +91-80-22120654

Mumbai:
501, The Capital, G Block, Bandra-Kurla Complex,
Bandra, Mumbai- 400052
Telephone: +91 84 1190 5000 / +91 84 1190 6000

Bankers:

IDBI Bank Limited

Axis Bank Limited

State Bank of India

Vijaya Bank

HDFC Bank Limited

ICICI Bank Limited

Statutory Auditors:

M/s. Deloitte Haskins & Sells LLP
Chartered Accountants,
Firm Registration No. 117366W/W-100018
706, B Wing, 7th Floor, ICC Trade Tower,
International Convention Centre,
Senapati Bapat Road, Pune - 411016
Tel. No. +91-20-66244600
Fax No. +91-20-66244605

Registrar and Share Transfer Agent:

Bigshare Services Private Limited
E/2 &3, Ansa Industrial Estate
Sakivihar Road, Sakinaka,
Andheri (E), Mumbai- 400072
Tel. No. +91-22-40430200
Fax No. +91-22-28475207
Website: - www.bigshareonline.com
Email: - investor@bigshareonline.com

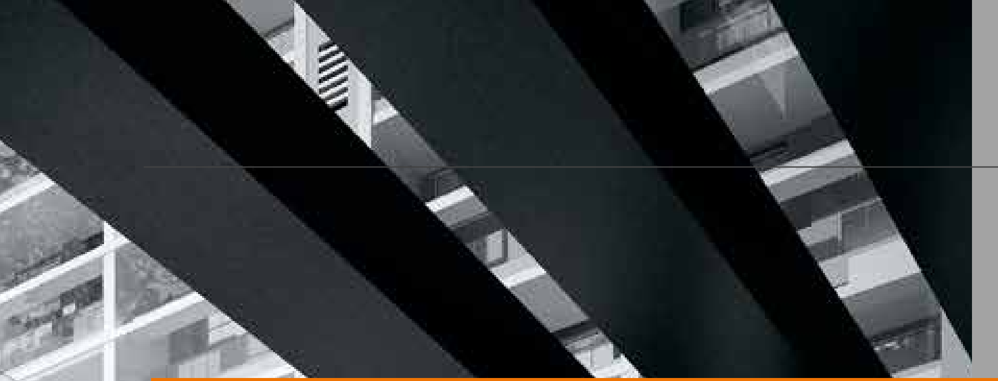
Inside

Kolte-Patil Developers Limited.

The undisputed residential real estate leader in Pune.

Now extending its presence to Mumbai.

Leveraging its strong brand to expand into the Mumbai realty market. With the objective to accelerate growth and enhance stakeholder value.



Foundation

Kolte-Patil Developers Limited is one of the most attractive proxies of India's mid-end residential real estate sector, headquartered out of Pune.

The company, promoted by Mr. Rajesh Patil, Mr. Naresh Patil and Mr. Milind Kolte commenced operations in 1991.

Over the last few decades, the company has developed several projects spanning across residential, commercial & IT parks.

Presence

Kolte-Patil Developers Limited's operations are concentrated in Pune even as the Company is extending its presence to Mumbai. The company also has an established presence in Bengaluru and presently has three ongoing and two upcoming projects in prime locations. The company is engaged in society redevelopment projects in Mumbai comprising 11 locations.

Kolte-Patil Developers Limited went public in 2007; the company's shares are listed on the Bombay Stock Exchange and National Stock Exchange (market capitalization of over ₹785 cr as on 31 March 2016).

Impact

Kolte-Patil's properties are landmarks around which locational references are created.

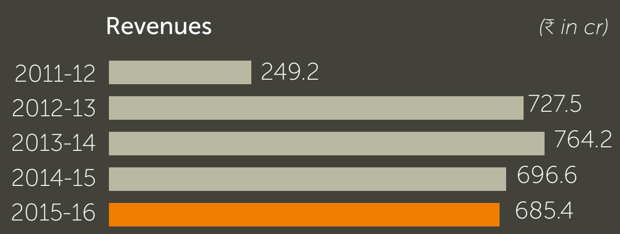
The Company's properties comprise of Life Republic in Hinjewadi, Ivy Estate in Wagholi, Downtown in Kharadi and Three Jewels in Kondhwa.

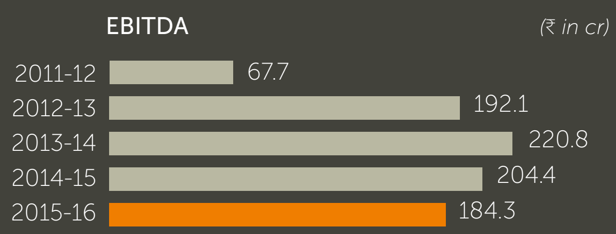
Awards and accolades

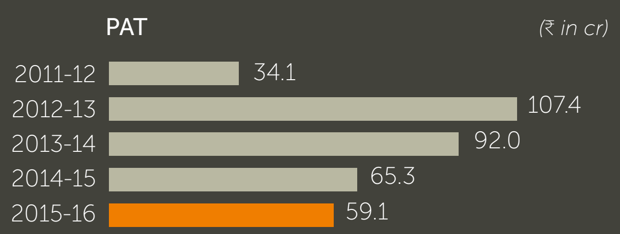
- 24K GLITTERATI, Premium Project - 2013, NDTV Award
- 24K GLITTERATI, Luxury Project - 2013, Realty Plus
- 24K GLITTERATI, Luxury Residential Project - 2013, Estate Award
- 24K ALLURA, Best Luxury Segment Project - 2013, CNBC Awaaz
- FLORENCE, 100% Complete Residential - 2013, CNBC Awaaz
- TUSCAN ESTATE, Silver Award for Brochure-AIFMP National Awards - 2014 for Excellence in Printing
- TUSCAN ESTATE, Corporate Match Box Campaign wins Best, Ooh Marketing Campaign of the Year by Realty Plus Excellence Awards – 2014
- LIFE REPUBLIC, Television Campaign of the year - 2014, Realty Plus
- LIFE REPUBLIC, Integrated Township of the year above 350 acres - 2014, Realty Plus
- LIFE REPUBLIC, Integrated Township of the year above 350 acres - 2015, Realty Plus
- Developer of the year (Residential) – 2016, Realty Excellence awards
- NEST FEST, Innovative marketing campaign of the year – 2016, Realty Plus
- IVY ESTATE, Residential property of the year – 2016, National Award for Excellence in Real Estate & Infrastructure

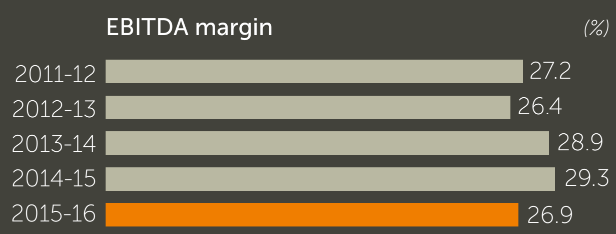
Certifications and ratings

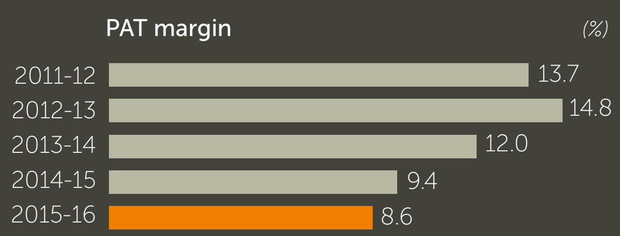
Indian Green Building Council certification for the Company's projects at: City Vista at Kharadi, Pune • GIGA Residency at Viman Nagar, Pune • Jazz Phase II at Pimple Nilakh, Pune • Sanjeevani Integrated Township LLP at Urse, Pune • Life Republic at Hinjewadi, Pune • Vibhu-KP Township at Ghotawade, Pune

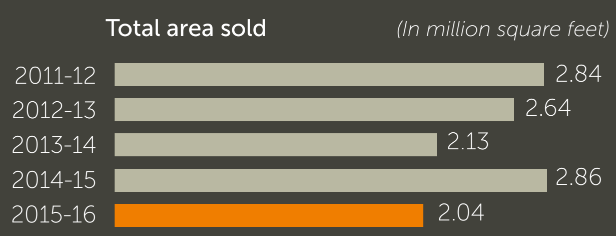

Revenues
(₹ in cr)
2011-12
249.2
2012-13
727.5
2013-14
764.2
2014-15
696.6
2015-16
685.4


EBITDA
(₹ in cr)
2011-12
67.7
2012-13
192.1
2013-14
220.8
2014-15
204.4
2015-16
184.3


PAT
(₹ in cr)
2011-12
34.1
2012-13
107.4
2013-14
92.0
2014-15
65.3
2015-16
59.1


EBITDA margin
(%)
2011-12
27.2
2012-13
26.4
2013-14
28.9
2014-15
29.3
2015-16
26.9


PAT margin
(%)
2011-12
13.7
2012-13
14.8
2013-14
12.0
2014-15
9.4
2015-16
8.6


Total area sold
(In million square feet)
2011-12
2.84
2012-13
2.64
2013-14
2.13
2014-15
2.86
2015-16
2.04

OPERATIONAL HIGHLIGHTS, 2015-16

ENGAGED IN THE EXECUTION OF
27 PROJECTS

COMPLETED AND HANDED OVER
1,500 UNITS
OF RESIDENTIAL SPACE IN 2015-16

FINANCIAL HIGHLIGHTS, 2015-16

REVENUES OF
₹685.4 CR
AS COMPARED TO ₹696.6 CR IN 2014-15

EBITDA OF
₹184.3 CR
COMPARED WITH ₹204.4 CR IN 2014-15

PAT OF
₹59.1 CR
COMPARED WITH ₹65.3 CR IN 2014-15

SALES COLLECTION OF
₹936.9 CR
COMPARED WITH ₹895.5 CR IN 2014-15

In 2015-16, the real estate industry was marked by a slowdown.

Marked by a decline in disposable surpluses. Interest rates remaining high. Buyers deferring purchase. Realty realizations either staying flat or declining. Pace of real estate construction weakening.

In this pessimistic scenario, prospective buyers trusted only one reality: Pace of project completion.

Projects that demonstrated construction speed sold homes faster than those with extended schedules.

This reality narrowed the buyer's attention and builder's priority to that one overarching differentiator.

Execution.

The delivery of a completed apartment is marked by hundreds of variables.

Site laborers leaving to harvest their crop.

Municipal clearances not arriving on time.

Excessive rain.

Unforeseen unavailability of resources.

Inadequate working capital.

Poor systems and processes.

Equipment unavailability.

At Kolte-Patil, we addressed these diverse challenges with a three-word resolution.

'Finish on time.'

'Finish on time' was not just a statement by which we encouraged people to work better and faster.

At Kolte-Patil, this was a simple statement through which we virtually reinvented the entire organisation.

In the past, timely delivery was seen as a responsibility of the construction team. In the reinvented organisation, this is seen as a holistic multi-team commitment.

In the past, timely delivery was perceived as a function of recruiting more labour. In the reinvented organisation, this is seen as the result of technology interplay, successful branding, effective marketing and superior working capital management.

In the past, timely delivery was one among a number of organisational priorities. In the reinvented organisation, this is the single overarching focus.

In the past, the word 'execution' implied a narrow focus on construction efficiency. In the reinvented organisation, the word is associated with the effectiveness of every single function.

Execution. One word. World of a difference.

The focus is not only 'How much did we sell today? **But 'How much did we construct today?'** as well.

The focus is not 'Can we match the sectoral benchmark?' The focus is **'Can we create a new sectoral benchmark?'** instead

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The focus is not 'Let us sustain all the reasons why we are able to build with speed'. The focus is **'Can we identify all the blockers preventing us from building faster?'** instead.

The focus is not only 'What is the best you can do? but **'What is the best practice you can incorporate in your working?'** as well.

The focus is not 'What are the costs that we can save?' The focus is **'What are the best investment-worthy global technologies that can shrink construction time?'** instead.

The focus is not 'How do we manage diverse risks?' The focus is **'What SOPs can control process deviations and eliminate risks?'** instead

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The focus is not 'Who said what about our construction progress?' The focus is **'What is the data saying?'** instead.

The focus is not 'We must try and retain our construction team at any cost'. The focus is **'How can we sustain construction pace driven by systems and processes?'** instead

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Diverse Kolte-Patil initiatives. Singular execution agenda.

"We appointed dedicated Project Directors for each Pune zone (East Pune, Life Republic and 24K) with the objective to accelerate construction."

"We are driven by best practices drawn not only from the real estate industry but diverse spaces, widening our exposure and willingness to learn."

"We are driven by complete compliance. We launch projects only after all municipal and government sanctions have been received, the biggest project accelerator."

"We retain adequate cash within the system so there is never a dearth of remunerating contractors and vendors, resulting in timely schedules."

"We combine the recruitment of graduates from the best construction campuses (NICMAR) with in-house training, resulting in quicker productivity."

"We have integrated SAP into our project implementation; we generate project updates in real time."

"We have created a robust senior management team with more than a decade of construction sector experience to accelerate project schedules."

"The index of our execution impact was that we generated a growing online proportion of apartment sales – from people we have never met."

"We articulated a vision to build carbon-, energy- and waste-neutral buildings."

"**We** restructured each project into a strategic business unit responsible for its own construction pace and profits."

"**We** spelt out the vision to more than double operations with adequate people."

"**We** created a 16 km pipeline to deliver water to our Ivy Estate apartment buyers."

"**We** remained debt-light, which strengthened our execution competence."

"**Our** execution competence translated into a 10-15 per cent premium over competing properties."

"**Kolte-Patil** is not a company satisfied with following the practices of its sector. It is a company that has fused the Quality Assurance and Just in Time disciplines of the manufacturing sector in its construction practices with the service orientation of the IT-BFSI sectors in its customer engagement. We strictly follow the principles of a Manufacturing Company when it comes to construction and a Service Provider when it comes to customer service"

"**We** evolved our communication from 'sold' and 'constructed' to 'delivered'."

"**The company** engaged its sales team in apartment design, examine prevailing trends and incorporate customer feedback into apartment configuration."

"**The company** recorded the customer experience across six touch points (pre-sales, customer in office, time of booking, time of registration, handover and post-possession)."

"**The company** strengthened its analytics across the customer purchase cycle, measuring the time taken per engagement and analyzing whether the engagement was too fast or too slow, inspiring proactive correction."

CHAIRMAN'S OVERVIEW

The Execution Gamechanger

The year 2015-16 was one of the most challenging in India's real estate sector in a long time.

Consumer sentiment declined. The start of a decline in interest rates turned home buyers cautious. Prospective home buyers waited for a price correction.

So even as much of India's young prospective home buyers possessed the resources to buy into an apartment of their choice and need, most simply waited, creating a challenging scenario for real estate developing companies.

It is in this context that the 2015-16 performance of Kolte-Patil must be appraised. The company reported sales of 2.0 mn sq ft in a sluggish market.

More importantly, the company protected its brand, its most valuable asset. By the close of the year under review, the brand 'Kolte-Patil' continued to evoke a recall of 'trust' and 'credibility'. The result was that we continued to lead the Pune residential market by a large margin, reinforcing our position as the undisputed market leader.

Interestingly, the big story at Kolte-Patil is not how much of residential space we successfully sold in this sluggish market. Our big story revolves around three business-strengthening initiatives that we embarked upon, the market slowdown notwithstanding. We are optimistic that even as the year was sluggish for most within our sector, through these initiatives we have created a foundation for sustainable long-term growth.

At Kolte-Patil, the principal game-changing initiative was our successful extension into Mumbai, India's commercial capital and India's largest residential market. This market is marked by formidable entry barriers. Players need deep pockets to buy into large land banks; they need an extensive understanding of regulatory requirements that can help them shrink the time required to extend drawing board concepts to actual implementation; they need differentiated designs that can attract buyers; they need persuasive marketing to sell; they need excellent working capital management to stay liquid across the project life cycle. It is because of these reasons that there is probably no instance of a successful outstation real estate developer, with an established presence in another city, having entered Mumbai and carved out an attractive share.

Our efforts over the last three years started to bear fruit. The company carved out a niche in Mumbai's challenging real estate sector. The company addressed the prospects of this market with a difference. Instead of the conventional approach of buying into a land bank and waiting patiently for prudent monetization, affecting the quality of its financials during the fallow period, the company addressed this large market through an asset-light approach. The company capitalised on opportunities arising out of Mumbai's society redevelopment sector. This approach addressed two of the biggest challenges in one stroke: obviated the need to invest upfront in a large land bank and made it possible for the company to conclude multiple project arrangements – asset-lightness at one end and scalability at the other. The result is that what would have taken us years to accomplish for a large investment was more than achieved for a fraction of the outlay. Also, projects which we had acquired in our initial years have now come in for execution with their financial closures in place. This shows the 360° approach of an execution-oriented developer wherein we came, acquired, got approvals and started construction in a short span of time.

The second big story is that even as the Pune market turned progressively hesitant, Kolte-Patil worked on getting clearances for various projects backed by financial closure. The result is that the company is now attractively placed to launch projects whenever considered timely and prudent. This attractive pipeline can translate into a slew of launches across the foreseeable future, strengthening our brand and revenue visibility.

The third initiative that I wish to speak about is how we strengthened our overall competitiveness in 2015-16. On the one hand, we could have passed off the prevailing weakness to factors outside our control; on the other,

we selected to strengthen our business through a stronger exercise of factors within our control. We embarked on initiatives to moderate costs, enhance technology-driven system controls, strengthen governance and deepen our customer relationship management (through our DISHA programme). We believe that in doing so, we are becoming increasingly competitive and proactively RERA-ready, which could translate into enhanced customer delight.

At Kolte-Patil, the cumulative impact of these three initiatives is expected to generate decent revenue growth going forward, enhanced competitiveness and a greater confidence with which to address the exciting opportunities of the future.

Rajesh Patil, *Chairman and Managing Director*

At Kolte-Patil, the principal game-changing initiative in 2015-16 was our successful extension into Mumbai, India's commercial capital and India's largest residential market.

OPERATIONS

The effectiveness of execution is drawn from the power of imagination

At Kolte-Patil, we believe that in a slowing market, there are competitive differentiators.

Timely delivery. Customer Centric Approach. Product Innovation.

The big question is not 'How much more can we sell?' **The critical question is 'How can we think differently?'**

The big question is not **'How can we raise realizations?'**

The important question is **'How can we market faster?'**

Challenges

The biggest challenge in achieving a higher standard of execution in India's real estate sector lies in the way the business is structured.

Apartment preferences change in the short-term; realty residential projects are generally unchanging across the medium-term.

Costs of diverse resources (generally out of the builder's control) keep changing; apartments are generally sold without an understanding of prospective costs.

The world is dynamic; the industry mindset is largely conventional.

Opportunity

At Kolte-Patil, we are convinced that in these challenges – rigid industry structure addressing a dynamic consumer mindset – lie opportunities.

How a company is able to adapt and customize work-in-progress projects around emerging customer needs influences its ability to succeed in a competitive market environment.

At Kolte-Patil, we possess a large portfolio of projects and apartments (sizes, positions, completion stages) that make it possible to address emerging customer needs with selections from our diverse projects.

Cultural transformation

At Kolte-Patil, we believe that our enhanced execution competence would be increasingly derived from a cultural transformation. This DNA change would be achieved through the interplay of enhanced agility, cost optimization, product standardization and increased modularity. We believe that these buckets of competence will make it possible to respond to widening customer needs with an open mindset, strengthen our ability to market what customers truly seek (as opposed to what we might want to sell), strengthen our brand as a customer-responsive company and, in doing all these, reinforce our ability to resist the sectorial slowdown.

Enhanced agility

At Kolte-Patil, we believe that success is going to be increasingly derived in our business from the ability to respond better to market needs: reduce our overall apartment ticket size with the objective to accelerate off take during sluggish sectorial environments, or graduate apartments sizes and enhance specifications during industry rebounds – even while our projects continue to be constructed. This competence will be derived from the ability to variabilise a specific component of our apartment mix, so that we retain the flexibility to respond proactively to changes in customer needs without making extensive project alterations. At our company, this flexibility is derived from the ability of the various functions working collaboratively from the design stage onwards in the pursuit of a larger organisational objective.

Cost optimization

At Kolte-Patil, we believe that in a business where we consume hundreds of products, there is always the possibility to moderate costs – not as much as through vendor negotiation as through intelligent design. We believe that design-influenced cost optimisation represents the last frontier: superior dimensional apartment refinement could help match floor space to tile size that makes it possible to eliminate tile cutting and resizing; when you buy thousands of boxes of tiles, the saving on just this one count can be substantial. Similarly, on these lines, we questioned the design dimension of every product, reconciling challenges of the best finish, best size, best volume and best price resulting in the best overall value from that product.

As an extension, when you combine the resident value upsides from hundreds of these products that go into apartment creation, you get a wider delta to work with, strengthening our viability even in the most challenging downtrends.

Product standardization

At Kolte-Patil, we believe that even as a number of our projects address the needs of diverse customer segments and, in doing so warrant the use of different products, there are a number of products that would still be common across the premium and affordable segments. At Kolte-Patil, we took this commonality one decisive step ahead; we began to work directly with product manufacturers, exploring a matching of the manufacturer's repertoire of sizes and products with our volume requirements. We believe that this has not only enhanced our ability to negotiate better in exchange for larger volumes; it has also helped us manage inventories more efficiently – a win-win proposition.

Increased modularity

At Kolte-Patil, we respond to the dynamic nature of consumer preferences through enhanced modularity. This modularity essentially implies that even as overall project offerings can be of a specific nature (premium with large apartment sizes or affordable with smaller apartment configurations), there would be a provision for reasonable product adaptation (as opposed to complete change) across a reasonable proportion of the offering. We believe that this adaptability and ability to respond in real time to what the market wants would be derived from a cultural change within, wherein our space designers work collaboratively with our marketing team.

Outlook

What excites us is that all what we have indicated is not a blueprint; it is reality.

At Kolte-Patil, we have already begun to implement these initiatives during the last financial year; they will be increasingly manifested from the current financial year onwards.

Our capacity to sustain our growth will be increasingly influenced by our capacity to fuse these diverse variables - enhanced agility, cost optimization, product standardization and increased modularity – and reinforce the overarching perception of being a truly customer-driven brand.

EXECUTION TRANSFORMATION AT KOLTE-PATIL

Before: The project planning was dictated by the construction team

After: The project planning is the result of collaborative multi-team working

Before: The company addressed projects through a silo-driven approach

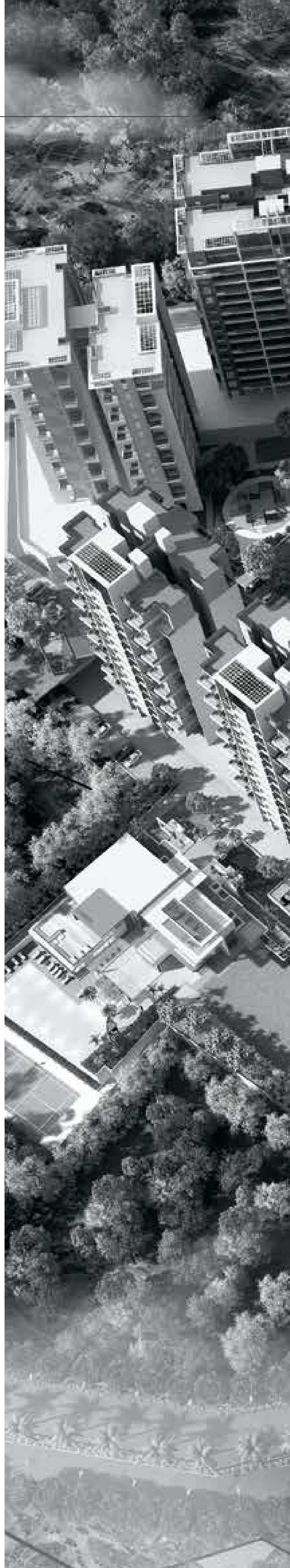
After: The company addresses project through open-plan idea aggregation

"The cultural transformation at Kolte-Patil has effectively phased four words out of our dictionary: 'It can't be done'. Nobody uses them anymore."

FINANCE

Creating a robust financial foundation for sustainable growth

Our objective is to improve capital efficiencies – even as the company is growing its geographic footprint, projects and apartment throughput.



Challenges

The company addressed a number of challenges during the year under review.

There was a growing need to protect margins even as industrywide realizations declined.

There was a premium on the need to provide each ongoing project with adequate cash flow leading to uninterrupted construction.

There was a need to grow the business without stressing the Balance Sheet.

The execution difference

The company addressed the various challenges through diverse initiatives. It focused on budgetary controls to better streamline profitability. It did multiple scenario analysis, assisting in decision making. It focused on collections to manage cash flow visibility and the capital cycle to reduce delays. Lastly, it looked at projectwise ratio analysis to expedite capital flows, thereby bettering ROCE and IRR's.

It acquired the partner's stake in a joint development project where the returns appeared more attractive than if the company had invested in another project; besides, the company selected to expand existing projects that promised enhanced revenue visibility.

It focused on cost reduction through a stronger monitoring of variables within its control as opposed to passing cost increases to customers; this extended to conscious initiatives in enhancing project/construction/people efficiency.

It strengthened financial controls, checks and balances as well as real-time monitoring and reporting, making it possible to engage in quicker reviews (monthly to fortnightly) and correct deviations with speed.

Performance

The company switched high cost debt priced at 14-15 per cent to around 12 per cent in line with the robustness of its Balance Sheet and credibility.

Outlook

- The focus of the Company in 2016-17 will be on execution. Tight operational cost control will be maintained at all project sites to achieve margin expansion.
- Debt levels, which saw a slight uptick during the year under review on account of the Corolla stake purchase and investments in Mumbai expansion, are expected to taper given the strong cash flow and collections focus.
- The Company is expecting new area sales to grow by ~20% in 2016-17, driven mainly by the launch of the Wakad project in March 2016 and R1 Sector in Life Republic, launched in May 2016.

The company has invested extensively in its execution discipline with the objective to accelerate the monetisation of its land bank, construct faster, market properties faster and collect on schedule, strengthening its internal rate of return (IRR).

PEOPLE

Drawing execution superiority from systems-based competence

"There are a number of transformative initiatives transpiring in Kolte-Patil today directed from each individual focusing on systemic integrity. The result is that the organization is not only moving faster; it is also measuring the change, which is laying the foundation of a data-based organisation resulting in informed decision-making as opposed to a gut feel-based approach. The result will be enhanced sustainability."

Challenges

The company addressed a number of challenges during the year under review.

One, the company needed to enhance people productivity with the objective to minimize functional overlaps and reduce redundant processes.

Two, the company needed to respond with proactive initiatives in outperforming the realty sector slowdown.

Strengthening execution

Kolte-Patil responded to the challenges with a mix of innovation, speed and organisation conviction that timely transformation would lead to sustained sectoral outperformance.

The company examined each function, reducing organizational layers from seven to four; this accelerated decision making and accountability.

The management right-sized the company, enhancing people productivity; concurrently, it inducted campus recruits to enhance sales and marketing effectiveness, making effective use of social media.

The company strengthened governance through a culture of periodic reviews (fortnightly), which accelerated organizational momentum.

The company introduced the Systems & Process Adaptability Index, which audited each project for the extent to which it had graduated from a dependant on individuals to a reliance on systems; during the course of the years, the index improved from 40 per cent to 75 per cent.

The company strengthened its matrix reporting structure (direct and dotted), wherein each employee is required to report to two seniors (functional and administrative) resulting in enhanced accountability.

Execution delivery

The organization was strengthened through the creation of management buffers (with succession planning) across the sales and operations functions. Various functions (planning, monitoring, controlling and budgeting) were strengthened, enhancing performance visibility. Project Directors were recruited, their coverage extending to concurrent multiple projects.

This resulted in Kolte-Patil strengthening its scalability for larger and quicker project completion. Besides, the company enhanced process dependence, increased people efficiency, strengthened its preferred employer brand and demonstrated a wider willingness to embrace active change.

Outlook

During the current financial year, the company intends to enhance RERA-compliance (functional and cultural), implement an advanced customer relationship management module, increase the role of innovation in everyday product development, strengthen product standardization and extend the effect of all organizational roles to improve customer delight.

SALES AND MARKETING

"At Kolte-Patil, we did not just invest disproportionately higher in project construction; we communicated rapid project implementation to prospective buyers, as a result of which we generated offtake higher than the market average and retained our position as the undisputed leader in Pune's large and competitive residential property market."

Challenges

The country's residential real estate sector appeared to be transitioning from investor-led demand to user-based purchase, marked by a slowdown in offtake, lower conversion ratios and lengthening decision-making.

The sector was marked by the introduction of theme-based residential concepts and increasing product differentiation, enhancing competition.

As real estate realizations slowed, there was a perception that prices could decline further, keeping prospective buyers away.

Execution transformation

At Kolte-Patil, we responded to this reality with execution-strengthening initiatives.

The company introduced DISHA, comprising the implementation of standard operating protocols, SAP and the Kolte-Patil Way of Doing Business.

The company standardized its pitch and service, resulting in a uniform customer experience

The company demonstrated and communicated project implementation acceleration, which catalysed apartment offtake.

The company commenced an exhaustive analytics study of all sales with the objective to derive an understanding of sales drivers.

The company graduated from conventional print-based and outdoor-based marketing of residential projects to digital marketing, with the objective of enhancing conversions and sales.

The company evolved its pitch from one focused on the project to one that marketed the company's holistic brand.

The company strengthened the collection of customer feedback leading to effective product customization (related to apartment configuration, pricing and instalment flexibility).

Performance

The company's execution-enhancing initiatives translated into visible results: sales of 2 mn sq ft of residential properties despite a sluggish environment.

The proportion of sales derived from apartments in the middle-income segment was 70-75%. The company increased the proportion of non-Pune and NRI sales, moderating its dependence on Pune buyers. The company generated 40% of all its offtake through 20% channel partners. The company strengthened sales training (product and process) at the site and headquarters.

The company delivered 1,500 apartments; the Tuscan and Gliterrati projects were delivered ahead of the promised date; the project Tuscan's Phase 2 is running ahead of schedule.

Outlook

Going ahead, the company intends to enhance customer trust, shrink delivery tenure, enhance customer satisfaction and accelerate offtake.

LIFE REPUBLIC

"At Life Republic, execution excellence has been derived through an analysis of customer feedback, which encouraged us to widen our product offering and accelerate offtake.

Challenges

The company marketed a fixed apartment configuration in the past, limiting its ability to address a broader market spectrum.

The company needed to analyse sales patterns to estimate the right price point at which would sales would disproportionately increase.

Execution transformation

The company leveraged the use of cutting-edge MIVAN technology to accelerate construction; besides a cluster-based project implementation accelerated construction and also ring-fenced in-progress clusters from completed pockets.

The company conducted an exhaustive year-long study of around 5,000 walk-in customers, arriving at the conclusion that Life Republic offtake could accelerate if pricing points were widened.

The company widened its apartment mix from the standard 2 BHK configuration to a combination of 2BHK+3BHK on the one hand and 1BHK+2BHK on the other, addressing a broader customer range. Correspondingly, sales offerings in the range of ₹60-70 lacs now extended from ₹30 lacs to ₹90 lacs, strengthening the company's ability to address demand across diverse price points, comprising a large proportion of younger buyers.

Performance, 2015-16

The average apartment realization (per sq ft) was maintained when compared with the previous year; this realization was at a premium to peer properties in the vicinity.

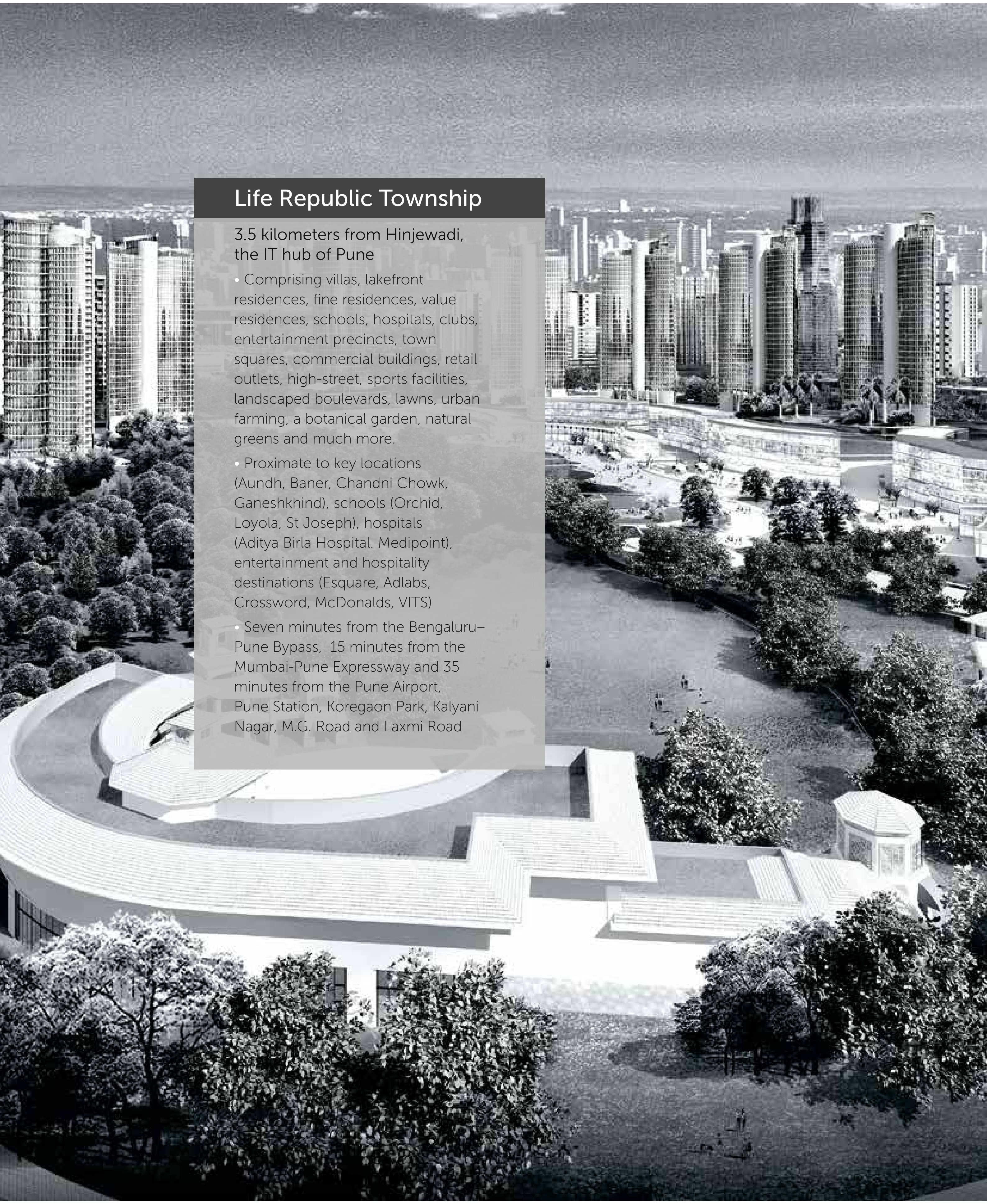
The property protected its brand on the basis of scale, amenities, community and security; the series of on-site events generated footfalls in excess of 200,000, enhancing the project's visibility across prospective buyers.

DISHA

SAP: Mined extensive data. Leveraged analytics. Enhanced informed selling through effective marketing spend and next level marketing analysis

KPDL Way of Doing Business

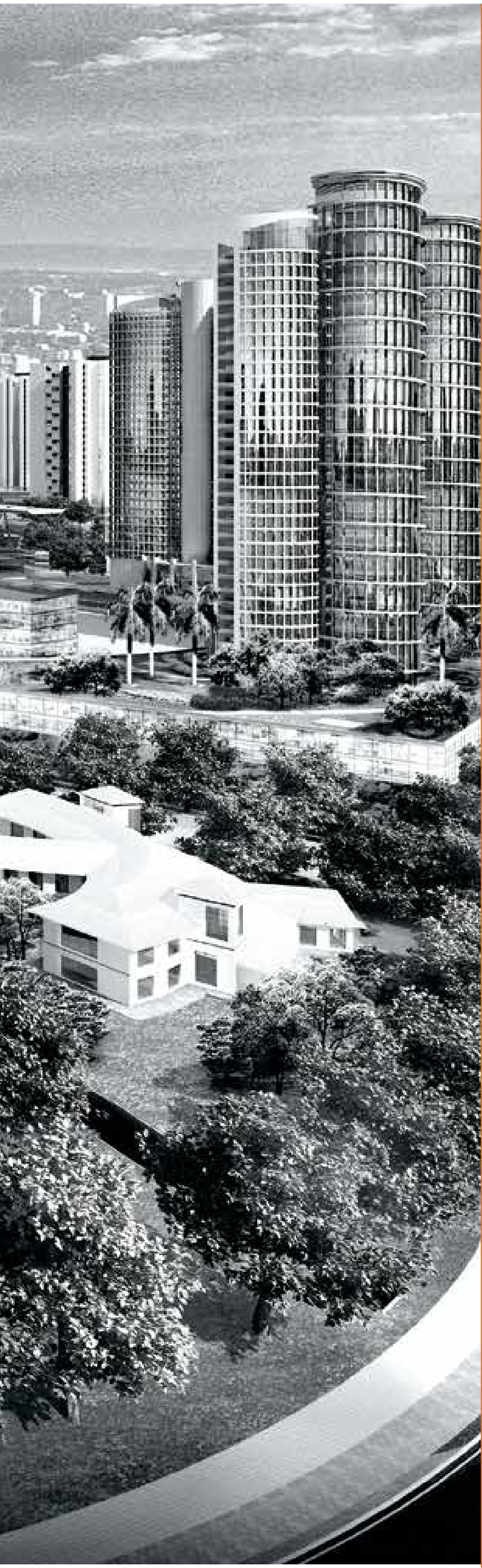
- Increased training.
- Standardised customer engagement.
- Strengthened service.
- Increased customer feedback collection points.
- Increased customer access to senior management.
- Enhanced operational transparency.



Life Republic Township

3.5 kilometers from Hinjewadi, the IT hub of Pune

- Comprising villas, lakefront residences, fine residences, value residences, schools, hospitals, clubs, entertainment precincts, town squares, commercial buildings, retail outlets, high-street, sports facilities, landscaped boulevards, lawns, urban farming, a botanical garden, natural greens and much more.
- Proximate to key locations (Aundh, Baner, Chandni Chowk, Ganeshkhind), schools (Orchid, Loyola, St Joseph), hospitals (Aditya Birla Hospital. Medipoint), entertainment and hospitality destinations (Esquare, Adlabs, Crossword, McDonalds, VITS)
- Seven minutes from the Bengaluru–Pune Bypass, 15 minutes from the Mumbai-Pune Expressway and 35 minutes from the Pune Airport, Pune Station, Koregaon Park, Kalyani Nagar, M.G. Road and Laxmi Road



24K BY KOLTE PATIL

24K is a promise to understand the customer, more specifically who they are and to provide them with an Art of Luxury Living experience.

The core of every 24K property comprises 24 attributes categorized across seven segments - lifestyle, green homes, community, smart homes, engineering, service and architecture. Each segment covers aspects like the thought principles, green architecture & sustainability, neighbourhood development, global benchmarks, design customization & counselling, non-resident 24k services, and features that enhance the 24k experience.

24K is a residentially-driven mixed use destination, a gated community around the DNA of Design Thinking. Designers and engineers have worked together to deliver a holistic, enriching and sustainable living experience. With 'Green indulgence' as a focus in all projects, 24K by Kolte-Patil has delivered beautiful landscapes, riverside gardens, and a 24K Avenue - to bring together the 'experience' of 24K Living. Recognizing the evolution of the Indian customer, 24K by Kolte Patil seeks to bring the best of international talent through a series of properties and projects. Handpicking leaders in their categories like Porcelanosa, Valentino, Casa Forma, and many more, to provide customers the best of lifestyle and to deliver the 'experience' of 24K living.

Management discussion and analysis

ECONOMIC OVERVIEW & OUTLOOK

The International Monetary Fund (IMF), in its edition of the World Economic Outlook published in April 2016, lowered the forecast for global growth to 3.2% in 2016 and 3.5% in 2017. More recently, the unexpected Brexit event created a further overhang on world growth that may impact developed economies and emerging countries. Advanced economies and emerging markets are expected to grow slower than previous projections. Further, anxiety prevails on the Federal Reserve's stand on key interest rates.

In an uncertain and otherwise pessimistic global scenario, India outperformed and emerged the fastest growing major economy in the world. India's GDP grew 7.6% in 2015-16 compared with 7.3% in the previous fiscal, while growth in the last quarter of the fiscal year stood at 7.9%, the fastest growth in five years. Indian growth is driven by rising real incomes and domestic demand. Services and manufacturing sectors are showing progress and the agricultural sector is set to rebound on the back of a potential good monsoon after two consecutive years of weak rainfall. Higher growth has been accompanied by lower inflation, a trend supported by a downward trend in global commodity prices. The inflation target of 6% was achieved, with the RBI setting a fresh target of 5% for 2016-17.

The government is also on track with the fiscal deficit target, having pulled down the fiscal deficit to 3.9% of the GDP (₹5.32 lakh crore) in 2015-16 from 4.1% in 2014-15 and 4.7% in 2013-14. The set fiscal deficit target for 2016-17 is 3.5% of the GDP (₹5.33 lakh crore). Even the current account deficit was contained at 1.1% in 2015-16, and expected to rationalize next year. The Indian economy benefitted from improving trade, reducing crude prices, current account and fiscal deficit levels, strong foreign capital inflows and a stable rupee. Direct investment rules were rationalized that could cement India's position as the world's leading investment destination.

In order to provide impetus to business activity, the government undertook several positive initiatives such as simplifying business procedures and tax rules, relaxing FDI policy in many sectors, and committing more public investment and developing innovative funding avenues for infrastructure expansion to improve India's ranking in the ease of doing business. Growing public investments and improving environment for infrastructure investments, is creating the platform for sustainable growth. Key projects such as 'Make in India', 'Start Up India', 'Digital India' and 'Skill India' seek to encourage investments and improve the ecosystem at various levels of business activity. Aggressive roll-out of the financial inclusion program has made banking services accessible to millions of previously unbanked people.

There are improving trends across key economic parameters, including production data for electricity and cement, volumes at major ports and two-wheeler sales. Following demand visibility in heavy commercial vehicles, there has been a pick-up in light and medium trucks and increase in freight rates, as movement of goods accelerates. Construction equipment sales, oil consumption, retail demand, road traffic trends and merchandise imports are moving into positive territory. Domestic consumption demand could find stronger support following the implementation of the Seventh Pay Commission recommendations and One Rank One Pension scheme that could increase discretionary spending. The Indian Parliament's legislative backlog is expected to dissipate with clearer consensus emerging across political parties, especially the passage of GST and other crucial legislations, such as the bankruptcy law. India also emerged as the world's foremost destination for foreign direct investment. All trends and developments point towards sustained growth for several years.

INDIAN REAL ESTATE OVERVIEW

Over the last few years, the real estate sector in India is grappling with tough market conditions as a result of fragile economic recovery. There have been structural industry challenges in the form of delayed approvals, increased construction costs, lack of skilled workforce, limited institutional funding and overhang of unsold inventory. The slowdown has been broad-based, not only restricted to the premium segment, but all types of residential properties. Homebuyer interest has not yet picked up due to issues such as stalled projects, unaffordable prices and delays in the completion of major infrastructure projects. On the contrary, the office space market in India witnessed a remarkable recovery in the last two years; vacancy levels are at multi-year lows. The rub-off effect of the office market could be expected to percolate to the residential segment in the coming year given that an increase in enquiries was witnessed towards the end of the year.

According to a leading real estate consultancy, 2015 saw the launch of almost 120,000 units across major Indian cities in the residential segment, down by over 20%. The year ended with the lowest number of new launches and lowest sales volumes across the top cities of India since 2010. Further, in the first quarter of 2016, major cities witnessed the infusion of nearly 19,000 new residential units, a majority of which were concentrated in Mumbai (34%), Bengaluru (32%) and Pune (12%). In the current fiscal year, overall property markets are expected to edge further into recovery. Steady enquiries, mainly in the affordable and mid-segment, are likely to see conversions from fence sitters. Capital and rental values are expected to rationalize in the near term. Falling interest rates coupled with the introduction of Real Estate (Regulation and Development) Act, 2016 are expected to stimulate end user demand and lead to market recovery. In addition to this, the slew of reforms announced by the government like the Land Acquisition, Rehabilitation and Resettlement Bill, Real Estate Investment Trusts (REIT's), schemes like 'Housing for All by 2020' and the 'smart cities' initiative are expected to further advance growth in the sector.

The Indian office market sector posted another strong year, witnessing improvements in both demand and supply, supported by an uptick in GDP growth, lower inflation, lower interest rates and growth in investments. According to a leading real estate consultancy firm, 2015 recorded about 40.21 million square feet of office space lease transactions across India's major cities, an uptick of 15% over 2014. New construction continued to trend upwards, reaching nearly 32 million square feet in 2015, up from 24 million square feet in 2014. The ratio of absorption to new supply was indicative of dropping vacancy rates. Further, the first quarter of 2016 kick started on a positive note with office absorption totalling over 8.8 million square feet across major cities, 11% up from the previous quarter. Strong positive absorption from technology firms helped further gains in occupancy in almost all cities. All these trends, supported by a combination of positive economy, stronger job growth prospects and limited targeted construction activity, bodes well for the market.

Pune real estate overview

Pune is the eighth largest Indian city and the sixth largest metropolitan region in India with a population of 5.3 million (Source: 2011 census). The Mumbai-Pune corridor comprises a population of 35.6 million and GDP of over ₹4 trillion. Pune is the second largest industrial hub and the third largest IT hub in India with 38 of India's 88 functional IT parks and 24 SEZs focused on IT, ITeS and biotech. Pune is an end-user-driven real estate market, home to several manufacturing and auto ancillary companies and a site for the burgeoning sector of IT/ITeS, financial services, KPO and biotech firms. Further, Pune has always been an education hub, with ~5 lakh students graduating each year, famously known as the 'Oxford of the East.'

Zone	Major residential destinations	Characteristics
Central	Koregaon Park, Boat Club Road, Erandwane, Deccan, Kothrud, Model Colony	Numerous corporate offices located in the central business district (CBD) Good physical and social infrastructure, presence of organised retail, excellent connectivity with various parts of the city and limited availability of vacant land
North	Pimpri, Chinchwad, Moshi, Chikhali, Chakan, Talegaon	Industrial units of some of India's leading automobile and manufacturing companies, such as Bajaj Auto, Tata Motors, Force Motors and DaimlerChrysler and engineering giants such as Thermax, Forbes-Marshall, ThyssenKrupp and Alfa Laval
South	Kondhwa, Ambegaon, Undri, Dhayari, Warje, Sinhgad Road	Emerged as a more affordable alternative to Central Pune in terms of the residential market
East	Viman Nagar, Kharadi, Wagholi, Hadapsar, Dhanori	Presence of a large number of IT/ITeS offices, ample physical and social infrastructure, a well-established retail market, presence of the airport and proximity to the city centre
West	Aundh, Baner, Wakad, Hinjewadi, Bavdhan, Pashan	Affordable rents, vicinity to the Mumbai-Pune Expressway and availability of ample vacant land suitable for built-to-suit offices for captive use have attracted many blue chip companies

2015 was a moderate year for the Pune market in terms of sales and new launches in the residential segment, a majority of which were in the mid-income and affordable category. Though the first half of 2016 saw strong sales, a significant drop in new launches was noted. Pune is a resilient and robust market and this blip in new launches is expected to be temporary and on account of the new Development Plan that is to be announced. Pune is expected to see a slew of launches once the Plan is cleared. Capital values on an average posted a small decline. However, micro markets like Magarpatta, Hadapsar, Baner, Hinjewadi, Wakad, Pashan, Kothrud, Bavdhan and Wajre remained stable.

Pune is expected to be a preferred real estate destination, given its strong economic drivers based on expansion plans announced by several Indian and multinational companies. Pune has also been selected in the list of 20 Smart Cities in Phase I for which strategies are being formulated by civic administration bodies and ₹3,840 crore has been earmarked for the city's upgrade over the next five years. Infrastructure upgrades such as the Bus Rapid Transit System (BRTS) on Nagar Road will improve connectivity across Wagholi, Kothrud and Swargate, among others, and provide a fillip to residential segments in these markets.

Coming to the Pune office market space, the city recorded office absorption of 5.03 million square feet in 2015, as per a leading real estate consultancy. The healthy demand continued into the first quarter of 2016 with the city recording 1.15 million square of absorption. Pune continues to garner interest of technology firms due to affordable rents and talent availability. Vacancy rates are expected to decline in the current year. Rents and capital values are expected to inch up marginally across micro markets for Grade A premium buildings.

Bengaluru real estate market overview

Bengaluru is a prominent IT-ITeS hub in southern India, attracting significant end user-driven real estate demand. Demand is expected to remain robust, driven by the middle-income segment, primarily from the large-scale mid-level IT workforce in the city.

During 2015, Bengaluru's residential property market witnessed the launch of nearly 22,000 new residential units. All launches in these locations catered to the mid-income category as developers launched new projects due to increased enquiries from end-users and investors. The first half of 2016 was robust, with the market witnessing new launches of around 24,000 units, according to a prominent real estate consultancy firm. The city saw a 18% YoY increase in sales volumes during the first half of the year, which is likely to result in a price rise over the remaining part of the year.

The Bengaluru office market continued its strong momentum in 2015, topping the table with a 33% share of the total absorption across all major cities-a total absorption of 13.4 million square feet, as per a leading real estate consultancy firm. The first quarter of 2016 saw a 13% QoQ uptick in absorption at 2.65 million square feet. IT-ITeS companies, including technology start-ups, e-commerce companies and BFSI firms, accounted for a major share of absorption. The demand for office space is expected to remain robust with the growth of new sectors such as e-commerce, technology giants and entrepreneurial ventures. Vacancy is expected to fall in most micro markets, mainly EPIP Zone / Whitefield and Electronic City, amongst others. Rents are likely to witness an upswing in Outer Ring Road – Marathahalli- Sarjapur Road and CBD due to limited availability.

Mumbai Metropolitan Region real estate market overview

The Mumbai residential real estate market registered a 40% YoY decline in new launches in 2015 with only 35,000 new units being launched. This was largely on account of the uncertainty that loomed over the Greater Mumbai Development Plan 2034. However, the residential market in Mumbai, which started to see a slight recovery towards the end of the year with increased number of enquiries, kicked off 2016 on a strong note. Rising sales prompted new launches in the first half of the year and experts believe that if this trend continues, 2016 might be the best year for Mumbai's residential market since the global financial crisis. Developers reduced flat sizes to make offerings attractive for buyers. Mid-income projects could remain the most preferred asset class, location and price points being predominant factors driving demand. Given the scarcity of land, redevelopment represented an attractive proposition in Mumbai in the force of rising migration and increasing demand.

The state government implemented new ready reckoner rates with effect from 1st April 2016 with a modest increase of 7% on average. At the policy level, Municipal Corporation of Greater Mumbai (MCGM) revised the draft development plan, which recommended a hike in the floor space index (FSI).

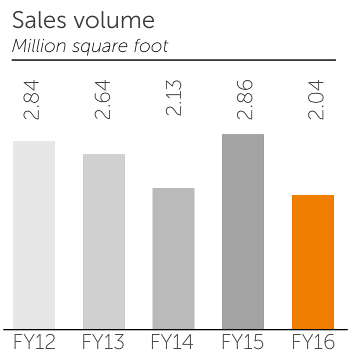
The Mumbai office market reported a solid 2015 with absorption of 6.6 million square feet, more than double of 3.1 million square feet recorded in 2014. Apart from this, TCS pre-committed 2 million square feet in Hiranandani Estate, Thane, which is expected to materalise by Q3 2018. Sector wise, BFSI led the absorption with about 34% share, followed by IT/ITeS 28% and Pharma 15%. Office rents witnessed an average increase of about 1% YoY across micro-markets in 2015. The momentum seen in 2015 picked up in the first quarter of 2016 as office absorption almost doubled from 0.49 million square feet in Q4 2015 to 0.93 million square feet in Q1 2016.

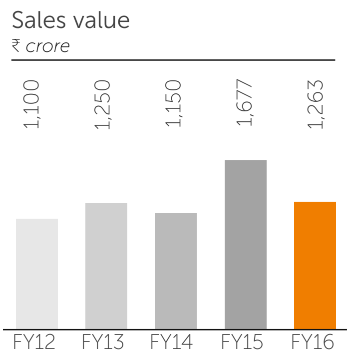
The trends in the office market space are positive and absorption momentum is expected to continue in the coming quarters, with demand largely driven by sectors like IT-ITeS and BFSI. Developers will continue to focus on project completions, resulting in substantial new supply in areas such as the western suburbs and Navi Mumbai.

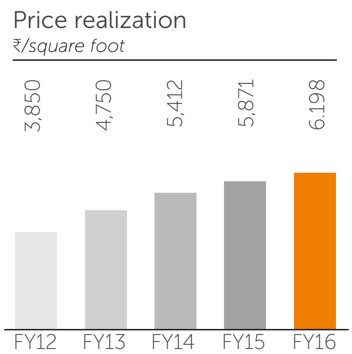
A. OVERVIEW OF OPERATIONS

i) Sales and pricing trends

The Company registered a sales volume of 2.04 million square feet, impacted by weak consumer sentiment. The average selling price was higher by 5.5% YoY at ₹6,198 per square foot, translating into a sales value of ₹1,263 crore in 2015-16.



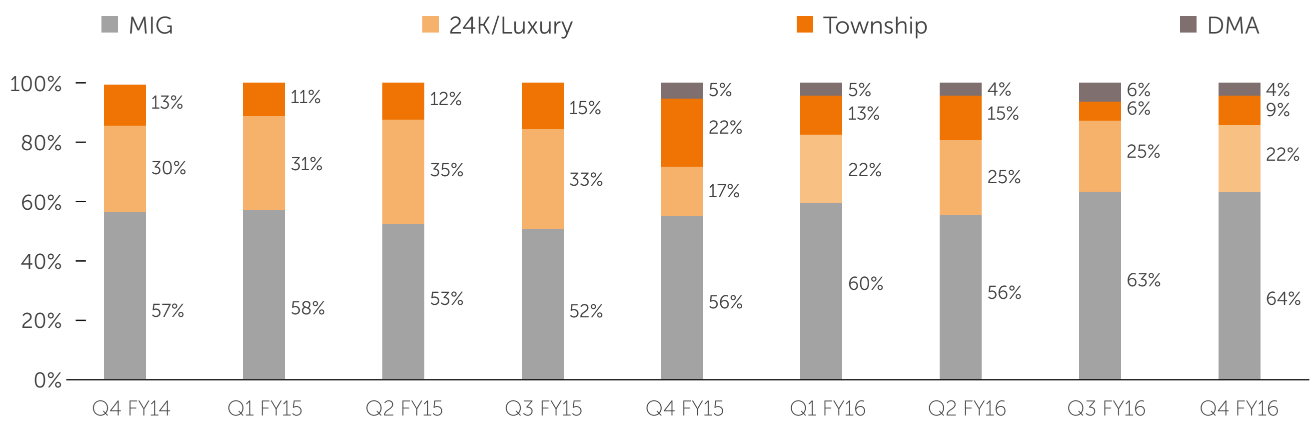


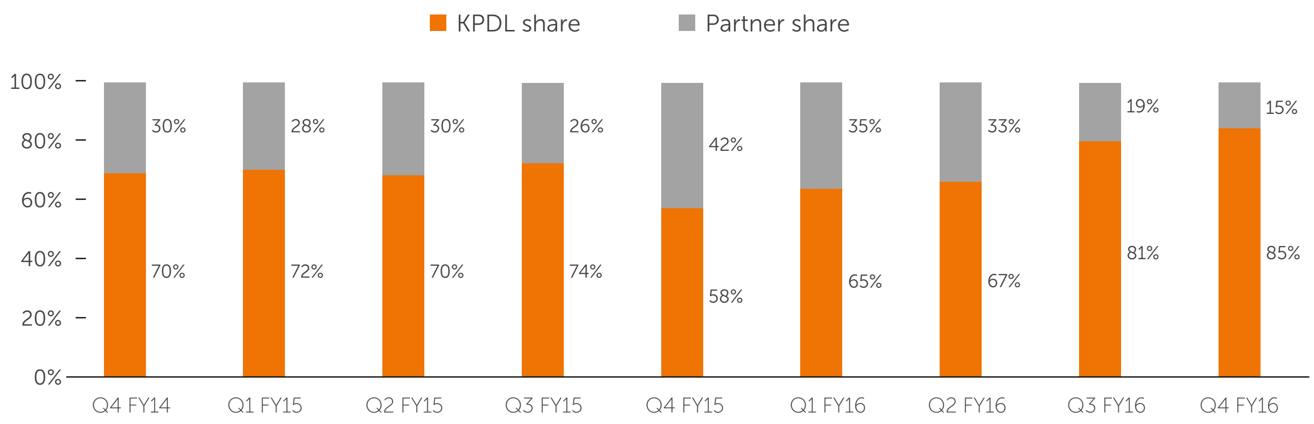


i) Product-wise sales break-up

• The Company has a broad portfolio with ticket sizes ranging from ₹30 lac to ₹10 crore. Majority of the sales were focused towards the middle-income group with an average ticket size between ₹50 lac and ₹1 crore, the pulse of the market.

• During the year, the Company also completed the buy-out of 100% stake in Corolla project (37% earlier) which resulted in an increase in its share of new area sales through the year.





iii) Execution progress

• KPDL treats land purely as raw material with the objective of fast inventory turnover and is not focused on profiting from land aggregation

• KPDL is in the business of building homes and communities catering to the aspirational needs of the middle class consumer which is the pulse of the market

• Execution is the Company's #1 priority and the focus is on delivering a good quality product made to promised specifications within the promised timeline

• The company delivered over 1,500 units to customers for possession during 2015-16.

• The Company is targeting to offer 2,500 units for possession in the current financial year.

iv) Mumbai portfolio

• Capital-light model with capital deployment linked to approvals, focusing on generating strong ROCE's and reducing working capital cycle.

• Diversified portfolio consisting of 11 well-designed projects in high-demand locations encompassing over 1 million square foot.

• Entered into a ₹120 crore co-development agreement with Metropolitan Lifespace Real Estate Developers Pvt. Ltd (promoted by IPFII Singapore 5 Pte. Ltd, an offshore entity managed and advised by J.P. Morgan Asset Management-Global Real Assets) for its redevelopment project, Jay-Vijay Society, in Vile Parle (E), Mumbai.

• Almost completely sold out inventory in the first Mumbai project, Link Palace, on Khar-Linking Road.

• Signed DA/PA for Hari Ratan CHSL, near Inorbit Mall in Goregaon (West) and Sagar Vaibhav CHSL in Dahisar (West).

v) Debt Profile

• CRISIL reaffirmed its ratings for KPDL's long-term bank facilities, fixed deposit programme, and Non-Convertible Debentures (NCDs) at 'CRISIL A+/ FAA-/Stable', as the Company continues to be one of the highest-rated, listed, pure-play residential players in CRISIL's ratings universe.

Net debt to equity still remained comfortable at 0.47x as on 31st March, 2016.

Consolidated Balance Sheet Snapshot (₹ crore)	31st March, 2016	31st March, 2015
Net Worth	877	842
Goodwill*	119	22
Gross debt	593	378
Cash & cash equivalents	82	41
Current Investments	3	6
Net debt**	412	229
Inventories	1,738	1,467
Net debt/Equity (x)**	0.47	0.27

*Goodwill increased during Q3 on account of Corolla buy-out
**Net debt figure given in the above table excludes convertible debentures in Tuscan and Kondhwa projects

vi) Management changes

31.12.2015 During the year under review, Mr. Sujay Kalele resigned as the CEO of the company to pursue other opportunities.

15.06.2016 Mr. Gopal Sarda has been appointed as Chief Executive Officer – Mumbai and Group President. He is a qualified Chartered Accountant with over ten years of experience and has been associated with Kolte-Patil since December 2010. In his new role, he is responsible for Business Development, Sales & Marketing, Corporate Finance and Investor Relations functions of the Group. He will work closely with other CXOs in formulating, overseeing and implementing overall Group strategies.

07.04.2016 Ms. Aditi Watve was appointed as Chief Operating Officer. She is a qualified architect from the University of Pune and a management graduate from the Indian School of Business, Hyderabad. She will be responsible for overseeing Operations, Design & Development at various projects being currently developed by the company.

05.11.2015 Mr. Atul Bohra was appointed as the Chief Financial Officer. He is a Chartered Accountant, Company Secretary and MBA-Finance with over 10 years of experience. His responsibilities include financial planning, external reporting, strengthening internal control systems and processes across the group.

B. OPPORTUNITIES

i) Reputational advantage

The Company built its brand over 25 years, with an aggregate of over 12 million square feet delivered since inception including residential projects, commercial projects and IT parks. The strong brand enables KPDL to extract pricing premium, better payment terms and/or greater sales velocity.

ii) Healthy project pipeline

(in million square feet)

Projects under execution	Ongoing	Forthcoming	Future Potential	Total
Overall	19.9	6.4	27.7	54.0
KPDL Share	15.5	4.8	13.8	34.1

Note1: Of the overall 19.9 msf under execution, the company has already sold 13.4 msf. till Mar '16
Note2: Saleable area based on current FSI norms and subject to change

The Company possesses over 20 million square feet land bank with key approvals in place and under execution. A majority of the projects are in its stronghold market of Pune, endowed with consistent volumes and strong growth drivers. The company has a proven track record of timely and quality execution of projects. The company's primary focus will be on activation and execution of these projects, which will subsequently translate into strong revenue and cash flow visibility.

iii) Township projects

In early 2014-15, the Company received 'locational clearance' from the Urban Development Department for its township projects in Pune- Phase II of 'Life Republic' (Hinjewadi) and Sanjivani Township (Urse). Both townships received pre-certification clearances from the Indian Green Building Council (IGBC). The townships will generate multiple revenue streams over a long gestation period.

iv) Mumbai portfolio execution

The Company forayed into the Mumbai market through a low capital-intensive private society redevelopment model in 2013. Within a short span, the Company added 11 projects to its redevelopment portfolio, taking the total saleable area (KPDL share) to over 1.0 million square feet, all at prime locations. The Mumbai portfolio is expected to generate revenues to the tune of ₹2400-2600 crore over the next 4-6 years, with limited capital deployment, resulting in significant ROCE expansion.

v) Development management agreements

Following its asset-light philosophy, the Company expanded into Development Management Agreements in 2014-15, leveraging its strong brand recall and execution track record in the Pune market. Currently, the Company is executing two projects under this arrangement. The DMA model will diversify revenues through fee-based income that enables the Company to expand into new product categories and geographic micro-markets.

vi) Moderating interest rates

The real estate industry is dependent on financing related to the acquisition of land parcels and interest rates. Moderated interest rates and their transmission by banks to end users can accelerate real estate demand and sales velocity.

vii) Growing urban housing demand

India's central government aims to provide housing for all citizens by 2020. As per industry estimates, the vision entails the development of about 11 crore housing units, including the current shortage of about 6 crore units. The housing need is almost equally distributed in India's urban and rural pockets in the range of 5 to 6 crore units, primarily comprising affordable houses.

C. THREATS, RISKS AND CONCERNS

In any business, risks and opportunities are inseparable components. The Company's Directors and management take decisions to protect stakeholder interests. The Company's Risk Management Committee comprises various departmental heads who meet regularly to identify processes exposed to risks, determine risk mitigation strategies and monitor their implementation.

Risk #1

Risks may arise from a cyclical downturn that may lead to a slowdown in markets where the Company operates, impacting sales velocity.

Mitigation: The Company has a strong brand presence in the Pune market, which is endowed with abundance of demand drivers; it also enjoys a presence in Bengaluru and Mumbai. The company has a judicious capital allocation philosophy and has consistently maintained a comfortable and healthy balance sheet position. The Company at any point is focused on liquidating its inventory and maintaining consistent cash flows.

Risk#2

Risks may arise from delays in the execution of projects due to a shortage of labour, material and unforeseen circumstances.

Mitigation: The Company has a commendable record of completing all its projects on time since its inception. The Company has an in-house project management team that follows a systematic process to ensure that all projects are completed within the planned time-frame and within the budgeted cost. This is done by careful project monitoring involving comprehensive reviews of probable delays. The Company has focused on increased usage of mechanised equipment to ensure faster execution and increased usage of contracted labour to mitigate the risks of labour shortage. To ensure regular material availability, the Company keeps an adequate buffer stock of key raw materials and engages continuously with suppliers.

Risk#3

Risks may arise from the inability of the Company to obtain financing on favourable terms due to liquidity crunch etc.

Mitigation: The Company focuses on managing working capital flows to reduce borrowings and maintain a judicious mix of projects to prevent Balance Sheet stress. The Company is focused on selling its inventory and staying cash flow positive at every stage of the project cycle. Further, it has always maintained a healthy balance sheet position and is rated 'CRISIL A+/ FAA-/Stable', one of the highest-rated listed, pure-play, residential players in CRISIL's ratings universe.

Risk#4

Risks may arise from the inability of the Company to replenish land reserves at desirable locations and affordable prices.

Mitigation: The ability to acquire land parcels at reasonable prices and in desired locations is an essential element of success in the real estate business. Acquisition costs comprise payments for freehold rights, leasehold rights, construction costs, registration and stamp duty. The Company acquires land and development rights from the government/owners/ third parties while ensuring that consideration paid is in line with prevailing market considerations and within the Company's desired risk appetite.

Risk#5

Risks may arise from property price fluctuations leading to a decline in realisations and sales.

Mitigation: The Company selects project nature and location after considering various factors (market conditions, buyer demand and project branding). The Company's business model allows it to generate sufficient cash flows, protecting it from price fluctuation risks.

D. COMPANY OUTLOOK

- 2015-16 was a subdued year for the Company, recording 2 million square feet in new area sales. Sales were impacted by delay in approvals for two of our key projects, Wakad and R1 Sector in Life Republic Phase II which came through only in March 2016. Further, the on-ground consumer sentiment continued to be weak with customers deferring their purchase decisions.

- However, since the fourth quarter, there has been an uptick in sales in the Pune market. The company recorded 0.6 million square feet of new area sales in Q4 FY16 with the launch of the Wakad project, achieved strong collections of ₹261 crore and delivered financial performance that saw higher revenue recognition, margin expansion and 33% YoY growth in net profit.

- The main focus of the Company in 2016-17 will be on execution. Tight operational cost control will be maintained at all project sites to facilitate margin expansion. The Company is targeting deliveries to the tune of ~2,500 units in 2016-17.

- Debt levels, which saw a slight uptick during the year under review on account of the Corolla stake purchase and investments in Mumbai expansion, are expected to taper off given the strong cash flows and focus on collections.

- The Company is expecting new area sales to grow by ~20% in 2016-17 driven mainly by the launch of the Wakad project and R1 Sector in Life Republic which was launched in May 2016.

- The Company signed DA/PA for two Mumbai projects, Hari Ratan CHSL, near Inorbit Mall in Goregaon (West) and Sagar Vaibhav CHSL in Dahisar (West) during the fourth quarter and may see the launch of at least one of these by the end 2016-17, subject to regulatory approvals. Further, the Company is also targeting launch of two projects at prime locations in Bengaluru, at Kormangala and Hosur Road respectively, during the course of the current financial year.

- Revenue trajectory is expected to improve in 2016-17 as a greater proportion of 100% owned projects come up for revenue recognition, including the Corolla project, which now is fully consolidated into KPDL's financials.

- Going forward increased contribution from asset-light Mumbai projects will enable ROCE expansion and increased average price realisations.

Focus on improving governance practices and organisational competences will be maintained.

E. PROJECT-WISE SUMMARY

Project-wise sales performance till 31st March 2016

Projects	Saleable Area (msf.)			Location	Area sold (msf.)	Sales value (₹ mn.)	Average realization (₹/sft.)	Collections (₹ mn.)
	Gross	KPDL share	KPDL share					
Life Republic - Phase I Life Republic - Phase I - R3 Avenue	4.0	45%	1.8	Hinjewadi, Pune	3.48	15,392	4,426	12,748
Corolla - Phase I & II	3.6	100%	3.6	Wagholi, Pune	2.80	10,114	3,608	7,762
Tuscan - Phase I & II	0.8	51%	0.4	Kharadi, Pune	0.60	3,304	5,468	2,785
Allura - Phase I Allura - Phase II (24K Glamore)	0.6	75%	0.4	Undri - NIBM, Pune Undri - NIBM, Pune	0.60	2,743	4,560	2,448
Margosa Heights I, II & III	1.0	50%	0.5	Mohamad Wadi, Pune	1.02	3,883	3,804	3,447
Downtown - Phase I & II	1.32	51%	0.7	Kharadi, Pune	1.12	6,508	5,815	4,677
Glitterati 24K	0.5	100%	0.5	Aundh Annexe, Pune	0.48	2,418	5,078	2,300
Green Olive Venture City Centre	0.2	60%	0.1	Hinjewadi, Pune Hinjewadi, Pune	0.18	843	4,742	785
Cilantro	0.04	50%	0.0	Wagholi, Pune	0.06	242	3,732	186
City Bay	0.1	100%	0.1	Boat Club Road, Pune	0.06	556	9,671	477
Giga Residency	0.4	100%	0.4	Viman Nagar, Pune	0.15	1,724	11,858	1,759
Wakad	1.3	100%	1.3	Wakad, Pune	0.37	2,373	6,439	538
Jazz I (Glitterati II) & Jazz II (Opula)	0.9	100%	0.9	Aundh, Pune	0.36	2,372	6,616	1,024
Atria	0.2	100%	0.2	Aundh, Pune	0.03	200	6,330	120
Kondhwa	1.0	100%	1.0	Kondhwa, Pune	0.76	3,861	5,110	1,947
Stargaze	0.5	62%	0.3	Bavdhan, Pune	0.32	2,063	6,537	570
Alyssa	0.04	100%	0.0	Richmond Road, Bengaluru	0.04	360	8,281	360

Projects	Saleable Area (msf.)			Location	Area sold (msf.)	Sales value (₹ mn.)	Average realization (₹/sft.)	Collections (₹ mn.)
	Gross	KPDL share	KPDL share					
Ragga	0.65	100%	0.7	Hennur Road, Bengaluru	0.36	1,226	3,394	819
Mirabilis	0.80	70%	0.6	Horamavu, Bengaluru	0.35	1,607	4,576	379
Exente	0.59	100%	0.6	Hosur Road, Bengaluru	0.01	68	4,800	2
Link Palace	0.02	100%	0.0	Khar (W), Mumbai	0.01	708	47,261	332
Jay Vijay Society	0.2	100%	0.2	Ville Parle (E), Mumbai	0.03	573	22,673	178
Goa	0.1	73%	0.1	Vasco, Goa	0.01	43	4,049	17
24k Sereno (DMA)	0.6	100%	0.6	Baner, Pune	0.12	755	6,514	–
KP Towers (DMA)	0.5	100%	0.5	Kothrud, Pune	0.05	587	10,785	–
Total	20.0	78%	15.5		13.37	64,523	4,826	45,660

Details of planned projects

Forthcoming Projects	Saleable Area (msf.)		
	Gross	KPDL Share	KPDL Share
Life Republic Ph II	2.0	45%	0.9
24K Province	0.4	100%	0.4
Wakad	1.3	100%	1.3
Kondhwa Phase 3	0.4	100%	0.4
Stargaze Phase 2	0.6	62%	0.4
Downtown	0.5	51%	0.2
Corolla Phase 3	1.3	100%	1.3
Total	**6.5**	**78%**	**4.9**

Note: Saleable area based on current FSI norms and subject to change

Future Development Potential

Forthcoming Projects	Saleable Area (msf.)		
	Gross	KPDL Share	KPDL Share
Sanjivani Township, Urse, Pune	15.0	50.50%	7.6
Life Republic - Phase III	2.9	45.00%	1.3
Ghotawade, Pune	3.2	50%	1.6
Sadapur, Lonavala	4.0	33.30%	1.3
Lohgad, Lonavala	0.2	33.30%	0.1
Aundh, Pune	1.0	100%	1.0
Kalyani Nagar	0.6	100%	0.6
Boat Club Road, Pune	0.3	100%	0.3
Mumbai projects	0.5	100%	0.5
Total	**27.9**	**50%**	**14.3**

Note: Saleable area based on current FSI norms and subject to change

F. CONSOLIDATED PROFIT AND LOSS ANALYSIS:

A comparative table showing the synopsis of the Profit and Loss statement for 2015-16 v/s 2014-15 is provided below:

P&L Snapshot (₹ crore)	2015-16	2014-15	YoY (%)
Total operating income	685.4	696.6	-2%
Total Expenses	512.7	502.3	2%
EBITDA	184.3	204.4	-10%
EBITDA Margin (%)	26.9%	29.3%	
EBIT	172.7	194.3	-11%
EBIT Margin (%)	25.2%	27.9%	
Profit before tax	128.2	162.1	-21%
Profit after tax	75.4	101.8	-26%
Minority Interest	16.2	36.5	-56%
Adjusted PAT (post MI)	59.1	65.3	-10%
PAT margin (%)	8.6%	9.4%	
Basic EPS	7.80	8.62	

i) Income from Operations

The total operating income of the Company for 2015-16 was ₹685 crore compared to ₹697 crore in the previous year. Revenue contribution was mainly on account of the Three Jewels, Downtown and Corolla projects located in Pune. Revenue was affected by delays in receiving approvals for Wakad and R1 sector in Life Republic which came through only in March 2016. Both these projects have subsequently been launched and are expected to contribute to revenue recognition in the current financial year. Further, 100% buy-out of the Corolla project (from 37% earlier), an established project with strong sales velocity, will further contribute to higher revenue recognition in 2016-17.

ii) Other Income

Other income for 2015-16 stood at ₹15 crore compared to ₹12 crore in 2014-15.

iii) Total expenses

Operating and other expenses for 2015-16 were ₹513 crore as compared to ₹502 crore in 2014-15, mainly on account of an increase in general and administrative expenses during the year under review.

iv) EBITDA

EBITDA for 2015-16 declined 10% to ₹184 crore, compared to ₹204 crore in 2014-15. Margins were impacted on account of changes in the product mix.

v) Interest and finance costs

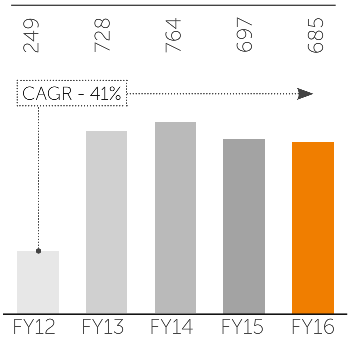
Finance costs for 2015-16 increased 35% YoY to ₹59 crore from ₹44 crore recorded in 2014-15. This was on account of the higher debt levels incurred for business purposes.

vi) Profit after tax (after Minority Interest)

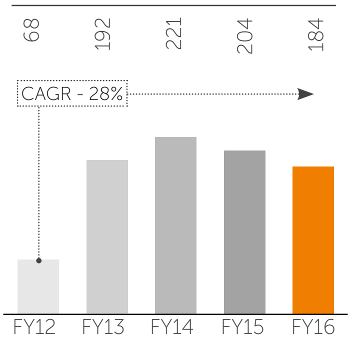
Net profit for 2015-16 stood at ₹59 crore as compared to ₹65 crore recorded in 2014-15. Overall, profitability was impacted by the product mix and higher finance costs.

Highlights of Financial and Operational Performance (Consolidated)

Operating income



EBITDA



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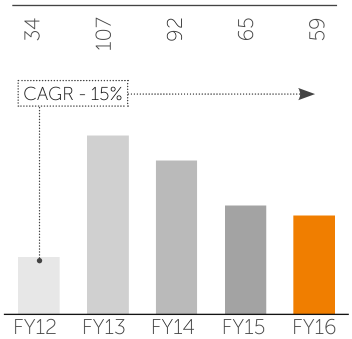
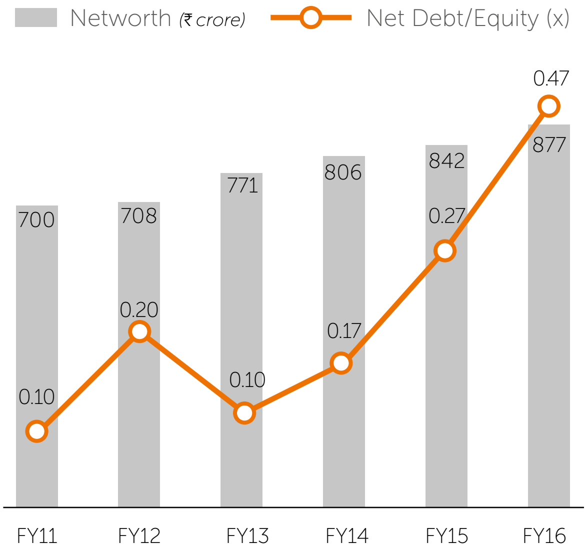


G. INTERNAL CONTROL SYSTEMS

The Company implemented internal control systems to ensure that all assets are safeguarded and protected against loss and transactions are authorized, recorded and reported correctly. The internal control system is commensurate with the size and nature of the Company's business. The systems are regularly reviewed for effectiveness and to address the changing regulatory and business environment.

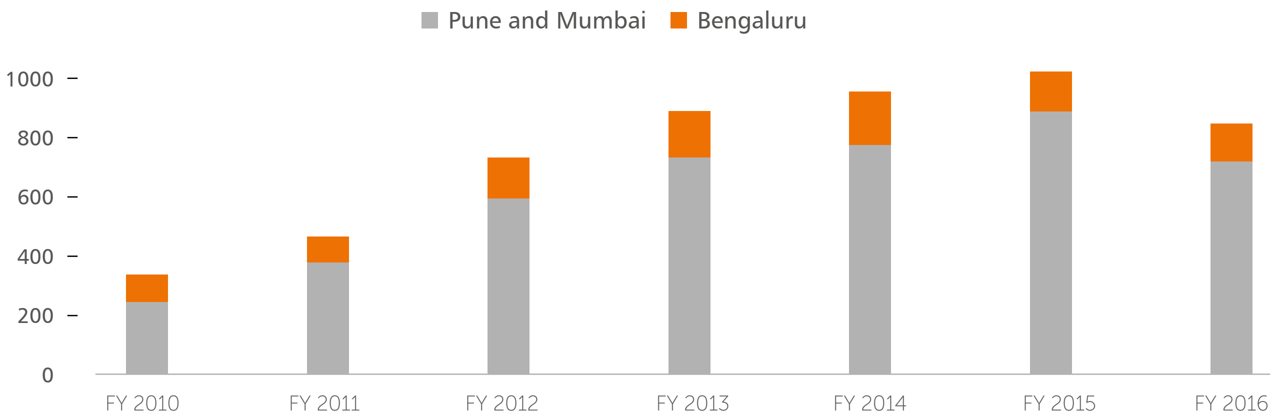
SAP system, which your Company had implemented has helped in further strengthening the internal financial controls that are in place. Further, the internal auditors periodically review the internal control systems, policies and procedures for their adequacy, effectiveness, and continuous operation for addressing risk management and mitigation strategies.

The Audit Committee of the Board of Directors and senior management regularly reviews the audit findings, adequacy of internal controls, compliance with accounting standards as well as reasons for changes in accounting policies and practices, if any. Also the Company has evaluated the effectiveness of the internal control system pertaining to financial reportings.



H. HUMAN RESOURCES

The focus for Kolte Patil Group was manpower efficiency. We also continue to have a strong management team and the focus is on growth through providing leadership training to our mid management team. We aspire to remain 'Employer of Choice' and are on track to create a culture where we nurture talent and help them grow.



CAUTIONARY STATEMENT

In the case of data and information external to the Company, no representation is made on its accuracy or comprehensiveness though the same are based on sources believed to be reliable. Statements in the Management Discussion and Analysis describing the Company's objectives, projections, estimates, expectations may be "forward-looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied. Important factors that could influence the Company's operations include economic developments within and/or outside the country, demand and supply conditions in the market, input prices, changes in Government regulations, tax laws and other factors such as litigation and industrial relations, etc. over which the Company does not have any direct control.

Directors' Report

To,
The Members,

Your Directors have pleasure in presenting 25th Annual Report on the business and operations of the Company and the accounts for the Financial Year ended 31 March 2016.

1. Financial highlights

(₹ in Lakhs)

Particulars	Consolidated		Standalone	
	2015-16	2014-15	2015-16	2014-15
Revenue from Operations	68,538	69,664	18,080	16,837
Other Income	1,467	1,171	5,501	4,278
Total Income	70,005	70,835	23,581	21,115
Operating Profit before interest, depreciation, amortization and taxes (EBITDA)	18,421	20,437	3,641	4,289
Depreciation and amortization	1,160	1,006	464	392
Interest and finance charges	5,913	4,396	3,976	3,160
Profit Before Tax (PBT)	12,815	16,206	4,702	5,015
Tax expenses	5,285	6,021	754	652
Profit After Tax (PAT)	7,530	10,185	3,948	4,363
Minority Interest	1,622	3,653	-	-
Profit for the year	5,908	6,532	3,948	4,363
Earnings Per share (in ₹)	7.80	8.62	5.21	5.76

2. Performance of the Company

The highlights of the company's performance as under:

Financial Overview (Consolidated Performance)

Our revenues were lower by 1.62% at ₹68,538 lakhs during the year compared to ₹69,664 lakhs in the previous year. Expenses increased by 2.08% to ₹51,277 lakhs from ₹50,233 lakhs in the previous year. Earnings Before Interest Taxes and Depreciation was lower by 9.86% at ₹18,421 lakhs as compared to ₹20,437 lakhs. EBITDA margins reduced from 29.34% to 26.89% during the year. Profit After Tax (post minority interest) was lower by 9.55% at ₹5,908 lakhs compared to ₹6,532 lakhs in the previous year. Earnings Per Share stood at ₹7.80 as compared to ₹8.62 last year. Dividend of ₹1.50 per share, amounting to a payout of 19.24% of the year's profits, has been recommended by the Board of Directors.

Financial Overview (Standalone Performance)

Our revenues in 2015-16 increased by 7.38% during the year at ₹18,080 lakhs compared to ₹16,837 lakhs in the previous year. Earnings Before Interest Taxes and Depreciation decreased by 15% at ₹3,641 lakhs as compared to ₹4,289 lakhs in the previous year. EBITDA margins decreased from 25.48% to 20.13% during the year. Profit After Tax was lower by 9.5% at ₹3,948 lakhs compared to ₹4,363 lakhs in the previous year. Earnings per Share stood at ₹5.21 as compared to ₹5.76.

3. Dividend

Your Directors have recommended a final dividend of ₹1.50 per equity share on 7,57,74,909 equity shares of ₹10 each. This dividend is subject to the approval of the members at the ensuing 25th Annual General Meeting.

4. Allotment of Non-Convertible Debentures

During the year under review, the Company has allotted 110 Senior Secured Taxable Redeemable Non-Convertible Debentures of ₹1,00,00,000/- each fully paid through private placement. The Company has created Debenture Redemption Reserve of pursuant to Section 71(4) of the Companies Act, 2013.

5. Fixed Deposits

During the year under review, the Company has not accepted any fixed deposits under the provisions of the Companies Act, 2013.

6. Share Capital

The paid-up Equity Share Capital as on 31 March 2016 stood at ₹7,577.49 Lakhs. During the year under review, the Company has not issued any shares with differential voting rights nor sweat equity.

During the year, the Company has granted 350,000 stock options to senior employees of the Company. These options were cancelled due to resignation of employees.

7. Internal Financial Controls

The Company has adequate internal financial controls with reference to financial statements. The internal financial controls were also reviewed by an Independent Auditor and found to be adequate and operating effectively for ensuring accuracy and completeness of the accounting records. There were no reportable material weaknesses observed. The report of Independent Auditor is annexed to the Auditors' Report on Financial Statements.

8. Details of Subsidiary/Joint Ventures/ Associate Companies

The Statement containing salient features of the financial statement of subsidiaries/associate companies/joint ventures in Form AOC - 1 is annexed as Annexure I to the Directors' report.

During the year under review, the Company has increased its stake from 37% to 100% in Corolla Realty Limited. Now, Corolla Realty Limited is 100% Wholly Owned Subsidiary of the Company.

9. Scheme of Amalgamation

The Board of Directors of the Company has approved the scheme of amalgamation for merger of Four (4) Wholly Owned Subsidiaries namely Olive Realty Private Limited, Yashowardhan Promoters and Developers Private Limited, Corolla Realty Limited and Jasmine Hospitality Private Limited with the Company. The Company has received the No Objection Certificate for the scheme of Amalgamation from National Stock Exchange of India Limited and BSE Limited. These Subsidiaries have filed the applications for merger in the Hon'able High Court, Bombay.

10. Directors and Key Managerial Personnel

Pursuant to Section 152 of the Companies Act, 2013 read with Article 167 of the Articles of Association of the Company, Mrs. Sunita Kolte – Non-Executive Director will retire by rotation and being eligible, offered herself for re-appointment at this ensuing Annual General Meeting.

During the year under review, the role of Mrs. Sunita Kolte and Mrs. Vandana Patil has been changed from Executive Director to Non-Executive Director.

During the year under review, Mr. Atul Bohra was appointed as Chief Financial Officer of the Company by the Board of Directors in their meeting held on 05 November 2015 in place of Mrs. Shraddha Jain, who resigned with effect from 04 November 2015.

Further, Mr. Sujay Kalele – Chief Executive Office of the Company resigned with effect from 31 December 2015.

Mr. Achyut Watve – Independent Director resigned with effect from 01 April 2016. Mr. Umesh Joshi has been appointed as an Additional Director (Independent Director) with effect from 28 May 2016. The Board recommends the appointment of Mr. Umesh Joshi as an Independent Director.

The Company has received declarations from all the Independent Directors of the Company confirming that they meet the criteria of independence as prescribed both under the Act and Regulation 16 (b) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The Company has devised a Policy for performance evaluation of Independent Directors, Board, Committees and other individual Directors which includes criteria for performance evaluation of the non-executive directors and executive directors.

The Board members are provided with necessary documents, reports and policies to enable them to familiarise with the Company's procedures and practices. Periodic presentations are made at the Board and Committee Meetings, on business and performance up. The details of such familiarization programmes for Independent Directors are posted on the website of the Company and can be accessed at http://www.koltepatil.com/investors/corporate-governance.

The Policy for selection of Directors and determining Directors independence and Remuneration Policy for Directors, Key Managerial Personnel and other employees is annexed as Annexure II.

11. Meetings of the Board of Directors

Nine Board Meetings were held during the year and the gap between two meetings did not exceed four months. The dates on which the board meeting were held as follows:

(1) 26 May 2015,
(2) 24 July 2015,
(3) 10 August 2015,
(4) 05 October 2015,
(5) 09 October 2015,
(6) 05 November 2015,
(7) 21 December 2015,
(8) 12 February 2016 and
(9) 24 February 2016.

12. Statutory Auditors

M/s. Deloitte Haskins & Sells LLP (LLP Registration No. AAB-8737,FRN – 117366W/W-100018), Chartered Accountants, Pune were appointed as Statutory Auditors till the Annual General Meeting (AGM) to be held in the year 2018, subject to ratification of their appointment at every AGM.

13. Contracts or arrangements with related parties

During the year under review, all transactions/arrangements entered by the Company with related parties were in the ordinary course of business and on an arm's length basis.

The Policy on materiality of related party transactions and dealing with related party transactions as approved by the Board may be accessed on the Company's website at the link: http://www.koltepatil.com/investors/corporate-governance.

The details of all transactions with related party are given in the Note No. 40 in Notes to Accounts forming part of the Audited Standalone Financial Statement.

14. Conservation of energy, technology absorption and foreign exchange earnings and outgo

As the Company is not engaged in in the manufacturing activities, the information related to Conservation of energy, technology absorption has not been provided.

The details of Foreign Exchange outgo are given in Note No. 31 in Notes to accounts forming part of the Audited Financial Statements.

15. Particulars of loans, guarantees and investments

The particulars of loans, guarantees and investments are given in Note No. 13 and 45 in Notes to accounts forming part of the Audited Financial Statements.

16. Extract of the annual return

Pursuant to the provisions of Section 92 read with Rule 12 of the Companies (Management and administration) Rules, 2014, the extract of the annual return in Form No. MGT – 9 as provided in Annexure III forms part of the Board's report.

17. Corporate Social Responsibility (CSR)

In compliance with Section 135 of the Companies Act, 2013 read with the Companies (Corporate Social Responsibility Policy) Rules 2014, the Company has established Corporate Social Responsibility (CSR) Committee and Report on CSR Activities forms part of this Report as Annexure IV.

18. Audit Committee

The Audit Committee of the Company comprises of following members:

Name of the Member	Designation	Category
Mr. Prakash Gurav	Chairman	Independent Director
Mr. Achyut Watve*	Member	Independent Director
Mr. Jayant Pendse	Member	Independent Director
Mr. G L Vishwanath	Member	Independent Director
Mrs. Manasa Vishwanath	Member	Independent Director
Mr. Umesh Joshi$	Member	Independent Director
Mr. Milind Kolte	Member	Executive Director

*resigned with effect from 01 April 2016

$ appointed with effect from 28 May 2016

Mr. Vinod Patil, Company Secretary of the Company acts as the secretary to the Audit Committee and the Managing Director and Chief Financial Officer of the Company are permanent invitees to the Audit Committee Meetings.

The Board has accepted all the recommendation of the Audit Committee.

19. Vigil mechanism for directors and employees

The Vigil Mechanism of the Company, which also incorporates a whistle blower policy in Regulation 22 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, includes an Ethics & Compliance Task Force comprising senior executives of the Company. Protected disclosures can be made by a whistle blower through an e-mail, or dedicated telephone line or a letter to the Task Force or to the Chairman of the Audit Committee.

The Company seeks to maintain the highest ethical and business standards in the course of its business and has put in place mechanism of reporting illegal or unethical behavior. Directors, employees, vendors or customers may report violations of the laws, rules, regulations or unethical conducting by writing to the notified person. The report received from employees will be reviewed by Audit Committee. The Directors and Management Personnel are obligated to maintain confidentiality of such reporting and ensure that the whistle blowers are not subjected to any discriminatory practices. No person has been denied access to the Audit Committee.

The said policy can be accessed at http://www.koltepatil.com/investors/corporate-governance.

20. Nomination and Remuneration Committee

The Nomination and Remuneration Committee of the Company comprises of following members:

Name of the Member	Designation	Category
Mr. Jayant Pendse	Chairman	Independent Director
Mr. Prakash Gurav	Member	Independent Director
Mr. G. L. Vishwanath	Member	Independent Director
Mr. Achyut Watve*	Member	Independent Director
Mrs. Manasa Vishwanath	Member	Independent Director
Mr. Umesh Joshi$	Member	Independent Director
Mrs. Sunita Kolte$	Member	Non-Executive Director
Mr. Milind Kolte#	Member	Executive Director

*resigned with effect from 01 April 2016

$ appointed with effect from 28 May 2016

ceased with effect from 28 May 2016

21. Managerial Remuneration

The Details required as per Rule 5(1) and (2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 are given in Annexure V to the Directors report.

22. Employee Stock Option Scheme

The Nomination and Remuneration Committee of the Board of Directors of the Company, inter alia, administers and monitors the Employees' Stock Option Scheme of the Company in accordance with the applicable SEBI Guidelines.

The applicable disclosures as stipulated under the SEBI Guidelines as on 31 March 2016 (cumulative position) with regard to the Employees' Stock Option Scheme (ESOS) are provided in Annexure VI to this Report.

23. Secretarial Audit Report

Pursuant to Section 204 of the Companies Act 2013, the Company had appointed M/s. SVD & Associates, Company Secretaries, Pune as its Secretarial Auditors to conduct the secretarial audit of the Company for the Financial Year 2015-16. The Report of Secretarial Auditor for the Financial Year 2015-16 is annexed to this report as Annexure VII.

24. Corporate Governance Certificate

Report on Corporate Governance for the Financial Year 2015-16, as stipulated under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 is presented in a separate section forming part of the Annual Report.

The Company has obtained the Compliance certificate for the Financial Year 2015-16 from the Statutory Auditors i.e. M/s. Deloitte Haskins & Sells LLP for the compliance of conditions of corporate governance as stipulated in Regulation 34 (3) read with Part E of Schedule V of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

25. Risk management policy

The Company has constituted Risk Management Committee comprising 6 members, in which 3 members are Independent Directors. The Risk Management Committee has approved the Risk Management Policy. The Committee monitors the policy, ensures that the Company is acting appropriately to achieve prudent balance between the risk and reward and evaluates significant risk exposures and assesses the management's actions to mitigate the exposures.

26. Directors' Responsibility Statement

Your Directors state that:

a) in the preparation of the annual accounts for the year ended 31 March 2016, the applicable accounting standards read with requirements set out under Schedule III to the Act, have been followed and there are no material departures from the same;

b) the Directors have selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at 31 March 2016 and of the profit of the Company for the year ended on that date;

c) the Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

d) the Directors have prepared the annual accounts on a 'going concern' basis;

e) the Directors have laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and are operating effectively; and

f) the Directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and operating effectively.

27. Management's Discussion And Analysis Report

Management's Discussion and Analysis Report for the year under review, as stipulated in Regulation 34 (2) (e) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, is presented in a separate section forming part of the Annual Report.

28. Acknowledgements

Your Directors take this opportunity to thank customers, vendors, stakeholders, Central and State Governments, business associates and bankers for their consistent support and co-operation to the Company. Your Directors take this opportunity to thank all the employees. The employees have helped for sustained excellence in performance of the Company.

Finally, the Directors would like to convey their gratitude to the members for reposing their confidence and faith in the Company and its management.

For and on behalf of the Board of Directors,

Rajesh Patil
Chairman and Managing Director
DIN 00381866

Date: 28 May 2016
Place: Pune

ANNEXURE – I

Form AOC-1

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Statement containing salient features of the Financial Statement of Subsidiaries/Associate Companies/Joint Ventures

PART A: DETAILS OF SUBSIDIARIES

(₹ in Lakhs)

Name of the subsidiary	Kolte-Patil Real Estate Private Limited	Bellflower Properties Private Limited	Tuscan Real Estate Private Limited	Snowflower Properties Private Limited	Regenesis Facility Management Company Private Limited	Olive Realty Private Limited	Corolla Realty Limited	Sylvan Acres Realty Private Limited	Jasmine Hospitality Private Limited	Yashwardhan Promoters and Developers Private Limited	PNP Retail Private Limited	PNP Agrotech Private Limited
Reporting period	31 March 2016	31 March 2016	31 March 2016	31 March 2016	31 March 2016	31 March 2016	31 March 2016	31 March 2016	31 March 2016	31 March 2016	31 March 2016	31 March 2016
Share capital	2,693.88	100.00	100.00	5.00	2.00	100.00	57.93	375.00	3,016.90	18.50	1,968.34	932.52
Reserves & surplus	13,667.44	1,980.38	1,128.33	1,999.50	101.02	(98.73)	12,025.66	715.72	707.42	170.10	(1,403.95)	(172.69)
Total assets	23,629.73	4,341.32	9,161.79	16,552.40	138.55	2,790.84	24,365.38	1,241.84	3,953.24	326.77	994.84	1,146.12
Total Liabilities (excluding Share capital and Reserves & Surplus)	7,268.42	2,260.94	7,933.46	14,547.90	35.53	2,789.56	12,281.78	151.12	228.91	138.16	430.45	386.29
Investments	-	-	-	-	-	-	-	-	-	1.04	-	-
Turnover	10,241.70	3,690.23	2,934.36	14,905.90	219.12	393.25	10,263.69	-	-	-	583.01	68.43
Profit before taxation	3,190.14	1,350.47	5.76	3,179.96	23.22	(80.73)	2,846.12	453.93	(9.13)	(4.98)	(346.97)	(51.05)
Provision for taxation	1,259.88	482.42	(21.29)	1,075.46	7.73	23.02	1,020.32	132.38	0.00	6.26	(107.08)	-
Profit after taxation	1,930.25	868.05	27.05	2,104.50	15.49	(103.75)	1,825.80	321.54	(9.13)	(11.24)	(239.89)	(51.05)
Proposed Dividend	-	-	-	-	-	-	-	-	-	-	-	-
% of shareholding	51.00%	50.0001%	51.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

PART “B”: ASSOCIATES AND JOINT VENTURES

Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures

(₹ in Lakhs)

Name of associates/Joint Ventures	Kolte-Patil I-Ven Townships (Pune) Limited
1. Latest audited Balance Sheet Date	31 March 2016
2. Number of Shares of Associate/Joint Ventures held by the company on the year end	45,00,000
Amount of Investment in Associates/Joint Venture	450.00
Extend of Holding%	45%
3. Description of how there is significant influence	As per the Joint Venture Agreement, there is significant influence.
4. Reason why the associate/joint venture is not consolidated	N.A.
5. Net worth attributable to shareholding as per latest audited Balance Sheet	10,125.61
6. Profit/(Loss) for the year	(2,276)
i. Considered in Consolidation	(1,024.27)
ii. Not Considered in Consolidation	(1,251.89)

ANNEXURE – II

POLICY FOR SELECTION OF DIRECTORS AND DETERMINING DIRECTORS INDEPENDENCE AND REMUNERATION POLICY FOR DIRECTORS, KEY MANAGERIAL PERSONNEL AND OTHER EMPLOYEES

PREAMBLE

OVERVIEW UNDER COMPANIES ACT 2013

{Section 178 & Companies [Meetings of Board and its Powers] Rules 2014}

- Constitution of the Nomination and Remuneration Committee consisting of three or more non-executive directors out of which not less than one-half shall be independent directors
- The Nomination and Remuneration Committee shall identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, recommend to the Board their appointment and removal and shall carry out evaluation of every director’s performance.
- The Nomination and Remuneration Committee shall formulate the criteria for determining qualifications, positive attributes and independence of a director and recommend to the Board a policy, relating to the remuneration for the directors, key managerial personnel and senior management personnel i.e. employees at one level below the Board including functional heads.
- The Nomination and Remuneration Committee shall, while formulating the policy ensure that:
- The level and composition of remuneration is reasonable and sufficient to attract, retain and motivate directors of the quality required to run the company successfully;
- Relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and
- Remuneration to directors, key managerial personnel and senior management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals.
- Such policy shall be disclosed in the Board’s report.

OVERVIEW OF SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENT) REGULATIONS, 2015

The company shall set up a Nomination and Remuneration committee which shall comprise at least three directors, all of whom shall be non-executive directors and at least half shall be independent. Chairman of the committee shall be an independent director.

The role of the committee shall, inter-alia, include the following:

- Formulation of the criteria for determining qualifications, positive attributes and independence of a director and recommend to the Board a policy, relating to the remuneration of the directors, key managerial personnel and other employees;

- Formulation of criteria for evaluation of Independent Directors and the Board;
- Devising a policy on Board diversity;
- Identifying persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, and recommend to the Board their appointment and removal. The company shall disclose the remuneration policy and the evaluation criteria in its Annual Report.

PRESENT POSITION OF DIRECTORS & KEY MANAGERIAL PERSONNEL OF THE COMPANY

- The Company has constituted a Nomination and Remuneration Committee of the Board of Directors (Board).
- At present, there are total ten directors on the Board of which three (3) are Executive Directors and two (2) are Non - Executive and non-Independent and five (5) are Non-Executive Independent.
- Key Managerial Personnel (KMP) consists of Chairman and Managing Director, Vice Chairman, Executive Directors, Chief Executive Officer, Chief Financial Officer and Company Secretary.

COMPOSITION OF NOMINATION AND REMUNERATION COMMITTEE

Name of the Member	Designation	Category
Mr. Jayant Pendse	Chairman	Independent Director
Mr. Prakash Gurav	Member	Independent Director
Mr. G. L. Vishwanath	Member	Independent Director
Mr. Umesh Joshi	Member	Independent Director
Mrs. Manasa Vishwanath	Member	Independent Director
Mrs. Sunita Kolte	Member	Non-Executive Director

TERMS OF REFERENCE TO NOMINATION AND REMUNERATION COMMITTEE

- To recommend to the Board appointment, re-appointment of Directors, Executive Directors and Key Managerial Personnel and determination, fixation of the remuneration and revision in the remuneration payable to the Executive Directors of the Company and removal of the Director/ Executive Director/Key Managerial Personnel;
- To formulate the criteria for determining qualifications, positive attributes and independence of the Director;
- To recommend the Board the policy related to the remuneration of Directors, Key Managerial Personnel and other employees;
- To carry out evaluation performance of every Director of the Company; and
- To formulate and recommend to the Board of Directors the policy relating to the stock options to the employees, grant the stock options to the eligible employees and review the management of stock option scheme.

CRITERIA FOR DETERMINING THE FOLLOWING:

Qualifications for appointment of Directors (including Independent Directors):

- Persons of eminence, standing and knowledge with significant achievements in business, professions and/or public service.
- Their financial or business literacy/skills.
- Appropriate other qualification/experience to meet the objectives of the Company.
- As per the applicable provisions of Companies Act 2013, Rules made there under and Regulations of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The Nomination and Remuneration Committee shall have discretion to consider and fix any other criteria or norms for selection of the most suitable candidate/s.

Positive attributes of Directors (including Independent Directors):

- Demonstrate integrity, credibility, trustworthiness, ability to handle conflict constructively, and the willingness to address issues proactively.
- Actively update their knowledge and skills with the latest developments in market conditions and applicable legal provisions.
- Willingness to devote sufficient time and attention to the Company's business and discharge their responsibilities.
- Assist in bringing independent judgment to bear on the Board's deliberations especially on issues of strategy, performance, risk management, resources, key appointments and standards of conduct and ability to develop a good working relationship with other Board members and contribute to the Board's working relationship with the senior management of the Company.
- Act within their authority, assist in protecting the legitimate interests of the Company, its shareholders and employees

- Independent Directors to meet the requirements of the Companies Act, 2013 read with the Rules made there under and Regulations under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended from time to time.

Criteria for appointment of KMP/Senior Management:

- Possess the required qualifications, experience, skills & expertise to effectively discharge their duties and responsibilities.
- Practice and encourage professionalism and transparent working environment.
- Build teams and carry the team members along for achieving the goals/objectives and corporate mission.
- Adhere strictly to code of conduct

POLICY RELATING TO REMUNERATION OF DIRECTORS, KMP & SENIOR MANAGEMENT PERSONNEL:

- To ensure that the level and components of remuneration is reasonable and sufficient to attract, retain and motivate Directors, KMP and other employees of the quality required to run the Company successfully.
- No director/Key Managers of Personnel/ other employee is involved in deciding his or her own remuneration.
- The trend prevalent in the similar industry, nature and size of business is kept in view and given due weight age to arrive at a competitive quantum of remuneration.
- It is to be ensured that relationship of remuneration to the performance is clear & meets appropriate performance benchmarks which are unambiguously laid down and communicated.
- Improved performance should be rewarded by increase in remuneration and suitable authority for value addition in future.
- Remuneration packages should strike a balance between fixed and incentive pay, where applicable, reflecting short and long term performance objectives appropriate to the Company's working and goals.
- Other criteria are also to be considered such as Responsibilities and duties; Time & efforts devoted; Value addition; Profitability of the Company & growth of its business; Analyzing each and every position and skills for fixing the remuneration yardstick; Standards for certain functions where there is a scarcity of qualified resources; Ensuring tax efficient remuneration structures; Ensuring that remuneration structure is simple and that the cost to the Company (CTC) is not shown inflated and the effective take home remuneration is not low.
- Consistent application of remuneration parameters across the organisation.
- Provisions of law with regard making payment of remuneration, as may be applicable, are complied.

REVIEW

The policy shall be reviewed by the Nomination & Remuneration Committee and the Board, from time to time as may be necessary.

ANNEXURE – III

Form No. MGT-9

EXTRACT OF ANNUAL RETURN
as on the financial year ended on 31 March 2016

[Pursuant to section 92(3) of the Companies Act, 2013 and rule 12(1) of the Companies (Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS:

i) CIN: L45200PN1991PLC129428

ii) Registration Date: November 25, 1991

iii) Name of the Company: Kolte-Patil Developers Limited

iv) Category of the Company: Company limited by shares

v) Sub-Category of the Company: Indian Non-Government Company

vi) Address of the Registered office and contact details:

2nd Floor, City Point, Dhole Patil Road, Pune - 411001
Tel. No.: +91-20-66226500
Fax No.: +91-20-66226511
Email Id: investorrelation@koltepatil.com
Website: www.koltepatil.com

vii) Whether listed company: Yes

viii) Name, Address and Contact details of Registrar and Transfer Agent:

Bigshare Services Private Limited
E/2 & 3, Ansa Industrial Estate,
Sakivihar Road, Sakinaka, Andheri (E),
Mumbai - 400072
Tel. No.: +91-22-40430200
Fax No.: +91-22-28475207
Email Id: investor@bigshareonline.com
Website: www. bigshareonline.com

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

All the business activities contributing 10% or more of the total turnover of the company shall be stated:

Sr. No.	Name and Description of main products / services	NIC Code of the Product/ service	% to total turnover of the company
1	Real Estate Activities	70	100%

III. PARTICULARS OF SUBSIDIARY AND ASSOCIATE COMPANIES

Sr. No.	Name of the Company	Registered office Address of the Company	CIN	Holding/ subsidiary/ associate	% of shares held	Applicable Section
1	Kolte-Patil Real Estate Private Limited	2nd Floor, City Point Dhole Patil Road, Pune – 411001	U70102PN2006PTC129191	Subsidiary	51%	2 (87)
2	Bellflower Properties Private Limited	2nd Floor, City Point Dhole Patil Road, Pune – 411001	U70102PN2007PTC129659	Subsidiary	50.0001%	2 (87)
3	Tuscan Real Estate Private Limited	City Point Dhole Patil Road, Pune - 411001	U45209PN2006PTC129094	Subsidiary	51%	2 (87)
4	Jasmine Hospitality Private Limited	2nd Floor, City Point Dhole Patil Road, Pune – 411001	U55101PN2007PTC158469	Subsidiary	100%	2 (87)
5	Corolla Realty Limited	City Point Dhole Patil Road, Pune - 411001	U70102PN2006PLC021837	Subsidiary	100%	2 (87)
6	Olive Realty Private Limited	2nd Floor, City Point Dhole Patil Road, Pune – 411001	U70102PN2007PTC129473	Subsidiary	100%	2 (87)
7	Snowflower Properties Private Limited	2nd Floor, City Point Dhole Patil Road, Pune – 411001	U45202PN2008PTC132206	Subsidiary	100%	2 (87)

Sr. No.	Name of the Company	Registered office Address of the Company	CIN	Holding/ subsidiary/ associate	% of shares held	Applicable Section
8	Sylvan Acres Realty Private Limited	City Point Dhole Patil Road, Pune - 411001	U70102PN2005PTC021479	Subsidiary	100%	2 (87)
9	Regenesis Facility Management Company Pvt. Ltd.	2nd Floor, City Point Dhole Patil Road, Pune – 411001	U74900PN2008PTC132090	Subsidiary	100%	2 (87)
10	Yashowardhan Promoters & Developers Pvt. Ltd.	S. No. 44A/1, Pune Alandi Road, Vishrantwadi, Dhanori, Pune- 411015	U45209PN2005PTC021257	Subsidiary	100%	2 (87)
11	PNP Retail Private Limited	#22/11,2nd Floor, Park West, Vittal Mallya Road, Bangalore- 560001	U52100KA2009PTC051358	Subsidiary	100%	2 (87)
12	PNP Agrotech Private Limited	#22/11,2nd Floor, Park West, Vittal Mallya Road, Bangalore- 560001	U01400KA2011PTC060411	Subsidiary	100%	2 (87)
13	Kolte-Patil I-Ven Townships (Pune) Limited	Survey No. 74, marunji, Hinjewadi-Marunji-Kasarsai Road, Taluka-Mulshi, Pune- 411057	U70102PN2005PLC140660	Associate	45%	2 (6)

IV. SHARE HOLDING PATTERN (EQUITY SHARE CAPITAL BREAKUP AS PERCENTAGE OF TOTAL EQUITY)

(i) Category-wise Share Holding

Category of Shareholder	No. of Shares held at the beginning of the year 01.04.2015				No. of Shares held at the end of the year 31.03.2016				% Change during the year
	Demat	Physical	Total	% of Total shares	Demat	Physical	Total	% of Total shares	
A. Promoters									
Indian									
Individuals/ Hindu Undivided Family	5,64,79,095	-	5,64,79,095	74.54%	5,64,79,095	-	5,64,79,095	74.54%	0.00%
Central Government/ State Government(s)	-	-	-	0.00%	-	-	-	0.00%	0.00%
Bodies Corporate	-	-	-	0.00%	-	-	-	0.00%	0.00%
Financial Institutions/ Banks	-	-	-	0.00%	-	-	-	0.00%	0.00%
Any Others(Specify)	-	-	-	0.00%	-	-	-	0.00%	0.00%
Sub Total(A)(1)	5,64,79,095	-	5,64,79,095	74.54%	5,64,79,095	-	5,64,79,095	74.54%	0.00%
Foreign									
Individuals (Non-Residents Individuals/Foreign Individuals)	-	-	-	0.00%	-	-	-	0.00%	0.00%
Bodies Corporate	-	-	-	0.00%	-	-	-	0.00%	0.00%
Institutions	-	-	-	0.00%	-	-	-	0.00%	0.00%
Qualified Foreign Investor	-	-	-	0.00%	-	-	-	0.00%	0.00%
Any Others(Specify)	-	-	-	0.00%	-	-	-	0.00%	0.00%
Sub Total(A)(2)	-	-	-	0.00%	-	-	-	0.00%	0.00%
Total Shareholding of Promoters (A)= (A)(1)+(A)(2)	5,64,79,095	-	5,64,79,095	74.54%	5,64,79,095	-	5,64,79,095	74.54%	0.00%
B. Public shareholding									
1. Institutions									
Mutual Funds/UTI	1,90,023	-	1,90,023	0.25%	30,162	-	30,162	0.04%	-0.21%
Financial Institutions/Banks	53,266	-	53,266	0.07%	21,305	-	21,305	0.03%	-0.04%

Category of Shareholder	No. of Shares held at the beginning of the year 01.04.2015				No. of Shares held at the end of the year 31.03.2016				% Change during the year
	Demat	Physical	Total	% of Total shares	Demat	Physical	Total	% of Total shares	
Central Government/State Government(s)	-	-	-	0.00%	-	-	-	0.00%	0.00%
Venture Capital Funds	-	-	-	0.00%	-	-	-	0.00%	0.00%
Insurance Companies	-	-	-	0.00%	-	-	-	0.00%	0.00%
Foreign Institutional Investors	81,87,044	-	81,87,044	10.80%	88,34,214	-	88,34,214	11.66%	0.86%
Qualified Foreign Investor	-	-	-	0.00%	-	-	-	0.00%	0.00%
Foreign Venture Capital Investors	-	-	-	0.00%	-	-	-	0.00%	0.00%
Any Other (specify)	-	-	-	0.00%	-	-	-	0.00%	0.00%
Sub-Total (B)(1)	**84,30,333**	**-**	**84,30,333**	**11.12%**	**88,85,681**	**-**	**88,85,681**	**11.73%**	**0.61%**
2. Non-institutions									
Bodies Corporate	17,90,091	-	17,90,091	2.36%	13,41,370	-	13,41,370	1.77%	-0.59%
Individuals									
Individuals -i. Individual shareholders holding nominal share capital up to Rs 1 lakh	49,55,502	507	49,56,009	6.54%	54,06,164	507	54,06,671	7.14%	0.60%
ii. Individual shareholders holding nominal share capital in excess of ₹ 1 lakh.	25,28,018	-	25,28,018	3.34%	21,37,149	-	21,37,149	2.82%	-0.52%
Qualified Foreign Investor	-	-	-		-	-	-	0.00%	0.00%
Any Other (specify)									
Clearing Member	80,286	-	80,286	0.11%	97,858	-	97,858	0.13%	0.02%
NRIs	10,52,210	-	10,52,210	1.39%	10,76,551	-	10,76,551	1.42%	0.03%
Trusts	1,588	-	1,588	0.00%	1,588	-	1,588	0.00%	0.00%
Employees	91,360	-	91,360	0.12%	72,513	-	72,513	0.10%	-0.02%
Overseas Bodies Corporates	3,65,919		3,65,919	0.48%	2,76,433		2,76,433	0.36%	-0.12%
Sub-Total (B)(2)	**1,08,64,974**	**507**	**1,08,65,481**	**14.34%**	**1,04,09,626**	**507**	**1,04,10,133**	**13.74%**	**-0.60%**
Total Public Shareholding (B)=(B)(1)+(B)(2)	**1,92,95,307**	**507**	**1,92,95,814**	**25.46%**	**1,92,95,307**	**507**	**1,92,95,814**	**25.46%**	**0.00%**
TOTAL (A)+(B)	**7,57,74,402**	**507**	**7,57,74,909**	**100.00%**	**7,57,74,402**	**507**	**7,57,74,909**	**100.00%**	**0.00%**
Shares held by Custodians and against which Depository Receipts have been issued									
Promoter and Promoter Group	-	-	-	0.00%	-	-	-	0.00%	0.00%
Public	-	-	-	0.00%	-	-	-	0.00%	0.00%
Sub-Total (C)	**-**	**-**	**-**	**0.00%**	**-**	**-**	**-**	**0.00%**	**0.00%**
GRAND TOTAL (A)+(B)+(C)	**7,57,74,402**	**507**	**7,57,74,909**	**100.00%**	**7,57,74,402**	**507**	**7,57,74,909**	**100.00%**	

(ii) Shareholding of Promoters

Sr. No.	Shareholder's Name	Shareholding at the beginning of the year 01.04.2015			Share holding at the end of the year 31.03.2016			% change in share holding during the year
		No. of Shares	% of total Shares of the company	%of Shares Pledged / encumbered to total shares	No. of Shares	% of total Shares of the company	%of Shares Pledged / encumbered to total shares	
1	Rajesh Patil	1,54,86,031	20.44	NIL	1,54,86,031	20.44	NIL	NIL
2	Naresh Patil	1,49,49,148	19.73	NIL	1,49,49,148	19.73	NIL	NIL
3	Milind Kolte	64,42,156	8.50	NIL	64,42,156	8.50	NIL	NIL
4	Sunita Kolte	55,39,553	7.31	NIL	55,39,553	7.31	NIL	NIL
5	Vandana Patil	70,39,319	9.29	NIL	70,39,319	9.29	NIL	NIL
6	Sunita Patil	70,21,861	9.27	NIL	70,21,861	9.27	NIL	NIL
7	Ankita Patil	1,027	0.00	NIL	1,027	0.00	NIL	NIL
	Total	**5,64,79,095**	**74.54**		**5,64,79,095**	**74.54**		

(iii) Change in Promoters' Shareholding (please specify, if there is no change)

Sr. No.	Particulars	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1	At the beginning of the year	5,64,79,095	74.54	5,64,79,095	74.54
2	Date wise Increase / Decrease in Promoters Share holding during the year specifying the reasons for increase / decrease (e.g. allotment / transfer / bonus/ sweat equity etc):	No change in promoter's shareholding during the financial year 2015-16			
3	At the End of the year	5,64,79,095	74.54	5,64,79,095	74.54

(iv) Shareholding Pattern of top ten Shareholders (other than Directors, Promoters and Holders of GDRs and ADRs):

Sr. No.	Name	Shareholding		Date	Increase/ Decrease in shareholding	Reasons	Cumulative Shareholding during the year 01 April 2015 - 31 March 2016	
		No. of shares held at the beginning of the year 01 April 2015 and end of the year 31 March 2016	% of total shares of the company				No. of shares	% of total shares of the company
1	Goldman Sachs India Fund Limited	32,13,111	4.24%	01-Apr-15				
				10-Apr-15	1,95,955	Market Buy	34,09,066	4.50%
				24-Apr-15	50,599	Market Buy	34,59,665	4.57%
				01-May-15	91,000	Market Buy	35,50,665	4.69%
				08-May-15	78,381	Market Buy	36,29,046	4.79%
				05-Jun-15	1,08,745	Market Buy	37,37,791	4.93%
				12-Jun-15	17,975	Market Buy	37,55,766	4.96%
				19-Jun-15	33,772	Market Buy	37,89,538	5.00%
				31-Jul-15	58,370	Market Buy	38,47,908	5.08%
		38,47,908	5.08%	31-Mar-16				
2	Grandeur Peak Emerging Markets Opportunities Fund	12,43,750	1.64%	01-Apr-15				
				28-Aug-15	26,989	Market Buy	12,70,739	1.68%
				11-Sep-15	2,000	Market Buy	12,72,739	1.68%
				20-Nov-15	(6,830)	Market Sell	12,65,909	1.67%
		12,65,909	1.67%	31-Mar-16				

Sr. No.	Name	Shareholding		Date	Increase/ Decrease in shareholding	Reasons	Cumulative Shareholding during the year 01 April 2015 - 31 March 2016	
		No. of shares held at the beginning of the year 01 April 2015 and end of the year 31 March 2016	% of total shares of the company				No. of shares	% of total shares of the company
3	Rameshkumar S Goenka	9,00,000	1.19%	01-Apr-15				
				10-Apr-15	(88,817)	Market Sell	8,11,183	1.07%
		8,11,183	1.07%	31-Mar-16				
4	Grandeur Peak International Opportunities Fund	7,42,300	0.98%	01-Apr-15				
				9-Sep-15	40,000	Market Buy	7,82,300	1.03%
				11-Sep-15	13,000	Market Buy	7,95,300	1.05%
				16-Sep-15	6,900	Market Buy	8,02,200	1.06%
				30-Sep-15	14,594	Market Buy	8,16,794	1.08%
		8,16,794	1.08%	31-Mar-16				
5	Alpine Global Premier Properties Fund	7,44,090	0.98%	1-Apr-15				
		7,44,090	0.98%	31-Mar-16				
6	Grandeur Peak Global Opportunities Fund	6,52,097	0.86%	01-Apr-15				
				9-Sep-15	52,000	Market Buy	7,04,097	0.93%
				11-Sep-15	6,000	Market Buy	7,10,097	0.94%
		7,10,097	0.94%	31-Mar-16				
7	Vaibhav R Kacholia	3,80,464	0.50%	01-Apr-15				
				31-Dec-15	(2,000)	Market Sell	3,78,464	0.50%
		3,78,464	0.50%	31-Mar-16				
8	Ashmore Sicav Indian Small-Cap Equity Fund	3,65,919	0.48%	01-Apr-15				
				24-Apr-15	27,100	Market Buy	3,93,019	0.52%
				15-May-15	21,599	Market Buy	4,14,618	0.55%
				31-Jul-15	62,429	Market Buy	4,77,047	0.63%
				7-Aug-15	45,524	Market Buy	5,22,571	0.69%
				14-Aug-15	19,000	Market Buy	5,41,571	0.71%
				21-Aug-15	9,000	Market Buy	5,50,571	0.73%
				8-Jan-16	(27,484)	Market Sell	5,23,087	0.69%
				15-Jan-16	(17,218)	Market Sell	5,05,869	0.67%
				22-Jan-16	(51,625)	Market Sell	4,54,244	0.60%
				29-Jan-16	(13,189)	Market Sell	4,41,055	0.58%
				4-Mar-16	(78,400)	Market Sell	3,62,655	0.48%
				25-Mar-16	(96,500)	Market Sell	2,66,155	0.35%
				31-Mar-16	(1,01,300)	Market Sell	1,64,855	0.22%
		1,64,855	0.22%	31-Mar-16				
9	N S Raghavan	2,94,680	0.39%	01-Apr-15				
		2,94,680	0.39%	31-Mar-16				
10	Grandeur Peak Global Reach Fund	2,77,200	0.37%	01-Apr-15				
				29-May-15	51,500	Market Buy	3,28,700	0.43%
				28-Aug-15	8,500	Market Buy	3,37,200	0.45%
				20-Nov-15	(3,500)	Market Sell	3,33,700	0.44%
				27-Nov-15	(4,932)	Market Sell	3,28,768	0.43%
				4-Dec-15	(7,200)	Market Sell	3,21,568	0.42%
				11-Dec-15	(28,930)	Market Sell	2,92,638	0.39%
				22-Jan-16	(33,696)	Market Sell	2,58,942	0.34%
				29-Jan-16	(45,000)	Market Sell	2,13,942	0.28%
				5-Feb-16	(79,569)	Market Sell	1,34,373	0.18%
		1,34,373	0.18%	31-Mar-16				
11	Dimensional Emerging Markets Value Fund	2,14,847	0.28%	01-Apr-15				
				10-Apr-15	10,277	Market Buy	2,25,124	0.30%
				17-Apr-15	9,038	Market Buy	2,34,162	0.31%
				24-Apr-15	5,793	Market Buy	2,39,955	0.32%
				1-May-15	4,629	Market Buy	2,44,584	0.32%
				15-May-15	4,961	Market Buy	2,49,545	0.33%
				30-Jun-15	5,101	Market Buy	2,54,646	0.34%
				3-Jul-15	4,335	Market Buy	2,58,981	0.34%
				10-Jul-15	4,648	Market Buy	2,63,629	0.35%
				17-Jul-15	8,237	Market Buy	2,71,866	0.36%
				31-Jul-15	5,020	Market Buy	2,76,886	0.37%
		2,76,886	0.37%	31-Mar-16				

Sr. No.	Name	Shareholding: No. of shares held at the beginning of the year 01 April 2015 and end of the year 31 March 2016	Shareholding: % of total shares of the company	Date	Increase/ Decrease in shareholding	Reasons	Cumulative Shareholding during the year 01 April 2015 - 31 March 2016: No. of shares	Cumulative Shareholding during the year 01 April 2015 - 31 March 2016: % of total shares of the company
12	Grandeur Peak Global Opportunities L.P	1,95,307	0.26%	01-Apr-15				
				9-Sep-15	33,630	Market Buy	2,28,937	0.30%
				11-Sep-15	5,000	Market Buy	2,33,937	0.31%
		2,33,937	0.31%	31-Mar-16				

(v) Shareholding of Directors and Key Managerial Personnel:

Sr. No.	Name	Shareholding: No. of shares held at the beginning of the year 01 April 2015 and end of the year 31 March 2016	Shareholding: % of total shares of the company	Date	Increase/ Decrease in shareholding	Reasons	Cumulative Shareholding during the year 01 April 2015 - 31 March 2016: No. of shares	Cumulative Shareholding during the year 01 April 2015 - 31 March 2016: % of total shares of the company
1	Mr. Rajesh Patil	1,54,86,031	20.44	1-Apr-15	-	-	1,54,86,031	20.44
		1,54,86,031	20.44	31-Mar-16			1,54,86,031	20.44
2	Mr. Naresh Patil	1,49,49,148	19.73	1-Apr-15	-	-	1,49,49,148	19.73
		1,49,49,148	19.73	31-Mar-16			1,49,49,148	19.73
3	Mr. Milind Kolte	64,42,156	8.5	1-Apr-15	-	-	64,42,156	8.5
		64,42,156	8.5	31-Mar-16			64,42,156	8.5
4	Mrs. Sunita Kolte	55,39,553	7.31	1-Apr-15	-	-	55,39,553	7.31
		55,39,553	7.31	31-Mar-16			55,39,553	7.31
5	Mrs. Vandana Patil	70,39,319	9.29	1-Apr-15	-	-	70,39,319	9.29
		70,39,319	9.29	31-Mar-16			70,39,319	9.29
7	Mr. Prakash Gurav	0	0	1-Apr-15	-	-	0	0
		0	0	31-Mar-16			0	0
8	Mr. Achyut Watve	10,000	0.01	1-Apr-15	-	-	10,000	0.01
		10,000	0.01	31-Mar-16			10,000	0.01
9	Mr. Jayant Pendse	0	0	1-Apr-15	-	-	0	0
		0	0	31-Mar-16			0	0
10	Mr. G L Vishwanath	0	0	1-Apr-15	-	-	0	0
		0	0	31-Mar-16			0	0
11	Mrs. Manasa Vishwanath	0	0	1-Apr-15	-	-	0	0
		0	0	31-Mar-16			0	0
12	Mr. Sujay Kalele#	0	0	1-Apr-15	-	-	0	0
		0	0	31-Dec-15			0	0
13	Mrs. Shraddha Jain$	0	0	1-Apr-15	-	-	0	0
		0	0	04-Nov-15			0	0
14	Mr. Atul Bohra@	0	0	05-Nov-15	-	-	0	0
		0	0	31-Mar-16			0	0
15	Mr. Vinod Patil	8,456	0.01	1-Apr-15			8,456	0.01
		8,456	0.01	31-Mar-16			8,456	0.01

#Mr. Sujay Kalele – CEO up to 31 December 2015

$ Mrs. Shraddha Jain – CFO up to 04 November 2015

@Mr Atul Bohra – CFO w.e.f. 05 November 2015

V. INDEBTEDNESS

Indebtedness of the Company including interest outstanding / accrued but not due for payment.

(₹ in Lakhs)

	Secured Loans excluding deposits	Unsecured Loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the financial year				
i) Principal Amount	19,741	5,135	-	24,876
ii) Interest due but not paid	-	487	-	487
iii) Interest accrued but not due	105	-	-	105
Total (i+ii+iii)	**19,846**	**5,622**	-	**25,468**
Change in Indebtedness during the financial year				
■ Addition	27,281	-	-	27,281
■ Reduction	12,643	5,135	-	17,778
Net Change	14,638	(5,135)	-	9,503
Indebtedness at the end of the financial year				
i) Principal Amount	34,379	-	-	34,379
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	528	770	-	1,298
Total (i+ii+iii)	**34,907**	**770**	-	**35,677**

Note: Indebtedness amount includes Non-Convertible Debentures issued by the Company.

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

A. Remuneration to Chairman & Managing Director, Whole-time Directors:

(₹ in Lakhs)

Particulars of Remuneration	Name of MD/WTD/ Manager					Total Amount
	Mr. Rajesh Patil *Chairman and Managing Director*	Mr. Naresh Patil *Vice Chairman*	Mr. Milind Kolte *Executive Director*	Mrs. Sunita Kolte *Non-Executive Director**	Mrs. Vandana Patil *Non-Executive Director**	
Gross salary						
(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	89.23	89.23	89.23	13.85	13.85	295.39
(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	12.93	0.40	0.40	-	-	13.73
(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	-	-	-	-	-	-
Stock Option	-	-	-	-	-	-
Sweat Equity	-	-	-	-	-	-
Commission - as % of profit	-	-	-	-	-	-
Others, please specify	-	-	-	-	-	-
Total (A)	102.16	89.63	89.63	13.85	13.85	309.12
Ceiling as per the Act	₹503.11 (10% of the net profit calculated as per Section 198 of the Companies Act, 2013)					

*Non- Executive Director w.e.f. 01 July 2015

B. Remuneration to other directors:

(₹ in Lakhs)

Particulars of Remuneration	Name of Directors							Total Amount
	Mrs. Sunita Kolte*	Mrs. Vandana Patil*	Mr. Achyut Watve	Mr. Jayant Pendse	Mr. Prakash Gurav	Mr. G L Vishwanath	Mrs. Manasa Vishwanath	
1. Independent Directors								
Fee for attending board / committee meetings	-	-	3.50	4.00	3.50	2.00	2.00	15.00
Commission	-	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-	-
Total (1)	-	-	3.50	4.00	3.50	2.00	2.00	15.00
2. Other Non-Executive Directors								
Fee for attending board / committee meetings	3.00	2.00	-	-	-	-	-	5.00
Commission	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-
Total (2)	3.00	2.00	-	-	-	-	-	-
Grand Total (1+2)	3.00	2.00	3.50	4.00	3.50	2.00	2.00	20.00
Overall Ceiling as per the Act	₹50.31 (1% of the net profit calculated as per Section 198 of the Companies Act, 2013)							

* Non-Executive Director w.e.f. 01 July 2015

C. REMUNERATION TO KEY MANAGERIAL PERSONNEL OTHER THAN MD/MANAGER/WTD

(₹ in Lakhs)

Particulars of Remuneration	Key Managerial Personnel				Total
	Mr. Sujay Kalele *CEO**	Mrs. Shraddha Jain *CFO#*	Mr. Atul Bohra *CFO$*	Mr. Vinod Patil *Company Secretary*	
Gross salary					
(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	170.33	29.49	16.66	20.15	236.63
(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	18.00	-	-	-	18.00
(c) Profits in lieu of salary under section 17(3) Income tax Act, 1961	-	-	-	-	-
Commission as % of profit and others	-	-	-	-	-
Total	**188.33**	**29.49**	**16.66**	**20.15**	**254.63**

* Mr. Sujay Kalele – CEO ceased w.e.f. 31 December 2015
#Mrs. Shraddha Jain – CFO ceased w.e.f. 04 November 2015
$Mr. Atul Bohra – CFO appointed w.e.f. 05 November 2015

VII. PENALTIES / PUNISHMENT/ COMPOUNDING OF OFFENCES:

Type	Section of the Companies Act	Brief Description	Details of Penalty / Punishment/ Compounding fees imposed	Authority [RD / NCLT/ COURT]	Appeal made, if any (give Details)
Penalty	Nil				
Punishment					
Compounding					
C. OTHER OFFICERS IN DEFAULT					
Penalty	Nil				
Punishment					
Compounding					

ANNEXURE – IV

Corporate Social Responsibility (CSR)

[Pursuant to clause (o) of sub-section (3) of section 134 of the Act and Rule 8 of the Companies (Corporate Social Responsibility) Rules, 2014]

1.	A brief outline of the Company's CSR policy, including overview of projects or programs proposed to be undertaken and a reference to the web-link to the CSR policy and projects or programs	The CSR Committee has formulated CSR policy and to spent CSR corpus on primary on education and to develop rural area preference would be villages nearby company's project. CSR policy can be accessed at: http://www.koltepatil.com/investors/corporate-governance.
2.	The Composition of the CSR Committee	Mr. Umesh Joshi – Chairman Mr. Jayant Pendse – Member Mr. Prakash Gurav – Member Mr. G L Vishwanath – Member Mrs. Manasa Vishwanath – Member Mr. Milind Kolte - Member
3.	Average net profit of the company for last three financial years	₹ 6,067 Lakhs
4.	Prescribed CSR Expenditure (two per cent of the amount as in item 3 above)	₹ 121 Lakhs
5.	Details of CSR spent during the financial year	₹ 29 Lakhs
	(a) Total amount to be spent for the financial year	₹ 121 Lakhs
	(b) Amount unspent	₹ 92 Lakhs
6.	Reasons for not spending the amount	The Company has undertaken the CSR Activity and as per requirement of CSR Project, the amounts has been contributed.
7.	A responsibility statement of the CSR Committee that the implementation and monitoring of CSR Policy, is in compliance with CSR objectives and Policy of the Company "The implementation and monitoring of Corporate Social Responsibility (CSR) Policy, is in compliance with CSR objectives and policy of the Company." **For Kolte-Patil Developers Limited** **Rajesh Patil** — *Chairman and Managing Director* — DIN: 00381866 **Umesh Joshi** — *Independent Director* — DIN: 02557162	

Corporate social responsibility

Kolte-Patil Developers Limited is committed to creating an equitable and inclusive society by supporting program that lead to sustainable transformation and social integration.

The company stands for responsible business practices through the engagement of diverse stakeholders in decision-making and operations. This commitment is drawn from a wellspring of ethical, equitable, environmentally conscious, gender-sensitive and sensitive policies. The company is engaged in vibrant and innovative partnerships with the Government, NGOs and other organizations, promoting education and rural development.

Focus areas

Kolte-Patil's CSR agenda largely comprises education and rural community development.

Low Cost Houses: Kolte-Patil supports and develops low-cost houses for the needy. During the financial year under review, the company built and delivered 10 houses of 300 sq ft each in village Jambut (taluka Shirur, district Pune). This program will be progressively scaled.

Education: Kolte-Patil collaborated with Anisha Education Society (Pune) to promote education. Anisha runs Pune schools and intends to expand its pan-India network. Kolte-Patil and Anisha provide education to children covered under the Right to Education Act, helped Anisha build schools at various locations with necessary Infrastructure and helped improve education quality.

ANNEXURE – V

Information as per Rule 5 (1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014

Remuneration Paid to Chairman and Managing Director and Executive Directors

Name of the Director	Remuneration for FY 15-16 (₹ In lakhs)	Remuneration for FY 14-15 (₹ In lakhs)	% increase of remuneration	No. of stock options granted	Ratio of remuneration to MRE#
Mr. Rajesh Patil – *Chairman and Managing Director*	102.17	68.55	49%	NIL	32.86
Mr. Naresh Patil – *Vice Chairman*	89.63	60.40	49%	NIL	28.83
Mr. Milind Kolte – *Executive Director*	89.63	60.40	49%	NIL	28.83
Mrs. Sunita Kolte – *Executive Director**	13.85	60.40	-	NIL	-
Mrs. Vandana Patil – *Executive Director**	13.85	60.40	-	NIL	-

* Executive Director up to 30 June 2015

MRE means Median Remuneration of Employee.

Remuneration Paid to Independent Directors and Non-Executive Directors

The Company has paid only sitting fees to the Independent Directors and Non-Executive Directors for attendance of the Board Meeting.

Remuneration Paid to Key Managerial Personnel

Name of the Director	Remuneration for FY 15-16 (₹ In lakhs)	Remuneration for FY 14-15 (₹ In lakhs)	% increase of remuneration	No. of stock options granted	Ratio of remuneration to MRE
Mr. Sujay Kalele – *Chief Executive Officer* (up to 31 December 2015)	188.33	125.54	50.02%	250,000	60.57
Mrs. Shraddha Jain – *Chief Financial Officer* (up to 04 November 2015)	29.49	35.00	-	100,000	9.49
Mr. Atul Bohra – *Chief Financial Officer* (w. e. f. 05 November 2015)	16.66	--	-	NIL	5.4
Mr. Vinod Patil – *Company Secretary*	20.15	21.85		NIL	6.5

- The median remuneration of employee (MRE) excluding Whole – Time Directors (WTD) was ₹ 3.10 Lakhs and ₹ 3.64 Lakhs in fiscal 2016 and 2015 respectively. The decrease in MRE (excluding WTDs) in fiscal 2016, as compared to fiscal 2015 is 15 %
- The number of permanent employees on the rolls of the Company as of 31 March 2016 and 31 March 2015 was 428 and 429 respectively
- The revenue growth during the fiscal 2016 over fiscal 2015 was 7.38% and net profit was down by 9.51% as compared to fiscal 2015. The aggregate remuneration of employee excluding Whole Time Director reduced by 4% over the previous fiscal
- Our market capitalization decreased by 54% to ₹ 78,275 Lakhs as of 31 March 2016 from ₹ 168,940 Lakhs as of 31 March 2015. The Price Earnings Ratio was 19.83 as of 31 March 2016 and represents a decrease of 49% as compared to 31 March 2015. The closing price of the company's equity share on the NSE and BSE as of 31 March 2016 was ₹ 103.30 and ₹ 103.60 respectively
- The company's variable compensation philosophy for its managerial personal is to ensure it remains competitive in the global markets in which it operate, for attracting and retaining the best talent. The company has initiated reward pay-out programmes like Profit Sharing incentive and Performance based Employee Stock Options plans, to align senior employee compensation with shareholder value

Component of remuneration to directors and other KMP's	Fixed Salary	Bonus/PLI/Commissions	Total
As a percentage of revenues for Fiscal 2016	1.90%	0.71%	2.60%
As a percentage of revenues for Fiscal 2015	1.48%	0.58%	2.06%

- The ratio of the remuneration of the highest paid director to that of the employees who are not directors but receive remuneration in excess of the highest paid director during the year

Name of the Employee and Designation	Remuneration paid to the employee (₹ in Lakhs)	Ratio
Mr. Sujay Kalele – Chief Executive Officer	188.33	.5

b) Information as per Rule 5 (2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014

Employee name	Designation	Qualification	Age (in years)	Date of Joining	Experience (in years)	Gross Remuneration (₹ in Lakhs)	Previous employment details
Mr. Gopal Sarda	Regional Head – Mumbai	M. Com, CA	32	13-Dec-10	11	88.72	Finance Head - Eiffel Developers and Realtors
Ms. Manjusha Raulkar	Chief People Officer	B. Com MBA	46	03-Jan-14	23	82.50	Vice President, Suzlon Energy Limited
Mr. Mahesh Saluja	Vice President – Sales and Marketing	B Com, PGDMM, PGDBM	46	01-Sept-10	24	69.63	Relationship Manager - International Sales, DAMAC UAE

ANNEXURE – VI

Disclosure with respect to Employee stock option scheme of the Company

a) Employee stock option scheme (ESOS 2014)
The ESOS was approved by Board of Directors of the Company on 13 August 2014 and thereafter by the shareholders on 13 September 2014. A Nomination and Remuneration committee comprising Independent Directors of the company administers the ESOS plan. Each option carries with it the right to purchase one equity share of the company. 250,000 options have been granted at a predetermined rate of ₹ 141/- per share and 100,000 options are granted at ₹ 150/-per share. The maximum exercise period is 5 year from the date of vesting.

b) Number of options granted , exercised , cancelled / lapsed during the financial year are as follows:

Particulars	31 March 2016	31 March 2015
Options granted, beginning of the year	855,000	-
Granted during the year	350,000	855,000
Exercised during the year	-	-
Cancelled/lapsed during the year	11,55,000	-
Options granted, end of the year	50,000	855,000
Weighted Average remaining life	1.74 - 3.74 years	2.74 - 6.74 years

c) The compensation cost of stock option granted to employees has been accounted by the Company using the intrinsic value method.

The guidance note on accounting of employee share based payments issued by the Institute of Chartered Accountants of India requires the disclosure of pro forma net results and EPS both basic & diluted, had the Company adopted the fair value method. Had the Company accounted these options under fair value method, amortizing the stock compensation expense thereon over the vesting period, the reported profit for the year ended 31 March 2016 would have been lower by ₹ 6 lakhs (Previous year: ₹ 43 lakhs) and Basic and diluted EPS would have been revised to ₹ 5.20 per share (Previous year ₹ 5.70 per share) and ₹ 5.20 per share (Previous year ₹ 5.69 per share) respectively as compared to ₹ 5.21 per share (Previous year ₹ 5.76 per share) and ₹ 5.21 per share (Previous year ₹ 5.75 per share) without such impact.

d) The fair value of the stock option is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Binomial lattice option pricing model, considering the expected weighted average term of the options to be 1 year from the date of vesting, an expected dividend rate of 2% on the underlying equity shares, a risk free rate in the range of 7.70% - 8.50% and weighted average volatility in the share price in the range of 69.36% - 71.14%. The expected volatility is based on historical volatility of the share price after eliminating the abnormal price fluctuations. The forfeiture/lapse estimated rate is based on historical employee turnover rates and future lapse expectations.

ANNEXURE VII

Form No. MR-3

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31st March, 2016

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No.9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Kolte-Patil Developers Limited
2nd Floor, City Point,
Dhole Patil Road,
Pune-411001

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Kolte-Patil Developers Limited** (hereinafter called the "Company"). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended on **(31st March 2016)** complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March, 2016 according to the provisions of:

(i) The Companies Act, 2013 (the Act) and the rules made thereunder **(in so far as they are made applicable)**;

(ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;

(iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;

(iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings **(not applicable to the Company during the Audit Period)**;

(v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-

(a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;

(b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 1992 (upto 14th May, 2015) and Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015 (effective from 15th May, 2015);

(c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009 **(not applicable to the Company during the Audit Period)**;

(d) The Securities and Exchange Board of India (Share based employee Benefits) Regulations, 2014 **(not applicable to the Company during the Audit Period)**;

(e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008;

(f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act;

(g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009 **(not applicable to the Company during the Audit Period)**; and

(h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 1998 **(not applicable to the Company during the Audit Period)**.

vi) The other laws, as informed and certified by the Management of the Company, which are specifically applicable to the Company based on their sector/ industry are:

a) The Housing Board Act, 1965;

b) The Transfer of Property Act, 1882

c) The Building and Other Construction Workers' (Regulation of Employment and Conditions of Services) Act, 1996

We have also examined compliance with the applicable clauses and regulations of the following:

(i) Secretarial Standards issued by 'The Institute of Company Secretaries of India' effective from 1st July, 2015;

(ii) The Listing Agreements for Equity and Debt securities entered into by the Company with Stock Exchange(s) till 30th November, 2015; and the provision of sub regulation (4) of the Regulation 23 and Regulation 31A of SEBI Listing Obligations and Disclosure Requirements) Regulations, 2015, applicable from 2nd September, 2015;

(iii) The Listing Agreement entered into by the Company with Stock Exchange(s) pursuant to SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 effective from 1st December, 2015.

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

We further report that

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

All decisions at Board Meetings and Committee Meetings are carried out unanimously as recorded in the minutes of the meetings of the Board of Directors or Committees of the Board, as the case may be.

We further report that there are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

We further report that during the audit period:

i. A special resolution for issuance of Non- Convertible Debentures (NCDs) up to ₹ 130 Crores through private placement in compliance with section 42 and 71 of the Companies Act, 2013 was approved vide postal ballot results declared on 12th September, 2015.

ii. The Board of Directors of the Company at its meeting held on 9th October, 2015, allotted senior secured redeemable Non- Convertible Debentures Series III bearing a face value of ₹ 100,00,000/- each aggregating to ₹ 110,00,00,000/- (₹One Hundred Ten Crores Only) through private placement.

iii. The Company has increased its stake from 37% to 100% in Corolla Realty Limited.

iv. The Board of Directors of the Company at its meeting considered and approved the following subject to necessary regulatory approvals:

a) the scheme of merger of the Company with Olive Realty Private Limited and Yashowardhan Promoters and Developers Private Limited, 100% Wholly Owned Subsidiary.

b) the scheme of amalgamation of the Company with Corolla Realty Limited, 100% Wholly Owned Subsidiary.

c) the scheme of amalgamation of the Company with Jasmine Hospitality Private Limited, 100% Wholly Owned Subsidiary.

v. The draft scheme of amalgamation for merger of Olive Realty Private Limited, Yashowardhan Promoters and Developers Private Limited, Corolla Realty Limited and Jasmine Hospitality Private Limited was filed with the stock exchanges under regulation 37 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015; for which the National Stock Exchange of India Limited and BSE Limited have communicated their consent vide letter dated 23rd February, 2016 and 24th February, 2016 respectively. The draft scheme of amalgamation is filed by four transferor Companies with the Honourable Bombay High Court on 15th March, 2016. The appointed date of draft scheme of amalgamation was fixed at 1st January, 2016.

vi. The Company has obtained consent of the members for scheme of amalgamation for merger of Olive Realty Private Limited, Yashowardhan Promoters and Developers Private Limited, Corolla Realty Limited and Jasmine Hospitality Private Limited with the Company on 2nd April, 2016 through postal ballot.

For SVD & Associates
Company Secretaries
Sridhar Mudaliar
Partner
FCS No: 6156
C P No: 2664

Place: Pune
Date: 28 May 2016

Note: This report is to be read with letter of even date by the Secretarial Auditors, which is annexed as Annexure A and forms an integral part of this report.

'ANNEXURE A'

To,
The Members,
Kolte-Patil Developers Limited
2nd Floor, City Point,
Dhole Patil Road,
Pune-411001

Our Secretarial Audit Report of even date is to be read along with this letter.

Management's Responsibility

1. It is the responsibility of the management of the Company to maintain secretarial records, devise proper systems to ensure compliance with the provisions of all applicable laws and regulations and to ensure that the systems are adequate and operate effectively.

Auditor's Responsibility

2. Our responsibility is to express an opinion on these secretarial records, standards and procedures followed by the Company with respect to secretarial compliances.

3. We believe that audit evidence and information obtained from the Company's management is adequate and appropriate for us to provide a basis for our opinion.

4. Wherever required, we have obtained the management's representation about the compliance of laws, rules and regulations and happening of events, etc.

Disclaimer

5. The Secretarial Audit Report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Place: Pune
Date: 28 May 2016

For SVD & Associates
Company Secretaries

Sridhar Mudaliar
Partner
FCS No: 6156
C P No: 2664

Report on Corporate Governance

COMPANY'S PHILOSOPHY OF CORPORATE GOVERNANCE

The Company believes in adopting the Best Global Practices in the area of Corporate Governance and follows the principles of full transparency and accountability, thereby protecting the interests of all its stakeholders.

We at the Kolte-Patil Developers Limited, believe that good corporate governance is the basis for decision-making and control processes. The Company's core philosophy on code of corporate governance is to ensure that fair and transparent business practices, accountability for performance, compliance of applicable statute, transparent and timely disclosure of financial and management information, effective management control and monitoring of executive performance by the Board and adequate representation of promoter, executive and independent directors on the Board. The Company undertakes to behave responsibly towards its shareholders, business partners, employees, society and the environment. The Company's philosophy of Corporate Governance and a strong and Independent Board goes a long way in preserving all stakeholders' interest, while maximizing long-term shareholder worth. The Company believes that timely and accurate disclosure of information regarding the financial position, performance, ownership and governance of the company is an important part of your company's corporate governance.

The Company believes that the Board Independence is essential to bring objectivity and transparency in the management and in the dealing of the Company. The Corporate Governance framework of your Company is based on an effective independent Board, separation of the Board's supervisory role from the executive management team and constitution of the Board Committees, as required under law. The Board plays a crucial role in overseeing how the management serves the interests of shareholders and other stakeholders. This belief is reflected in our governance practices, under which we strive to maintain an effective, informed and independent Board.

In our endeavor to adopt the best Corporate Governance and disclosure practices, the Company complies with all the requirements of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to Regulation 34 read with Part C of Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Company hereby presents a Report on Corporate Governance to its members for the Financial Year 2015-2016.

BOARD OF DIRECTORS

The Board of Directors provides leadership and guidance to the Company's management and directs, supervises and controls the performance of the Company. The Independent Directors are trustees of good corporate governance. They safeguard the rights of the shareholders of the Company. The Board of the Company comprises of a fine blend of Executive and Independent Directors.

a) **Size and Composition of Board:**

1. As on 31 March 2016, the Company has Ten (10) Directors with an Executive Chairman. Out of the ten Directors, Seven are Non-Executive and of which five are Independent Directors. The Composition of Board is in conformity with Regulation 17 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

2. Relationship between Directors inter se: - Mr. Rajesh Patil, Mr. Naresh Patil, Mr. Milind Kolte, Mrs. Sunita Kolte and Mrs. Vandana Patil are related to each other. Further, Mr. G L Vishwanath and Mrs. Manasa Vishwanath are also related to each other.

Sr. No.	Name of the Director	Relationship inter se
1	Mr. Rajesh Patil	Brother of Mr. Naresh Patil and Mrs. Sunita Kolte
2	Mr. Naresh Patil	Husband of Mrs. Vandana Patil and Brother of Mr. Rajesh Patil and Mrs. Sunita Kolte
3	Mr. Milind Kolte	Husband of Mrs. Sunita Kolte
4	Mrs. Sunita Kolte	Wife of Mr. Milind Kolte and Sister of Mr. Rajesh Patil and Mr. Naresh Patil
5	Mrs. Vandana Patil	Wife of Mr. Naresh Patil
6	Mr. G L Vishwanath	Husband of Mrs. Manasa Vishwanth
7	Mrs. Manasa Vishwanath	Wife of Mr. G L Vishwanath

3. None of the Directors on the Board is a member of more than ten committees or Chairman of more than five committees across all the Companies in which he is a Director. Necessary disclosures regarding committee positions in other public companies as on 31 March 2016 have been made by the Directors to the Company.

4. The names and categories of the Directors on the Board, their attendance at the Board Meetings held during the year and number of Directorships and Committee Chairmanship/ Membership held by them in other Companies are given herein below. Other Directorship do not include Alternate Directorships, Directorship of Private Limited Companies, Section 8 Companies and of Companies Incorporated Outside India. Chairmanship / Membership of Board Committees include Audit Committee and Stakeholders' Relationship Committees:

Name of Director	Category	Number of Board Meetings held during the year 2015-16		Whether attended last AGM held on 16 September 2015	Number of Directorships in other Public Limited Companies as on 31 March 2016	Number of Committee positions held in other Public Limited Companies as on 31 March 2016	
		Held	Attended			Chairman	Member
Mr. Rajesh Patil (Chairman and Managing Director) (DIN 00381866)	Executive Chairman	9	9	Yes	6	0	3
Mr. Naresh Patil (Vice Chairman) (DIN 00881077)	Non-Independent Executive	9	4	No	3	0	2
Mr. Milind Kolte (Executive Director) (DIN 00170760)	Non-Independent Executive	9	9	Yes	5	0	0
Mrs. Sunita Kolte (Non-Executive Director) (DIN 00255485)	Non-Independent Non-Executive	9	7	Yes	0	0	0
Mrs. Vandana Patil (Non-Executive Director) (DIN 00588888)	Non-Independent Non-Executive	9	4	No	3	0	0
Mr. Prakash Gurav (DIN 02004317)	Independent Non- Executive	9	7	Yes	4	3	0
Mr. G. L. Vishwanath (DIN 01758785)	Independent Non- Executive	9	4	No	2	1	1
Mr. Achyut Watve* (DIN 01179251)	Independent Non- Executive	9	7	Yes	0	0	0
Mr. Jayant Pendse (DIN 02434630)	Independent Non- Executive	9	8	Yes	6	3	1
Mrs. Manasa Vishwanath (DIN 05241229)	Independent Non- Executive	9	4	No	2	1	1

*Mr. Achyut Watve resigned w.e.f. 01 April 2016

**Mr. Naresh Patil – Vice Chairman, Mrs. Vandana Patil – Non-Executive Director, Mr. G L Vishwanath – Independent Director and Mrs Manasa Vishawanth – Independent Director were participated for 2 (two) Board Meetings through video conference.

5. Nine (9) Board Meetings were held during the year and the gap between two meetings did not exceed four months. The dates on which the board meeting were held as follows:

i) 26 May 2015	vi) 05 November 2015
ii) 24 July 2015	vii) 21 December 2015
iii) 10 August 2015	viii) 12 February 2016
iv) 05 October 2015	ix) 24 February 2016
v) 09 October 2015	

6. None of the Non-Executive Directors have any material pecuniary relationship or transactions with the Company.

7. During the year, information as mentioned in Part A of Schedule II of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 has been placed before the Board for its consideration. Based on the information placed before the Board, strategic and vital decisions are taken for effective governance of the Company.

8. Among other important information, minutes of all the Committee meetings, are regularly placed before the Board in their meetings.

9. The Board periodically reviewed compliance reports of all laws applicable to the company, prepared by the company as well as steps taken by the company to rectify instances of non-compliances, if any.

FAMILIARISATION PROGRAMMES FOR BOARD MEMBERS

The Board members are provided with necessary documents, reports and policies to enable them to familiarise with the Company's procedures and practices. Periodic presentations are made at the Board and Committee Meetings, on business and performance updates of the Company, business environment, business strategy and risks involved.

The details of such familiarization programmes for Independent Directors are posted on the website of the Company and can be accessed at http://www.koltepatil.com/investors/corporate-governance.

LEAD INDEPENDENT DIRECTOR

The Company's Board of Directors has designated Mr. Prakash Gurav as the Lead Independent Director. The role of Lead Independent Director is as follows:

- To preside over all meetings of Independent Directors;
- To liaise between the Chairman and Managing Director, the Management and the Independent Directors;
- To preside over meetings of the Board and Shareholders when the Chairman and Managing Director is not present, or where he is an interested party;
- To ensure there is an adequate and timely flow of information to Independent Directors;
- To perform such other duties as may be delegated to the Lead Independent Director by the Board/ Independent Directors.

SEPARATE MEETING OF INDEPENDENT DIRECTORS

The separate meeting of Independent Director is held to discuss matters pertaining to the Company's affairs and put forth their views to the Lead Independent Director. The Lead Independent Director takes appropriate steps to present Independent Directors' views to the Chairman and Managing Director.

During the financial year 2015-16, separate meeting of Independent Directors was held on 29 March 2016.

AUDIT COMMITTEE

The Audit Committee of the Company comprises of 6 members, in which 5 members are Independent Directors. Mr. Vinod Patil, Company Secretary of the Company acts as the Secretary to the Audit Committee. The Chairman of the Audit Committee is an Independent Director and was present at the last Annual General Meeting of the Company. The Managing Director and Chief Financial Officer are permanent invitees to the Audit Committee Meetings.

a) Terms of Reference to Audit Committee

The Audit Committee is entrusted, inter alia, with the following:

- Recommending to the Board, the appointment, reappointment and, if required, the removal of statutory auditors, including internal and cost auditors, and fixation of audit fees and other terms of appointment;
- Reviewing and monitoring the auditors independence and performance and effectiveness of audit process;
- Examination and reviewing with the management, the quarterly financial results and financial statements and the auditors' report thereon, before submission to the Board for approval;
- Approval or any subsequent modification of transactions of the Company with related parties;
- Scrutiny of inter-corporate loans and investments;
- Review of functioning of the Whistle Blower mechanism;
- Valuation of undertakings or assets of the Company, wherever it is necessary;
- Evaluation of internal financial controls and risk

management systems and oversight of the Company's financial reporting process and the disclosure of its financial information to ensure that there exists appropriate internal control over financial reporting;

- Monitoring the end use of funds raised through public offers and related matters;
- Discussion with internal auditors, any significant findings and follow-up thereon; and
- Discussion with statutory auditors, before the audit commences, about the nature and scope of audit as well as post audit discussion to ascertain any area of concern.

b) Meetings

During the financial year 2015-16, the Audit Committee met Six (6) times on

i) 04 May 2015
ii) 26 May 2015
iii) 24 July 2015
iv) 05 November 2015
v) 24 December 2015
vi) 12 February 2016

c) Composition of Audit Committee and attendance

The composition of the Audit Committee as on 31 March 2016 and attendance of members in the meetings held during the financial year 2015-16 are as under:

Name of the Member	Designation	Category	No. of meetings attended
Mr. Prakash Gurav	Chairman	Independent Director	4
Mr. G. L. Vishwanath	Member	Independent Director	3
Mr. Achyut Watve*	Member	Independent Director	6
Mr. Jayant Pendse	Member	Independent Director	5
Mrs. Manasa Vishwanath	Member	Independent Director	3
Mr. Milind Kolte	Member	Executive Director	6
Mr. Umesh Joshi#	Member	Independent Director	N.A.

*Resigned w.e.f. 01 April 2016

Appointed w.e.f. 28 May 2016

NOMINATION AND REMUNERATION COMMITTEE

The Nomination and Remuneration Committee of the Company comprises of 6 members, in which 5 members are Independent Directors.

a) Terms of Reference to Nomination and Remuneration Committee

- To recommend to the Board appointment, re-appointment of Directors, Executive Directors and Key Managerial Personnel and determination, fixation of the remuneration and revision in the remuneration payable to the Executive Directors of the Company and removal of the director/ Executive Director/Key Managerial Personnel;
- To formulate the criteria for determining qualifications, positive attributes and independence of the director;
- To recommend the Board the policy related to the remuneration of for Directors, Key Managerial Personnel and other employees;
- To carry out evaluation performance of every Director of the Company; and
- To formulate and recommend to the Board of Directors the policy relating to the stock options to the employees, grant the stock options to the eligible employees and review the management of stock option scheme.

b) Meetings of Nomination and Remuneration Committee

During the financial year 2015-16, the Nomination and Remuneration Committee met Seven (7) times on –

i) 04 May 2015
ii) 26 May 2015
iii) 22 June 2015
iv) 24 July 2015
v) 25 September 2015
vi) 05 November 2015
vii) 20 November 2015

c) Composition of Nomination and Remuneration Committee

The composition of the Nomination and Remuneration Committee as on 31 March 2016 and attendance of members in the meetings held during the financial year 2015-16 are as under:

Name of the Member	Designation	Category	No. of meetings attended
Mr. Jayant Pendse	Chairman	Independent Director	7
Mr. Prakash Gurav	Member	Independent Director	7
Mr. G. L. Vishwanath	Member	Independent Director	1
Mr. Achyut Watve$	Member	Independent Director	7
Mrs. Manasa Vishwanath	Member	Independent Director	1
Mr. Milind Kolte*	Member	Executive Director	7
Mr. Umesh Joshi#	Member	Independent Director	N.A.
Mrs. Sunita Kolte#	Member	Non- Executive Director	N.A.

$Resigned w.e.f. 01 April 2016

*Ceased w.e.f. 28 May 2016

Appointed w.e.f. 28 May 2016

d) Remuneration Policy

The remuneration structure is performance driven and in considering the remuneration payable to the directors, the Nomination and remuneration committee considers the performance of the Company, the current trends in the industry, the experience of the appointee, their past performance and other relevant factors.

The Company's Remuneration Policy for Directors, Key Managerial Personnel and other employees is annexed as Annexure II to the Directors' Report. Further, the Company has devised a Policy for performance evaluation of Independent Directors, Board, Committees and other individual Directors.

e) Performance evaluation criteria for Independent Directors

On the basis of the Policy for performance evaluation of Independent Directors, Board, Committees and other individual Directors, a process of evaluation was followed by the Board for its own performance and that of its Committees and individual Directors.

f) Details of sitting fees paid to the Non-Executive Directors

The Company does not pay any remuneration to its Non-Executive Directors apart from sitting fees. The sitting fees paid to each Non-Executive Director is ₹50,000/- for each Board Meeting. The Details of sittings fees paid for the financial year 2015-16 are as follows:

Sr. No.	Name of the Director	No. of meetings attended	Sitting fees paid (₹ in Lakhs)
1.	Mrs. Sunita Kolte*	6	3.00
2	Mrs. Vandana Patil*	4	2.00
3	Mr. Prakash Gurav	7	3.50
4	Mr. Achyut Watve	7	3.50
5	Mr. G. L. Vishwanath	4	2.00
6	Mr. Jayant Pendse	8	4.00
7	Mrs. Manasa Vishwanath	4	2.00
	Total		20.00

* Non-Executive Director w.e.f. 01 July 2015

a) **Details of remuneration paid to the Chairman and Managing Director and Executive Directors of the Company**

The remuneration paid to the Chairman and Managing Director and Executive Directors for the year ended on 31 March 2016 is as follows:

(₹ in Lakhs)

Name of Director	Salary, bonus and Allowances	Perquisites	Retirement benefits	Performance linked incentive	Total	Stock Options granted
Mr. Rajesh Patil	83.58	12.93	5.65	-	102.16	NIL
Mr. Naresh Patil	83.58	0.40	5.65	-	89.63	NIL
Mr. Milind Kolte	83.58	0.40	5.65	-	89.63	NIL
Mrs. Sunita Kolte*	12.73	-	1.12	-	13.85	NIL
Mrs. Vandana Patil*	12.73	-	1.12	-	13.85	NIL

* Executive Director up to 30 June 2015.

The term of service of the Chairman and Managing Director and Executive Directors is for a period of five years from their respective date of appointment, as approved by the shareholders in the Annual General Meeting. The other terms and conditions of employment are governed by Company's Human Resource Policy.

h) **Shareholding of Non-Executive Directors**

The shareholding of Non-Executive Directors as on 31 March 2016 is as follows:

Sr. No.	Name of Non-Executive Director	No. of Equity shares held (face value ₹ 10 each)
1	Mrs. Sunita Kolte$	55,39,553
2	Mrs. Vandana Patil$	70,39,319
3	Mr. Prakash Gurav	NIL
4	Mr. Achyut Watve*	10,000
5	Mr. G. L. Vishwanath	NIL
6	Mr. Jayant Pendse	NIL
7	Mrs. Manasa Vishwanath	NIL

$Non-Executive Director w.e.f. 01 July 2015

*Resigned w.e.f. 01 April 2016

STAKEHOLDERS' RELATIONSHIP COMMITTEE

The Stakeholders Relationship Committee of the Board, which is chaired by an Independent Director looks into the redressal of the investors' complaints like non-receipt of annual reports, dividend payments, change or deletion of name, issue of duplicate share certificates, dematerialization, rematerialization, transfer, transmission, consolidation, sub-division of shares, debentures and securities and other allied transactions. It delegates power to the executives of the Company and to the Registrar and Transfer Agent of the Company to accomplish aforesaid objectives.

a) Meeting

The Company has given authority to its Registrar and Transfer Agent i.e. M/s. Bigshare Services Private Limited to resolve the complaints of shareholders of the Company. The 99.99% shares of the Company are held in Dematerialized form.

During the financial year 2015-16, no Committee meeting was held since no request from the shareholder is received for dematerialization or re-materialization of the shares of the Company.

b) Composition of Stakeholders' Relationship Committee

The constitution of the Committee as on 31 March 2016 is as follows:

Name of the Member	Designation	Category
Mr. Achyut Watve*	Chairman	Independent Director
Mr. Umesh Joshi#	Chairman	Independent Director
Mr. Jayant Pendse	Member	Independent Director
Mr. Prakash Gurav	Member	Independent Director
Mr. G L Vishwanath	Member	Independent Director
Mrs. Manasa Vishwanath	Member	Independent Director
Mr. Milind Kolte	Member	Executive Director

*Resigned w.e.f. 01 April 2016

Appointed w.e.f. 28 May 2016

c) Shareholders / Investors Complaint Status

The complaint status from the 1 April 2015 up to 31 March 2016 is as follows:

Number of complaints received	No. of complaints resolved	Number of complaints pending
23	23	NIL

d) Name and Designation of Compliance Officer

Mr. Vinod Patil
Company Secretary and Compliance Officer

Kolte-Patil Developers Limited
2nd Floor, City Point, Dhole Patil Road, Pune - 411001.
Tel No.: +9120 66226500, Fax No.: +9120 66226511
E-mail: investorrelation@koltepatil.com
Website :www.koltepatil.com

SEBI Complaints Redress System (SCORES)

The investor complaints are processed in a centralised web-based complaints redress system i.e. SEBI Complaints Redress System (SCORES). The salient features of this system are: Centralised database of all complaints, online upload of Action Taken Reports (ATRs) by concerned companies and online viewing by investors of actions taken on the complaint and its current status.

CORPORATE SOCIAL RESPONSIBILITY COMMITTEE

The Corporate Social Responsibility Committee of the Company comprises of 6 members, in which 5 members are Independent Directors.

a) Terms of Reference to Corporate Social Responsibility Committee

- To formulate and recommend to the Board, a Corporate Social Responsibility (CSR) Policy indicating activities to be undertaken by the Company in compliance with provisions of the Companies Act, 2013 and rules made there under;
- To recommend the amount of expenditure to be incurred on the CSR activities;
- To monitor the implementation of the framework of the CSR Policy; and
- To recommend to the Board approval of CSR expenditure including contribution to corpus for projects/programs related to CSR activities.

b) Meeting

During the financial year 2015-16, the Corporate Social Responsibility Committee meeting was held on 04 May 2015.

c) **Composition and Attendance of Corporate Social Responsibility Committee**

The composition of the Corporate Social Responsibility Committee is as follows:

Name of the Member	Designation	Category	Attendance
Mr. Achyut Watve*	Chairman	Independent Director	1
Mr. Umesh Joshi#	Chairman	Independent Director	N.A.
Mr. Jayant Pendse	Member	Independent Director	1
Mr. Prakash Gurav	Member	Independent Director	1
Mr. G L Vishwanath	Member	Independent Director	0
Mrs. Manasa Vishwanath	Member	Independent Director	0
Mr. Milind Kolte	Member	Executive Director	1

*Resigned w.e.f. 01 April 2016

Appointed w.e.f. 28 May 2016

DETAILS OF THE ANNUAL GENERAL MEETINGS

The details of previous three Annual General Meetings of the Company are as follows:

Financial Year	Date and Time	Venue	Special Resolution passed	Purpose of Special Resolution
2012-13	27 July 2013 at 11.30 AM	Mahratta Chamber of Commerce Industries & Agriculture, Sumant Moolgaokar Auditorium, Ground Floor, A Wing, MCCIA Trade Tower, Senapati Bapat Road, Pune – 411016	NIL	N.A.
2013-14	13 September 2014 at 11.00 AM		4	1. Amendment to Articles of Association; 2. Keeping Register of Members & debentures, Returns at a place other than Registered Office of the Company 3. Employee Stock Option Scheme 2014 containing total 25,00,000 Options 4. Appointment of Mr. Nirmal Kolte (Relative of Mr. Milind Kolte and Mrs. Sunita Kolte – Executive Directors) as Vice President Projects
2014-15	16 September 2015 at 10.30 AM		2	1. Authority to provide Corporate Guarantee up to ₹ 150 Crores for the credit facilities to be availed by Kolte-Patil I-Ven Townships (Pune) Ltd. 2. Authority to provide Corporate Guarantee up to ₹ 100 Crores for the credit facilities to be availed by Corolla Realty Ltd.

POSTAL BALLOT:

During the year, the Company has conducted twice the postal ballot for obtaining approval for the members. The Board had appointed M/s. SVD & Associates, Company Secretaries, Pune as Scrutinizer to conduct the Postal Ballot process.

1. **Approval of members for authorizing Board for issuance of Non- Convertible Debentures (NCDs) up to ₹ 130 Crores through private placement**

The result of postal ballot was declared on 12 September 2015, the details of voting pattern is as follows:

Promoter/ Public	No. of shares held (1)	No. of votes polled (2)	% of Votes Polled on outstanding shares (3)=[(2)/(1)]*100	No. of Votes - in favour (4)	No. of Votes - against (5)	% of Votes in favour on votes polled (6)= [(4)/(2)]*100	% of Votes against on votes polled (7)= [(5)/(2)]*100
Promoter and Promoter Group	5,64,79,095	5,64,79,095	100	5,64,79,095	0	100	0
Public – Institutional holders	0	0	0	0	0	0	0
Public-Others	1,92,95,814	93,51,330	48.46	93,50,017	1,313	99.99	0.01
Total	**7,57,74,909**	**6,58,30,425**		**6,58,29,112**	**1,313**		

2. **Approval of members (excluding promoter and promoter group) for scheme of amalgamation for merger of Olive Realty Private Limited, Yashowardhan Promoters and Developers Private Limited, Corolla Realty Limited and Jasmine Hospitality Private Limited with the Company.**

The result of postal ballot was declared on 02 April 2016, the details of voting pattern is as follows:

Category	Mode of Voting	No. of shares held (1)	No. of votes polled (2)	% of Votes Polled on outstanding shares (3)= [(2)/(1)]*100	No. of Votes - in favour (4)	No. of Votes - against (5)	% of Votes in favour on votes polled (6)= [(4)/(2)]*100	% of Votes against on votes polled (7)= [(5)/(2)]*100
Promoter and Promoter Group#	E-Voting	5,64,79,095	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
	Poll		N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
	Postal Ballot		N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Public – Institutions	E-Voting	88,34,214	86,14,452	97.51%	86,14,452	-	100%	-
	Poll		N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
	Postal Ballot		-	-	-	-	-	-
Public-Non Institutions	E-Voting	1,04,61,600	5,82,302	5.57%	5,82,202	100	99.98%	0.02%
	Poll		N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
	Postal Ballot		64,603	0.62%	64,059	544	99.16%	0.84%
Total		**7,57,74,909**	**92,61,357**		**92,60,713**	**644**		

#Pursuant to the Clause 9 (a) iii and 9 (b) of the SEBI Circular No. CIR/CFD/CMD/16/2015 dated 30 November 2015, the Promoter and Promoter Group have not taken part in postal ballot voting (including e-voting).

DISCLOSURES:

(A) Subsidiary Companies

The Company has one material non-listed Indian subsidiaries (namely Kolte-Patil Real Estate Private Limited) whose turnover exceeds 20% of the consolidated turnover of the listed holding and its subsidiaries in the immediately preceding accounting year.

The Company has complied with the Regulation 24 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 mainly:

i) The Company has appointed one independent director on the Board of Directors of Kolte-Patil Real Estate Private Limited

ii) The Audit Committee of the Company has also review the financial statements, in particular, the investments made by Kolte-Patil Real Estate Private Limited.

iii) The minutes of Kolte-Patil Real Estate Private Limited have been placed at the Board meeting of the Company. The management has periodically brought to the attention of the Board of Directors of the Company, a statement of all significant transactions and arrangements entered into by Kolte-Patil Real Estate Private Limited.

The company has formulated a policy for determining 'material' subsidiaries. The said policy can be accessed at http://www.koltepatil.com/investors/corporate-governance.

(B) Insider Trading Code

The company has formulated Code of fair disclosure. The said code can be accessed at http://www.koltepatil.com/docs/Code-of-Fair-Disclosure-Kolte-Patil_Developers_Limited.pdf

The Company regularly monitors the transactions in terms of the Code undertaken by the employees of the Company. The Company also informs the stock exchange(s) periodically about the transaction(s) undertaken by the designated employees and their shareholdings as per the regulations.

(C) Materially Significant Related Party Transactions

During the financial year 2015-16, the Company had entered into one material transaction with its related parties i.e. the Company has provided the Corporate Guarantee to State Bank of India of ₹ 100 Crores for the credit facility availed by Kolte-Patil I-Ven Townships (Pune) Limited. The Company has complied with the provisions related to Related party transaction as mentioned in Clause 49 of the Listing Agreement and obtained the shareholders' prior approval.

There were no materially significant related party transactions with its promoters, directors or its management, their subsidiaries or relatives, etc. that had a potential conflict with the interest of the Company.

The disclosure of transactions with related parties set out in Note No. 40 of Standalone Financial Statements, forming part of the Annual Report.

The Company's major related party transactions are generally with its subsidiaries and associates. The related party transactions are entered into based on considerations of various business requirements.

All related party transactions are done on arms' length basis, and are intended to further the Company's interests.

The company has formulated a policy on Related Party transaction. The said policy can be accessed at http://www.koltepatil.com/investors/corporate-governance.

(D) Non-compliance/strictures/penalties

There was no instance of non-compliance by the Company on any matter related to capital markets and therefore, no penalties and/or strictures have been imposed on the Company by any Stock Exchange or SEBI or any statutory authority during the last three years.

(E) Whistle Blower Mechanism/Vigil Mechanism

The Vigil Mechanism of the Company, which also incorporates a whistle blower policy in terms of the Listing Agreement, includes an Ethics & Compliance Task Force comprising senior executives of the Company. Protected disclosures can be made by a whistle blower through an e-mail, or dedicated telephone line or a letter to the Task Force or to the Chairman of the Audit Committee.

The Company seeks to maintain the highest ethical and business standards in the course of its business and has put in place mechanism of reporting illegal or unethical behavior. Directors, employees, vendors or customers may report violations of the laws, rules, regulations or unethical conducting by writing to the notified person. The report received from employees will be reviewed by Audit Committee. The Directors and Management Personnel are obligated to maintain confidentiality of such reporting and ensure that the whistle blowers are not subjected to any discriminatory practices. No person has been denied access to the Audit Committee.

The said policy can be accessed at http://www.koltepatil.com/investors/corporate-governance.

(F) Adoption of Mandatory Requirements

The Company has complied with all the mandatory requirements of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The Company has complied with the requirements with respect to the Corporate Governance as stipulated in Regulation 17 to 27 and clauses (b) to (i) of sub-regulation (2) of Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

(G) Code of Conduct

The Board of Directors of your Company have laid down its code of conduct and ethics for all Board Members and Senior Management personnel of the Company and the same has been posted on the website of the Company. All Board Members and Senior Management Personnel have affirmed compliance with the code. A declaration signed by the Chairman and Managing Director is annexed to this report.

(H) Details of Debentures Trustee:

The Company has entered into Debt Listing Agreement with BSE Limited and pursuant to the Clause 2A of the Debt Listing Agreement, the details of Debenture Trustee are disclosed as follows:

Name of the Debenture Trustee: IL&FS Trust Company Limited

Address - The IL&FS Financial Centre, Plot C- 22, G Block, Bandra Kurla Complex, Bandra(E), Mumbai 400 051

Contact Person/ Number - Ms. Sapna Choksi - 022 - 2659 3612

Email Address - itcl@ilfsindia.com

MEANS OF COMMUNICATION

The quarterly, half yearly and annual financial results of the Company are published in leading newspapers in India which include Maharashtra Times, Business Standard and Economic Times. The results are also displayed on Company's website www.koltepatil.com.

Presentations to institutional investors / analysts

The Detailed presentations are made to institutional investors and financial analysts on the Company's unaudited quarterly as well as audited annual financial results. These presentations are also uploaded on the website of the Company.

The "Investors" section on the Company's website keeps the investors updated on the material developments in the Company by providing key and timely information like details of Directors, Financial Results, Shareholding Pattern, Annual Reports and procedure and forms for transfer/ transmission of shares and request of NECS etc.

Electronic Filing with NSE and BSE

All periodical compliance filings like shareholding pattern, corporate governance report, financial results, media releases, among others are also filed electronically on the NSE Electronic Application Processing System and BSE Listing Centre.

GENERAL SHAREHOLDER INFORMATION

a) Corporate Identification Number (CIN)

The Corporate Identification Number (CIN) allotted to the Company by the Ministry of Corporate Affairs (MCA) is L45200PN1991PLC129428.

b) AGM Information and Financial Year

Day, Date and Time of AGM	:	Saturday, 17 September 2016 at 11.00 AM
Venue	:	Yashwantrao Chavan Academy of Development Administration, MDC (Auditorium) Building, Raj Bhavan Complex, Baner Road, Pune – 411 007, Maharashtra, India.
Financial Year	:	01 April 2015 to 31 March 2016.
Date of Book Closure	:	Saturday, 10 September 2016 to Saturday, 17 September 2016 (both days inclusive)
Dividend Payment Date	:	Within 30 days from the date of declaration.

c) Listing on Stock Exchanges and Scrip Code

The Company's shares have been listed on the following exchanges:

i. National Stock Exchange of India Limited (NSE), Exchange Plaza, Bandra-Kurla Complex, Bandra (East), Mumbai – 400051

ii. BSE Limited (BSE), Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai – 400001.

Scrip Code	BSE Code: 532924 NSE Code: KOLTEPATIL

d) Payment of annual listing fees and custodian charges

Annual listing fees have been paid for the financial year 2016 – 2017 to NSE & BSE.

Annual custodian charges/issuers fees have been paid for the financial year 2016 – 2017 to NSDL & CDSL.

e) Market Price Data

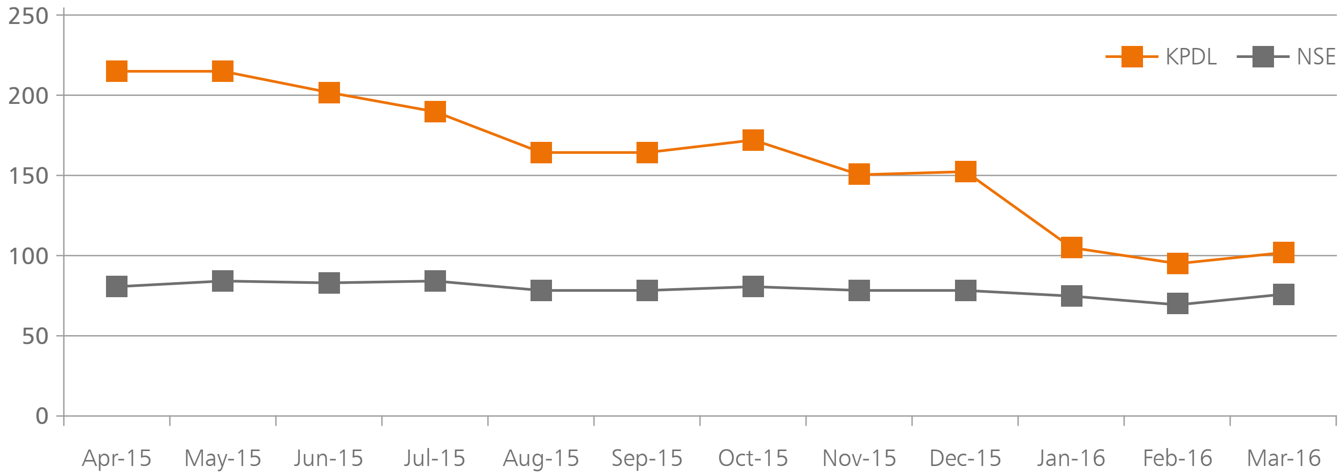
The monthly high and low quotations and volume of shares traded on BSE and NSE from 01 April 2015 up to 31 March 2016 is as follows:

Month	National Stock Exchange (NSE)				Bombay Stock Exchange (BSE)			
	High (₹)	Low (₹)	Close Price (₹)	No. of Shares traded	High (₹)	Low (₹)	Close Price (₹)	No. of Shares traded
April- 2015	238.75	203.55	214.65	16,84,243	240.00	200.00	214.65	7,34,682
May- 2015	229.00	203.10	216.05	10,98,757	228.10	200.70	215.85	4,11,566
June- 2015	225.00	195.30	204.10	12,05,665	223.70	196.00	203.85	3,52,271
July- 2015	206.90	183.30	192.30	13,30,776	207.80	184.00	191.80	3,85,763
Aug- 2015	207.80	136.10	164.40	16,55,600	207.50	136.50	164.40	4,30,153
Sept- 2015	175.55	150.00	166.10	13,25,786	178.30	150.20	166.35	2,62,659
Oct- 2015	186.40	167.10	174.20	12,04,703	186.80	167.50	173.75	2,28,351

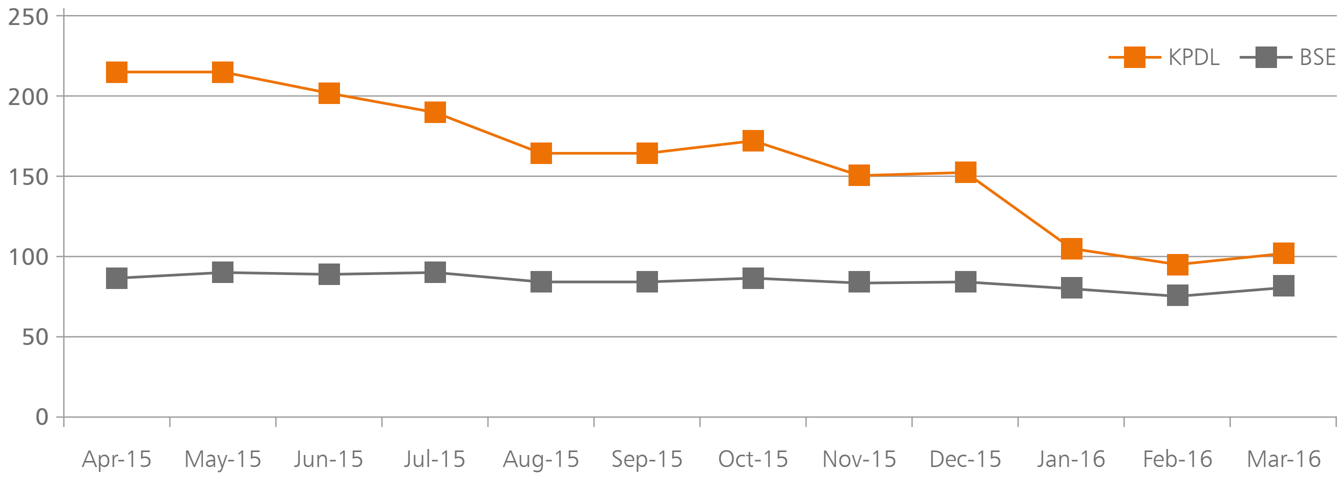
Month	National Stock Exchange (NSE)				Bombay Stock Exchange (BSE)			
	High (₹)	Low (₹)	Close Price (₹)	No. of Shares traded	High (₹)	Low (₹)	Close Price (₹)	No. of Shares traded
Nov- 2015	176.60	150.60	153.05	6,90,112	176.95	150.75	152.80	1,46,129
Dec- 2015	166.80	135.05	154.20	23,16,770	166.40	135.20	154.50	4,57,268
Jan- 2016	156.50	102.90	105.85	9,70,865	156.00	103.30	106.00	2,02,505
Feb- 2016	123.50	95.50	97.20	15,00,356	123.90	96.00	97.00	3,87,592
Mar- 2016	119.35	98.20	103.30	26,60,876	119.90	99.00	103.60	5,30,718

f) Performance in comparison to the Board-based Indices

Performance in comparison to NSE Nifty



Performance in comparison to BSE Sensex



g) Registrar & Share Transfer Agent and Share Transfer System

Bigshare Services Private Limited is the Registrar & Share Transfer Agent (RTA) of the Company in respect of the equity capital in demat and physical mode. They process share transfer and transmission on fortnightly basis. Their address is as follows:

Bigshare Services Private Limited,

Unit: Kolte-Patil Developers Limited,

E/2& 3, Ansa Industrial Estate, Sakivihar Road, Sakinaka, Andheri (E), Mumbai - 400 072

Tel: +91-22-40430200
Fax: +91-22-28475207

Website: www.bigshareonline.com
E-Mail: investor@bigshareonline.com

Our Registrar & Transfer Agent M/s Bigshare Services Private Limited has been using the Gen-Next Investor Module "i'Boss" the most advanced tool to interact with shareholders. Please login into "i'Boss" (www.bigshareonline.com) and help them to serve you better.

a) Distribution of Shareholding / Shareholding Pattern as on 31 March 2016

i. The distribution of shareholding of the Company as on 31 March 2016 is as follows:

Shareholding of nominal value (₹)	Total Holders	% of Total Holders	Total Holding (₹)	% of Total Capital
0001 - 5000	40,949	95.59	30,55,76,40	4.03
5001 - 10000	961	2.24	77,04,080	1.02
10001 - 20000	422	0.99	63,73,300	0.84
20001 - 30000	137	0.32	35,28,700	0.47
30001 - 40000	74	0.17	26,80,120	0.35
40001 - 50000	83	0.19	38,93,360	0.51
50001 - 100000	99	0.23	72,03,920	0.95
100001 - 9999999999	111	0.27	69,58,07,970	91.83
TOTAL	42,836	100	75,77,49,090	100

ii. The Shareholding pattern as on 31March 2016 is as follows:

Category	No. of shares	Percentage (%)
Promoters (including Persons Acting In Concert)	5,64,79,095	74.54
Public	75,43,820	9.96
Foreign Institutional Investors	88,34,214	11.66
Bodies Corporate	13,41,370	1.77
Non-Resident Indians	10,76,551	1.42
Foreign Company	276,433	0.36
Clearing Members & Trusts	99,446	0.13
Employees	72,513	0.10
Financial Institutions, Banks and Mutual Funds	51,467	0.06
TOTAL	7,57,74,909	100

i) Dematerialization of shares and liquidity

On 17 December, 2007, the Company got listed on the stock exchanges with 100% dematerialized shares. The shares of your Company are under the compulsory demat settlement mode and can be traded only in the demat form. International Securities Identification Number (ISIN) allotted to the Company by NSDL and CDSL is INE094I01018.

Equity shares of the Company representing 99.99% of the Company share capital are dematerlised as on 31 March 2016.

j) Outstanding GDRs/ ADRs/ Warrants or any Convertible Instruments, conversion date and likely impact on equity

The Company has not issued any GDRs/ ADRs/ Warrants or other instruments, which are pending for conversion.

k) Employee Stock Options

The information on Options granted by the Company during the Financial Year 2015-16 and other particulars with regard to Employees' Stock Options are set out under Annexure VI to the Directors' Report.

l) Nomination:

Every holder of securities of a company may, at any time, nominate, in the prescribed manner, any person to whom his securities shall vest in the event of his death. Members can avail nomination facility. Blank nomination forms will be supplied on request.

CERTIFICATION BY MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER OF THE COMPANY

(Under Regulation 17 read with Part B of Schedule II of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

We, Mr. Rajesh Patil, Chairman and Managing Director (DIN 00381866) and Mr. Atul Bohra, Chief Financial Officer of Kolte-Patil Developers Limited (the Company), hereby certify to the Board that:

(a) We have reviewed financial statements and the cash flow statement for the Financial Year ended 31 March 2016 and that to the best of our knowledge and belief:

   (i) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;

   (ii) these statements together present a true and fair view of the Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

(b) There are, to the best of our knowledge and belief, no transactions entered into by the Company during the year which are fraudulent, illegal or violative of the Company's code of conduct.

(c) We accept responsibility for establishing and maintaining internal controls for financial reporting and we have evaluated the effectiveness of internal control systems of the Company pertaining to financial reporting and we have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps taken or proposed to be taken to rectify these deficiencies.

(d) We have indicated to the auditors and the Audit committee that:

   (i) there are no significant changes in internal control over financial reporting during the year;

   (ii) there are no significant changes in accounting policies during the year;

   (iii) there are no instances of significant fraud of which we have become aware nor the involvement therein of the management or an employee having significant role in the company's internal control system over financial reporting.

For Kolte-Patil Developers Limited

Rajesh Patil
Chairman and Managing Director

DIN 00381866

For Kolte-Patil Developers Limited

Atul Bohra
Chief Financial Officer

Date: 28 May 2016
Place: Pune

DECLARATION ON COMPLIANCE WITH THE CODE OF CONDUCT

As provided in the Regulation 26 (3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Board Members and the Senior Management Personnel have confirmed compliance with the Code of Conduct for the financial year ended 31 March 2016. The Code of Conduct of the Company is available on the Website of the Company.

For Kolte-Patil Developers Limited

Rajesh Patil
Chairman and Managing Director

DIN 00381866

Date: 28 May 2016
Place: Pune

CERTIFICATE ON CORPORATE GOVERNANCE

TO THE MEMBERS OF
KOLTE-PATIL DEVELOPERS LIMITED

1. We have examined the compliance of conditions of Corporate Governance by KOLTE-PATIL DEVELOPERS LIMITED ("the Company"), for the year ended on 31st March, 2016, as stipulated in:
   - Clause 49 (excluding clause 49(VII)(E)) of the Listing Agreements of the Company with stock exchange(s) for the period from April 01, 2015 to November 30, 2015.
   - Clause 49(VII)(E) of the Listing Agreements of the Company with the stock exchange(s) for the period from April 01, 2015 to September 01, 2015.
   - Regulation 23(4) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the Listing Regulations) for the period from September 02, 2015 to March 31, 2016 and
   - Regulations 17 to 27 (excluding regulation 23(4)) and clauses (b) to (i) of regulation 46(2) and para C, D and E of Schedule V of the Listing Regulations for the period from December 01, 2015 to March 31, 2016.
2. The compliance of conditions of Corporate Governance is the responsibility of the Management. Our examination was limited to the procedures and implementation thereof, adopted by the Company for ensuring compliance with the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.
3. We have examined the relevant records of the Company in accordance with the Generally Accepted Auditing Standards in India, to the extent relevant, and as per the Guidance Note on Certification of Corporate Governance issued by the Institute of the Chartered Accountants of India.
4. In our opinion and to the best of our information and according to our examination of the relevant records and the explanations given to us and the representations made by the Directors and the Management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in Clause 49 of the Listing Agreement and regulation 17 to 27 and clauses (b) to (i) of regulation 46(2) and para C , D and E of Schedule V of the Listing Regulations for the respective periods of applicability as specified under paragraph 1 above, during the year ended 31 March 2016.
5. We state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For **DELOITTE HASKINS & SELLS LLP**
Chartered Accountants

(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

Independent Auditors' Report

To
The Members of
KOLTE-PATIL DEVELOPERS LIMITED

Report on the Standalone Financial Statements

We have audited the accompanying standalone financial statements of KOLTE-PATIL DEVELOPERS LIMITED ("the Company"), which comprise the Balance Sheet as at 31st March, 2016, the Statement of Profit and Loss and the Cash Flow Statement for the year then ended, and a summary of the significant accounting policies and other explanatory information.

Management's Responsibility for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards prescribed under section 133 of the Act, as applicable.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these standalone financial statements based on our audit.

We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made thereunder and the Order under section 143 (11) of the Act.

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Company's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the Company's Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2016, and its profit and its cash flows for the year ended on that date.

Other Matter

Financial statement includes the Company's Share of profit (net) ₹636 lakhs for the year ended 31st March 2016, from investment in two partnership firms and seven Limited Liability Partnership ("LLPs") whose financial statements have not been audited by us. These financial statements have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the Statement, in so far as it relates to the amounts included in respect of these partnership firms and Limited Liability Partnership ("LLPs"), is based solely on the reports of the other auditors

Our opinion is not modified in respect of this matter.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143 (3) of the Act, we report that:

   a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

   b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

   c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account

   d) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards prescribed under section 133 of the Act, as applicable.

   e) On the basis of the written representations received from the directors as on 31st March, 2016 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2016 from being appointed as a director in terms of Section 164 (2) of the Act.

   f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.

   g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

      i. The Company has disclosed the impact of pending litigations on its financial position in its financial statements. Refer note 29 to the financial statements.

      ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

      iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.

2. As required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order.

For **DELOITTE HASKINS & SELLS LLP**
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

Annexure A to the Independent Auditors' Report

(Referred to in paragraph 1(f) under 'Report on Other Legal and Regulatory Requirements' of our report of even date)

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of KOLTE-PATIL DEVELOPERS LIMITED ("the Company") as of 31st March, 2016 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India". These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2016, based on "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India".

For **DELOITTE HASKINS & SELLS LLP**
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

Annexure B to the Independent Auditors' Report

(Referred to in paragraph 2 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

(i) (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.

(b) The fixed assets were physically verified during the year by the Management in accordance with a regular programme of verification which, in our opinion, provides for physical verification of all the fixed assets at reasonable intervals. According to the information and explanation given to us, no material discrepancies were noticed on such verification.

(c) According to the information and explanations given to us and the records examined by us and based on the examination of the registered title deeds provided to us, we report that, the title deeds, comprising all the immovable properties of buildings which are freehold, are held in the name of the Company as at the balance sheet date. The company does not have any immovable properties taken on lease which need to be disclosed as fixed asset in the financial statements.

(ii) In our opinion and according to the information and explanations given to us, having regard to the nature of inventory, the physical verification by way of verification of title deeds, site visits by the Management are at reasonable intervals and no material discrepancies were noticed on physical verification.

(iii) According to the information and explanations given to us, the Company has granted unsecured loans, to companies, firms, Limited Liability Partnerships covered in the register maintained under section 189 of the Companies Act, 2013, in respect of which:

(a) The terms and conditions of the grant of such loans are, in our opinion, *prima facie*, not prejudicial to the Company's interest.

(b) The schedule of repayment of principal and payment of interest has not been stipulated and in the absence of such schedule, we are unable to comment on the regularity of the repayments or receipts of principal amounts and interest.

(c) The loans granted are repayable on demand and there are no overdue amounts outstanding as at year end.

(iv) In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of grant of loans, making investments and providing guarantees and securities, as applicable.

(v) According to the information and explanations given to us, the Company has not accepted any deposit during the year and hence reporting under clause (v) of the CARO 2016 is not applicable.

(vi) The maintenance of cost records has been specified by the Central Government under section 148(1) of the Companies Act, 2013. We have broadly reviewed the cost records maintained by the Company pursuant to the Companies (Cost Records and Audit) Rules, 2014, as amended prescribed by the Central Government under sub-section (1) of Section 148 of the Companies Act, 2013, and are of the opinion that, *prima facie*, the prescribed cost records have been made and maintained. We have, however, not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.

(vii) According to the information and explanations given to us, in respect of statutory dues:

(a) The Company has generally been regular in depositing undisputed statutory dues, including Provident Fund, Employees' State Insurance, Income-tax, Sales Tax, Service Tax, Customs Duty, Value Added Tax, cess and other material statutory dues applicable to it to the appropriate authorities.

Having regard to the operations of the Company during the year ended 31st March, 2016, dues relating to Excise Duty were not applicable to the Company.

(b) There were no undisputed amounts payable in respect of Provident Fund, Employees' State Insurance, Income Tax, Sales Tax, Service Tax, Customs Duty, Value Added Tax, cess and other material statutory dues in arrears as at 31st March, 2016 for a period of more than six months from the date they became payable, however Income Tax deducted at source amounting to ₹46 Lakhs due during the year has been deposited beyond the prescribed period subsequently on 24th May, 2016.

(c) Details of dues of Income-tax, Sales Tax, Service Tax, Customs Duty and Value Added Tax which have not been deposited as on 31st March, 2016 on account of disputes are given below:

Name of Statute	Nature of Dues	Forum where Dispute is Pending	Period to which the Amount Relates	Amount Involved (₹ in lakhs)	Amount Unpaid (₹ in lakhs)
Income Tax Act, 1961	Income tax	Commissioner of Income Tax (Appeal) II	Assessment Year 2005-06	5	5
Income Tax Act, 1961	Income tax	Commissioner of Income Tax (Appeal) II	Assessment Year 2007-08	185	185
Income Tax Act, 1961	Income tax	High Court	Assessment Year 2008-09	154	154
Income Tax Act, 1961	Income tax	High Court	Assessment Year 2009-10	279	279
Income Tax Act, 1961	Income tax	Income Tax Appellate Tribunal, Pune	Assessment Year 2010-11	146	146
Income Tax Act, 1961	Income tax	Commissioner of Income Tax (Appeal) II	Assessment Year 2012-13	202	202
Income Tax Act, 1961	Income tax	Commissioner of Income Tax (Appeal) II	Assessment Year 2013-14	74	74
Total				1,045	1,045

(viii) In our opinion and according to the information and explanations given to us, the Company has not defaulted in the repayment of loans or borrowings to financial institutions and banks and dues to debenture holders. The Company has not taken any loan from Government.

(ix) The Company has not raised moneys by way of initial public offer / further public offer. In our opinion and according to the information and explanations given to us, the term loans have been applied by the Company during the year for the purposes for which they were raised, other than temporary deployment pending application of proceeds.

(x) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company and no material fraud on the Company by its officers or employees has been noticed or reported during the year.

(xi) In our opinion and according to the information and explanations given to us, the Company has paid / provided managerial remuneration in accordance with the requisite approvals mandated by the provisions of section 197 read with Schedule V to the Companies Act, 2013.

(xii) The Company is not a Nidhi Company and hence reporting under clause (xii) of the CARO 2016 Order is not applicable.

(xiii) In our opinion and according to the information and explanations given to us the Company is in compliance with Section 188 and 177 of the Companies Act, 2013, where applicable, for all transactions with the related parties and the details of related party transactions have been disclosed in the financial statements etc. as required by the applicable accounting standards.

(xiv) During the year the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures and hence reporting under clause (xiv) of CARO 2016 is not applicable to the Company.

(xv) In our opinion and according to the information and explanations given to us, during the year the Company has not entered into any non-cash transactions with its directors or persons connected with him and hence provisions of section 192 of the Companies Act, 2013 are not applicable.

(xvi) The Company is not required to be registered under section 45-I of the Reserve Bank of India Act, 1934.

For **DELOITTE HASKINS & SELLS LLP**
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

Balance Sheet as at 31 March 2016

(₹ in Lakhs)

Particulars	Note No.	As at 31 March 2016	As at 31 March 2015
I. EQUITY AND LIABILITIES			
(1) Shareholders' funds			
(a) Share capital	3	7,577	7,577
(b) Reserves and surplus	4	73,314	70,347
		80,891	77,924
(2) Non-current liabilities			
(a) Long-term borrowings	5	21,545	10,448
(b) Other long-term liabilities	6	117	108
(c) Long-term provisions	7	265	283
		21,927	10,839
(3) Current liabilities			
(a) Short-term borrowings	8	11,467	7,455
(b) Trade Payable	9		
(i) Total outstanding due to Micro Enterprises & Small Enterprises		-	-
(ii) Total outstanding dues other than to Micro Enterprises & Small Enterprises		6,737	6,179
(c) Other current liabilities	10	37,424	35,028
(d) Short term provisions	11	1,781	2,444
		57,409	51,106
Total		1,60,227	1,39,869
II. ASSETS			
(1) Non-current assets			
(a) Fixed assets			
(i) Tangible assets	12.1	1,223	1,549
(ii) Intangible assets	12.2	1,233	757
(b) Non-current investments	13	51,935	40,386
(c) Deferred tax assets (net)	14	88	70
(d) Long-term loans and advances	15	23,995	23,591
(e) Other non-current assets	16	735	1,670
		79,209	68,023
(2) Current assets			
(a) Current investments	17	256	562
(b) Inventories	18	62,594	53,817
(c) Trade receivables	19	5,608	3,792
(d) Cash and cash equivalents	20	2,191	1,627
(e) Short-term loans and advances	21	6,414	10,221
(f) Other current assets	22	3,955	1,827
		81,018	71,846
Total		1,60,227	1,39,869

See accompanying notes forming part of the financial statements

In terms of our report attached.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

For and on behalf of the Board of Directors

Rajesh Patil
Chairman & Managing Director
(DIN:-00381866)

Milind Kolte
Executive Director
(DIN:-00170760)

Atul Bohra
Chief Financial Officer

Vinod Patil
Company Secretary

Statement of Profit and Loss for the year ended 31 March 2016

(₹ in Lakhs)

Particulars	Note No.	For the year ended 31 March 2016	For the year ended 31 March 2015
I. Revenue from operations	23	18,080	16,837
II. Other income	24	5,501	4,278
III. Total Revenue (I + II)		23,581	21,115
IV. Expenses			
(a) Cost of construction/development, land, plots and development rights	25	7,760	6,461
(b) Employee benefits expenses	26	2,851	2,835
(c) Finance costs	27	3,976	3,160
(d) Depreciation and amortisation expenses	12.1 & 12.2	464	392
(e) Other expenses	28	3,828	3,252
Total expenses		18,879	16,100
V. Profit before tax (III - IV)		4,702	5,015
VI. Tax expense :			
(a) Current tax expenses		772	650
(b) Deferred Tax charge/ (credit)		(18)	2
Net tax expense		754	652
VII. Profit for the year (V - VI)		3,948	4,363
VIII. Earnings per share			
(Face value ₹10/- per equity share)			
Basic	36	5.21	5.76
Diluted	36	5.21	5.75
See accompanying notes forming part of the financial statements			

In terms of our report attached.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

For and on behalf of the Board of Directors

Rajesh Patil
Chairman & Managing Director
(DIN:-00381866)

Milind Kolte
Executive Director
(DIN:-00170760)

Atul Bohra
Chief Financial Officer

Vinod Patil
Company Secretary

Cash Flow Statement for the year ended 31 March 2016

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
A CASH FLOW FROM OPERATING ACTIVITIES		
Net Profit before tax:	4,702	5,015
Adjustment for:		
Depreciation/Amortisation	464	392
Finance Cost	3,976	3,160
Interest & Dividend received on Investments	(5,306)	(4,251)
Share of Profit from Firms and LLP	(636)	(1,719)
Loss on sale of Fixed Assets	1	-
Expenses employee stock option scheme	(21)	35
Operating profit before Working Capital changes	**3,180**	**2,632**
Adjustments for changes in Working capital		
(Increase)/Decrease in Inventories	(8,537)	(10,039)
(Increase)/Decrease in Trade Receivables	(1,816)	1,448
(Increase)/Decrease in Short term loans and advances	3,807	(4,523)
(Increase)/Decrease in Long term loans and advances	(58)	1,153
(Increase)/Decrease in Other current assets	(1,175)	(240)
(Increase)/Decrease in Other non-current assets	(23)	(32)
(Increase)/Decrease in Restricted cash balances (e.g. Dividend A/c)	(1)	5
Increase/(Decrease) in Long term provisions	(18)	83
Increase/(Decrease) in Trade payables	558	170
Increase/(Decrease) in Other current liabilities	6,337	7,950
Increase/(Decrease) in Other long term liabilities	9	(31)
Increase/(Decrease) in Short term provisions	21	73
Cash generated from/ (used in) operations	**2,284**	**(1,351)**
Income taxes (paid)/refund received	(436)	(1,275)
Net Cash from / (used in) operating activities	**1,848**	**(2,626)**
B CASH FLOW FROM INVESTING ACTIVITIES		
Capital expenditure on fixed assets,CWIP including capital advances	(762)	(928)
Proceeds from sale of Fixed assets	147	-
Non Current Investments made	(16,976)	(2,023)
Proceeds from sale of /redemption of non-current investments	5,427	2,594
Amounts received/(Invested) from partnership firms & LLPs	912	2,243
(Investments in) /Proceeds from current investments	306	979
Fixed Deposits placed not considered as cash and cash equivelents	435	(1,512)
Interest & Dividend received on Investments	4,353	3,040
Net Cash from/(used in) investing activities	**(6,158)**	**4,393**

Cash Flow Statement for the year ended 31 March 2016

(₹ in Lakhs)

	Particulars	Year ended 31 March 2016	Year ended 31 March 2015
C	CASH FLOW FROM FINANCING ACTIVITIES		
	Repayment of Long term borrowings	(10,323)	(8,443)
	Proceeds from Long term borrowings	15,814	10,062
	Net increase / decrease in working capital borrowings	4,012	1,045
	Dividend & Tax on dividend Paid	(1,643)	(1,424)
	Finance cost paid	(3,510)	(2,569)
	Net Cash from/(used in) financing activities	**4,350**	**(1,329)**
D	NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	40	438
	Cash and Cash Equivalents (Opening balance)	1,589	1,151
	Cash and Cash Equivalents (Closing balance)	1,629	1,589
	NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	**40**	**438**

Notes :

(₹ in Lakhs)

	Particulars	Year ended 31 March 2016	Year ended 31 March 2015
1	**Reconciliation of Cash and Cash equivalents with balance sheet**		
	Cash and cash equivalents as per Cash Flow Statement	1,629	1,589
	Add: balance in fixed deposit for more than 3 months and less than 12 months	525	2
	Add: balance in bank account earmarked for payment of unpaid dividend	37	36
	Cash and bank balance as per Balance Sheet (Refer Note 20)	**2,191**	**1,627**

2 Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure.

3 See accompanying notes forming part of the Financial Statements.

In terms of our report attached.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

For and on behalf of the Board of Directors

Rajesh Patil
Chairman & Managing Director
(DIN:-00381866)

Milind Kolte
Executive Director
(DIN:-00170760)

Atul Bohra
Chief Financial Officer

Vinod Patil
Company Secretary

Notes forming part of the financial statements

1. BACKGROUND

Kolte-Patil Developers Limited (“the Company”) is a Company registered under the Companies Act, 1956. It was incorporated on 25th November 1991. The Company is primarily engaged in business of construction of residential, commercial; IT Parks along with renting of immovable properties and providing project management services for managing and developing real estate projects.

2. SIGNIFICANT ACCOUNTING POLICIES

A. Basis of Preparation of Financial Statements

The financial statements of the Company have been prepared in accordance with the Generally Accepted Accounting Principles in India (Indian GAAP) to comply with the Accounting Standards specified under Section 133 of the Companies Act, 2013 and the relevant provisions of the Companies Act, 2013 ("the 2013 Act") / Companies Act, 1956 (“the 1956 Act”), as applicable. The financial statements have been prepared on accrual basis under the historical cost convention. The accounting policies adopted in the preparation of the financial statements are consistent with those followed in the previous year.

B. Use of Estimates

The preparation of the financial statements in conformity with Indian GAAP requires the Management to make estimates and assumptions considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year. The Management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Future results could differ due to these estimates and the differences between the actual results and the estimates are recognised in the periods in which the results are known / materialise.

C. Inventories

Inventory comprises of stock of raw materials, completed properties for sale and properties under construction (Work in Progress). Work In Progress comprises cost of land, development rights, TDR, construction and development cost, cost of material, services and other overheads related to projects under construction. Inventory is valued at cost or net realizable value whichever is lower.

D. Cash Flow Statement

Cash flow statement is prepared under the ‘Indirect Method’ Prescribed under Accounting Standard 3 ‘Cash Flow Statements’ prescribed under the Companies (Accounts) Rules, 2014. The cash flows from operating, investing and financing activities of the Company are segregated based on the available information.

Cash comprises cash on hand and demand deposits with banks. Cash equivalents are short-term balances (with an original maturity of three months or less from the date of acquisition), highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

E. Fixed Assets

Fixed assets are carried at cost less accumulated depreciation/amortisation. The cost of fixed assets comprises its purchase price, directly attributable expenditure on making the asset ready for its intended use, other incidental expenses and interest on borrowings attributable to acquisition of qualifying fixed assets up to the date the asset is ready for its intended use. Subsequent expenditure on fixed assets after its purchase / completion is capitalised only if such expenditure results in an increase in the future benefits from such asset beyond its previously assessed standard of performance.

Capital work-in-progress:

Projects under which tangible fixed assets are not yet ready for their intended use are carried at cost, comprising direct cost, related incidental expenses and attributable interest.

F. Depreciation/Amortization

Depreciable amount for assets is the cost of an asset, or other amount substituted for cost, less its estimated residual value.

Depreciation on tangible fixed assets has been provided on the straight-line method as per the useful life prescribed in Schedule II to the Companies Act, 2013.

Intangible Assets

Computer Software is amortized over a period of six years.

Notes forming part of the financial statements

G. Revenue Recognition

i. Revenue from real estate projects including integrated townships is recognised on the 'Percentage of Completion Method' of accounting. Revenue is recognized, in relation to the sold areas only, on the basis of percentage of actual cost incurred thereon including land as against the total estimated cost of the project under execution subject to construction costs being 25% or more of the total estimated cost. The estimates of saleable area and costs are revised periodically by the management. The effect of such changes to estimates is recognised in the period such changes are determined.

In accordance with Revised Guidance Note issued by the Institute of Chartered Accountants of India (ICAI), on 'Accounting for Real Estate Transactions (Revised 2012)', revenue recognition for all real estate projects commencing on or after 1 April 2012 or where the revenue is recognised for the first time on or after 1 April 2012, revenue is recognised on percentage of completion method if (a) actual construction and development cost (excluding land cost) incurred is 25% or more of the estimated cost, (b) At least 25% of the saleable project area is secured by contracts or agreements with buyers and (c) At least 10% of the total revenue as per sales agreement or any other legally enforceable document are realised as at the reporting date.

ii. In case of joint development projects, revenue is recognised to the extent of company's percentage share of the underlying real estate development project.

iii. Revenue from sale of land is recognised when the agreement to sell is executed resulting in transfer of all significant risk and rewards of ownership and possession is handed over to the buyer.

iv. Facility charges, management charges, project management fees, rental, hire charges, sub lease and maintenance income are recognized on accrual basis as per the terms and conditions of relevant agreements.

v. Interest income is accounted on accrual basis on a time proportion basis.

vi. Dividend income is recognized when right to receive is established.

vii. Share of profit (Loss) from partnership firms/LLPs in which the Company is partner is recognized based on the financial information provided and confirmed by the respective firms.

H. Cost of Construction / Development:

Cost of Construction/Development (including cost of land) incurred is charged to the statement of profit and loss proportionate to project area sold. Costs incurred for projects which have not achieved reasonable level of development is carried over as construction work-in-progress.

I. Unbilled receivables

Unbilled receivables represent revenue recognised on 'Percentage of Completion Method' less amount due from customers as per payment plans adopted by them.

J. Foreign Currency transactions

(i) Initial recognition

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction

(ii) Measurement at the balance sheet date

Foreign currency monetary items of the Company, outstanding at the balance sheet date are restated at the year-end rates

(iii) Treatment of exchange differences

Exchange differences arising on settlement / restatement of short-term foreign currency monetary assets and liabilities of the Company are recognised as income or expense in the Statement of Profit and Loss

K. Investments

Long-term investments are carried individually at cost less provision for diminution, other than temporary, in the value of such investments. Current investments are carried individually, at the lower of cost and fair value. Cost of investments include acquisition charges such as brokerage, fees and duties.

L. Employee Benefits:

Employee benefits include provident fund, employee state insurance scheme, gratuity fund, compensated absences.

Notes forming part of the financial statements

a) Defined contribution plans

The Company's contribution to provident fund and employee state insurance scheme are considered as defined contribution plans and are charged as an expense based on the amount of contribution required to be made and when services are rendered by the employees.

b) Defined benefit plans

For defined benefit plans in the form of gratuity fund, the cost of providing benefits is determined using the Projected Unit Credit method, with actuarial valuations being carried out at each balance sheet date. Actuarial gains and losses are recognised in the Statement of Profit and Loss in the period in which they occur. Past service cost is recognised immediately to the extent that the benefits are already vested and otherwise is amortised on a straight-line basis over the average period until the benefits become vested. The retirement benefit obligation recognised in the Balance Sheet represents the present value of the defined benefit obligation as adjusted for unrecognised past service cost, as reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to past service cost, plus the present value of available refunds and reductions in future contributions to the scheme.

c) Short-term employee benefits

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees are recognised during the year when the employees render the service. These benefits include performance incentive and compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related service.

The cost of short-term compensated absences is accounted as under :

(a) in case of accumulated compensated absences, when employees render the services that increase their entitlement of future compensated absences; and

(b) in case of non-accumulating compensated absences, when the absences occur.

d) Long-term employee benefits

Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related service are recognised as a liability at the present value of the defined benefit obligation as at the balance sheet date less the fair value of the plan assets out of which the obligations are expected to be settled

M. Employee Stock Option Scheme

The Company has formulated Employee Stock Option Schemes (ESOS) in accordance with the SEBI (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999. The Schemes provide for grant of options to employees of the Company to acquire equity shares of the Company that vest in a graded manner and that are to be exercised within a specified period. The Company accounts the employee stock based compensation under intrinsic value method. In accordance with the SEBI Guidelines; the excess, if any, of the closing market price on the day prior to the grant of the options under ESOS over the exercise price is amortised on a straight-line basis over the vesting period.

N. Borrowing Cost

Borrowing costs that are directly attributable to the acquisition or construction of a qualifying asset are considered as part of the cost of that asset. Other borrowing costs are recognized as an expense in the year in which they are incurred.

O. Operating leases

Lease arrangements where the risks and rewards incidental to ownership of an asset substantially vest with the lessor are recognised as operating leases. Lease rentals receipts / payments under operating leases are recognised in the statement of profit and loss on a straight-line basis.

P. Earnings Per Share

Basic earnings per share is computed by dividing the net profit or loss for the year by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the net profit or loss for the year by the weighted average number of equity shares outstanding during the year as adjusted for the effects of all diluted potential equity shares except where the results are anti-dilutive.

Notes forming part of the financial statements

Q. Taxes on income

Tax expenses comprise both current and deferred tax. Current tax is the amount of tax payable on the taxable income for the year as determined in accordance with the provisions of the Income Tax Act, 1961.

Deferred tax is recognised on timing differences, being the differences between the taxable income and the accounting income that originate in one period and are capable of reversal in one or more subsequent periods. Deferred tax is measured using the tax rates and the tax laws enacted or substantively enacted as at the reporting date. Deferred tax liabilities are recognised for all timing differences. Deferred tax assets are recognised for timing differences of items other than unabosrbed depreciation and carry forward losses only to the extent that reasonable certainty exists that sufficient future taxable income will be available against which these can be realised. However, if there are unabsorbed depreciation and carry forward of losses, deferred tax assets are recognised only if there is virtual certainty that there will be sufficient future taxable income available to realise the assets. Deferred tax assets and liabilities are offset if such items relate to taxes on income levied by the same governing tax laws and the Company has a legally enforceable right for such set off. Deferred tax assets are reviewed at each balance sheet date for their realisability.

R. Impairment

The carrying values of assets / cash generating units at each balance sheet date are reviewed for impairment. If any indication of impairment exists, the recoverable amount of such assets is estimated and impairment is recognized, if the carrying amount of these assets exceeds their recoverable amount. The recoverable amount is the greater of the net selling price and their value in use. Value in use is arrived at by discounting the future cash flows to their present value based on an appropriate discount factor. When there is indication that an impairment loss recognized for an asset in earlier accounting periods no longer exists or may have decreased, such reversal of impairment loss is recognized in the Statement of Profit and Loss, except in case of revalued assets.

S. Provisions, Contingent Liabilities and Contingent Assets

A provision is recognised when the Company has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made. Provisions (excluding retirement benefits) are not discounted to their present value and are determined based on the best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

Contingent liabilities are disclosed in the Notes.

Contingent assets are not recognised in the financial statements.

T. Operating Cycle

Based on the nature of products / activities of the Company and the normal time between acquisition of assets and their realisation in cash or cash equivalents, the Company has determined its operating cycle as 12 months for the purpose of classification of its assets and liabilities as current and non-current.

Notes forming part of the financial statements

NOTE 3 - SHARE CAPITAL

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Authorised		
112,000,000 (previous year 112,000,000) Equity Shares of ₹10/ each	11,200	11,200
	11,200	11,200
(b) Issued, subscribed and fully paid up		
75,774,909 (previous year 75,774,909) Equity Shares of ₹10/ each	7,577	7,577
Total	7,577	7,577

3A Terms, rights & restrictions attached to equity shares

The Company has only one class of equity shares having a face value of ₹10 per share. Accordingly, all equity shares rank equally with regards to dividends & share in the Company's residual assets. The equity shares are entitled to receive dividend as declared from time to time. Each holder of equity shares is entitled to one vote per share. In the event of liquidation of the Company, the holder of equity shares will be entitled to receive the remaining assets of the Company, after distribution of all preferential amount. The distribution will be in proportion to the number of equity shares held by the shareholders.

3B Reconciliation of the number of shares and amount outstanding at the beginning and at the end of the reporting year

Particulars	As at 31 March 2016		As at 31 March 2015	
	Number of shares	Amount ₹ in Lakhs	Number of shares	Amount ₹ in Lakhs
Shares at the beginning of the year	7,57,74,909	7,577	7,57,74,909	7,577
Issued during the year	-	-	-	-
Outstanding at the end of the year	7,57,74,909	7,577	7,57,74,909	7,577

3C Details of shares held by each shareholder holding more than 5% equity shares:

Particulars	As at 31 March 2016		As at 31 March 2015	
	Number of shares held	% holding	Number of shares held	% holding
Rajesh Anirudha Patil	1,54,86,031	20.44%	1,54,86,031	20.44%
Naresh Anirudha Patil	1,49,49,148	19.73%	1,49,49,148	19.73%
Milind Digambar Kolte	64,42,156	8.50%	64,42,156	8.50%
Sunita Milind Kolte	55,39,553	7.31%	55,39,553	7.31%
Sunita Rajesh Patil	70,21,861	9.27%	70,21,861	9.27%
Vandana Naresh Patil	70,39,319	9.29%	70,39,319	9.29%
Goldman Sachs India Fund Limited	38,47,908	5.08%	32,13,111	4.24%

3D The Company declares and pays dividend in Indian Rupees. A final dividend of ₹1.50 per share has been recommended by the Board of Directors in their meeting held on 28 May 2016, for the financial year 2015-2016, subject to the approval of shareholders in the ensuing Annual General Meeting. The total dividend appropriation for the year ended 31 March 2016 amounted to ₹1,141 lakhs including Corporate Dividend Distribution Tax of ₹4 lakhs (Previous year ₹1,825 lakhs including Corporate Dividend Distribution Tax of ₹309 lakhs).

Notes forming part of the financial statements

NOTE 4 - RESERVES AND SURPLUS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Securities Premium Account		
Opening balance	31,060	31,060
Add : Addition / (Utilisation) during the year	-	-
Closing Balance	31,060	31,060
(b) Debenture Redemptin Reserve		
Opening balance	583	-
Add: Transferred from surplus in Statement of Profit and Loss	1,683	583
Closing Balance	2,266	583
(c) Share Option Outstanding Account		
Opening balance	35	-
Add: Amount Recorded on grants during the year	10	35
Less: Amount Reversed on forfeiture of ESOP during the year	31	-
Closing Balance	14	35
(d) General Reserve		
Opening balance	3,847	3,847
Add: Transferred from surplus in Statement of Profit and Loss	-	-
Closing Balance	3,847	3,847
(e) Surplus in Statement of Profit and Loss		
Opening balance	34,822	32,955
Less: Depreciation on transition to Schedule II of the Companies Act, 2013 on tangible fixed assets with nil remaining life (P.Y. Net of Deffered tax ₹45 lakhs)	-	(88)
Add: Excess amount of dividend distribution tax on final dividend	181	-
Add : Profit for the year	3,948	4,363
Less: Allocations/Appropriations		
Final Dividend proposed to be distributed to equity shareholders ₹1.50 per share (previous year ₹2.00 per share)	(1,137)	(1,516)
Tax on Final dividend	(4)	(309)
Transferred to:		
Debenture Redemption Reserve	(1,683)	(583)
Closing Balance	36,127	34,822
Total	73,314	70,347

Notes forming part of the financial statements

NOTE 5 - LONG TERM BORROWINGS

(₹ in Lakhs)

Particulars	Non Current		Current	
	As at 31 March 2016	As at 31 March 2015	As at 31 March 2016	As at 31 March 2015
Secured				
Non-Convertible Debentures				
700 (previous year 700) 12.25% Non-Convertible Redeemable Debentures of ₹1,000,000 each.	7,000	7,000	-	-
110 (previous year Nil) 15% Non-Convertible Redeemable Debentures of ₹10,000,000 each.	11,000	-	-	-
Term Loan				
from Banks	1,200	3,350	800	3,766
from Financial Institution / Others	2,314	-	500	3,071
Vehicle loan				
from Banks	29	86	57	114
from Financial Institution / Others	2	12	10	22
	21,545	10,448	1,367	6,973
Amount disclosed under other current liabilities (refer note 10)	-	-	(1,367)	(6,973)
Total	21,545	10,448	-	-

Details of terms of repayment and securities provided in respect of secured term loans are as under:

i) Non-Convertible Debentures

a) 700 (previous year 700) 12.25% Non-Convertible Debentures of ₹1,000,000/- each fully paid carrying interest at 12.25% p.a.

Name of Debenture Holder	Series	Date of allotment	Number of Debentures	Amount ₹ in lakhs
Tata Capital Limited	Series I	11 December 2014	400	4,000
L & T Housing Finance Limited	Series II	16 January 2015	300	3,000

Security:

The NCDs shall be secured by an exclusive first ranking charge in favour of the Debenture Trustee (on behalf of the NCD holders) over:

1) Charge by way of Mortgage over land and Project Assets of Jazz 2 located at Pimple Nilakh to which clear and marketable title is held by Issuer.

2) Charge on all Cash flows and Receivables pertaining to the Project (“Receivables”).

3) Charge on the Escrow Account for the Project.

4) Minimum asset cover of 1.50 times the total principal amount of the NCDs outstanding and aggregate interest accrued but not paid on the NCDs as on the relevant date to be maintained , throughout the tenor of the NCDs

Repayment Terms : The non-convertible secured Debentures are redeemable at the end of 3 years from the Deemed Date of Allotment. The interest is to be paid out quarterly as per the Debenture Information Memorandum.

The Company has created Debenture Redemption Reserve of ₹1,166 lakhs pursuant to the Section 71(4) of the Companies Act, 2013

b) 110 (previous year Nil) 15% Non-Convertible Debentures of ₹10,000,000/- each fully paid carrying interest at 15% p.a.

Name of Debenture Holder	Series	Date of allotment	Number of Debentures	Amount ₹ in lakhs
IDFC Real Estate Yield Fund	Series III	9 October 2015	110	11,000

Notes forming part of the financial statements

NOTE 5 - LONG TERM BORROWINGS (contd.)

Security:

The NCDs shall be secured by an exclusive first ranking charge in favour of the Debenture Trustee (on behalf of the NCD holders) over:

1) Charge by way of Mortgage over land and Project Assets of Atria located at Pimple Nilakh to which clear and marketable title is held by Issuer.
2) Charge on all Cash flows and Receivables pertaining to the Project ("Receivables").
3) Charge on the Escrow Account for the Project.
4) PMC Fees due from Corolla Realty Limited and pledge of Equity Shares of Corolla Realty Limited held by the Company.

Repayment Terms: The NCDs Series III are redeemable in six (6) monthly instalments from 25th to 30th month from the date of allotment. The interest is to be paid out half yearly as per the Debenture Information Memorandum.

The Company has created Debenture Redemption Reserve of ₹1,100 lakhs pursuant to the Section 71(4) of the Companies Act, 2013.

ii) Term Loan from Banks :

a) **IDBI Loan Against property (Sanctioned ₹1,000 lakhs): Outstanding Balance - Nil (PY - ₹824 lakhs)**

Primary Security: Office No 101-B,102,105D,106,107AB,112C,201-203-204-205-206-207-208,First & Second Floor, City Point S.no 347B, 347A, Hissa No 3C/1A/1, 348A hissa no 1/1/, 348A hissa no 1/2A, Final Plot no 188 CST No 14(part) 14/1, 14/2 Dhole Patil Road Pune 01.

Collateral Security: Extension of Regd. Mortgage of Boat club road land, Final plot no 188, S no. 347/B, 347/A, 3C/1A/1, 348A/1/1 and 348A/1/2A, Total area 113883 sq. ft. at Pune

Rate of Interest : BBR Plus 525bps (i.e.effective 15.50% p.a.)

During the year, the term loan has been repaid.

b) **IDBI Project Term Loan - 24 K Glitterati (Sanctioned ₹2,500 lakhs): Outstanding Balance - Nil (PY - ₹2,226 lakhs)**

Primary Security: Mortgage of land at survey no 14 Hissa No 14/3/1/1, 14/4/1, 14/5/12 to 4 admeasuring 34400 sq. mtr. located at Pimple Nilakh in Pune.

Collateral Security: 1) Extension of Regd. mortgage of boat club Road Land, Final Plot no 188 S.no 347B, 347/A 3C/1A/1, 348A/1/1 and 348A/1/2A total area 113883 Sq Ft. at Pune 2)Office No.101B, 102, 105D, 106, 107AB, 112C, 201-202-203-204-205-206-207-208, First and second floors, "City Point"S. No. 347B, 347A, Hissa No. 3C/1A/1, 348 A Hissa No. 1/1, 348A Hissa No. 1/2A, final plot no.188 CST No. 14(part) 14/1, 14/2 Dhole Patil Road Pune –01 "

The Company has provided personal guarantees of Mr. Rajesh Patil, Mr. Naresh Patil, Mr. Milind Kolte and Mrs. Sunita Kolte, Directors of the Company.

Rate of Interest : BBR Plus 325 bps (effective 13.50% p.a.)

During the year, the term loan has been repaid.

c) **Vijaya Bank Construction Finance - City Bay (Sanctioned ₹2,000 lakhs): Outstanding Balance - Nil (PY - ₹1,929 lakhs)**

Security : Exclusive Charge by way of equitable Mortgage on proposed sixth, seventh, eighth and ninth floor admeasuring 318,421 sq.ft. of proposed Building, City Bay.

Rate of Interest : Base Rate +2.75%+0.25% p.a.(floating) (i.e. 13.45% p.a. at present)

During the year, the term loan has been repaid.

d) **State Bank of India Projects Term Loan - Ragga - Bangalore (Sanctioned ₹4,300 lakhs): Outstanding Balance - Nil (PY - ₹1,850 lakhs)**

Primary Security: Land admeasuring 6 acres 29 Guntas i.e. 292,941 sq. ft. for phase I and II and buildings to be constructed at s.no 33, Kannur Village, Bidarahalli Hobli Nr Yelakhanka, Bangalore East Taluka.

Collateral Security : land admeasuring 5,400 sq. ft. and house property (basement +g+2 admeasuring 9200 sq.ft. built up)at No 978 (amalgamation of 978 &979) HAL 2nd stage indiranagar Bangalore. Prime: Negative lien on unsold flats.

The Company has provided personal guarantees of Mr. Rajesh Patil, Mr. Naresh Patil, Mr. Milind Kolte and Mrs. Vandana

Notes forming part of the financial statements

NOTE 5 - LONG TERM BORROWINGS (contd.)

Patil, Directors of the the Company.

Rate of Interest : Base Rate 9.75% + Spread 3.75% (i.e. 13.50%)

During the year, the term loan has been repaid.

e) **Axis Bank Project term Loan (Sanctioned ₹1000 lakhs) : Outstanding - Nil (PY - ₹287 Lakhs)**

Primary Security: Excusive registered mortgage of land Development agreement located at S no. 76 to 88 (P) and 91(p) admg 74321.81 Sqmtr located at Bhavdhan Pune (including proposed building constructed thereon and other assets associated to the project.

Collateral Security: All receivable from the project including sale proceed, Security deposit,any other payment and termination repayment should be routed through a designated Account in Axis Bank Limited. The bank to have lien on the account.

Rate of Interest : Basic rates Plus 3.00% i.e. currently13.25% P.A.payble at monthly interval.

During the year, the term loan has been repaid.

f) **Karur Vaishya Bank Project term Loan (Sanctioned ₹5000 lakhs) : Outstanding - ₹2,000 Lakhs (PY - Nil)**

Primary Security :- Fresh E M Charge on Developers Share of Land and Property under development at Sy.No. 71 of Horamavu Agara Village, KR Puram, Hobli, Bangalore East Taluk admeasuring 7 acres 39 guntas valued at ₹135.00 Crore as per B.M's estimates.

Collateral Security : Fresh E.M Charge on Vacant Land situated at No. 53/1, Next to Jhon Flower, Koramangala 3rd Block, Koramangala, Bangalore admeasuring 58500 Sq.Ft. standing in the name of Ankit Enterprises (Group concern) valued ₹76.00 Crore as per B.M Estimates.

Rate of Interest : Basic rates Plus 2.5% i.e. currently 13.50% P.A. payable at monthly interval.

Repayment Terms : Repayment to start from December 2016 . 5 Quarterly equal installments. Holiday Period upto November 2016. Door to Door Tenor 30 months.

iii) **Term Loan from others :**

a) **Capital First Limited - (Sanctioned ₹7,500 lakhs): Outstanding Balance - Nil (PY - ₹3,071 Lakhs)**

Security : Exclusive Charge on the escrow on all the receivable credited to KPDL after payment is made to the respective construction finance lender from Glitterati Project. Exclusive charge by way of Mortgage of all unsold projects assets and exclusive mortgage on land, hypothecation over all the project receivable and inventory of giga residency Projects. Escrow of all projects cash flow accruing from sale of projects, including but not limited to deposits/ rentals/sale proceeds/ any other receipts of any nature in such form and manner as may be required by the lender from the projects mentioned above till our facility is fully repaid.

Rate of Interest : 18% p.a. payable quarterly fixed for entire term of the facility.

During the year, the term loan has been repaid.

b) **Aditya Birla Finance Limited - (Sanctioned ₹4500 lakhs): Outstanding Balance ₹1,439 Lakhs (PY - NIL)**

Security: An exclusive charge by way of RMOE on the projects land bearing S. No. 33, admeasuring 205,821 square feet situated at Kannur Village, Bidarahalli Hobli, Bangalore east along with building and structures both, present and future.

Exclusive Charge by way of RMOE on the Residential Property bearing survey no. 978 along with the stuctures situated at HAL II Stage Bangalore, Bangalore Mahanagar Palike Ward No 72 totally measuring east to west 90 ft. and north to south 60 all measuring 5400 sq. ft., comprising of basement, Ground floor plus two floors with a built up area of 9247 sq. ft., together with all rights.

Exclusive charge by way of hypothecation of the scheduled receivable (both sold and unsold) of Projects Raaga Phase I and II under the documents entered into with customers by borrower, all insurance proceeds both present and future.

Notes forming part of the financial statements

NOTE 5 - LONG TERM BORROWINGS (contd.)

An Exclusive charge by way of hypothecation on Escrow Account I and Escrow Account II, all monies credited / deposited therein and all investments in respect thereof.

Rate of Interest : 13.75% p.a., interest to be paid monthly.

Repayment Terms : Repayment Terms: Rupee Term Loan I of ₹15 crores in 18 monthly instalments. The first of such instalment shall fall due after 18th month from the date of 1st disbursement.

Rupee Term Loan II of ₹30 crores in 18 monthly instalments. The first of such instalment shall fall due after 24th month from the date of 1st disbursement.

c) **Aditya Birla Finance Limited - (Sanctioned ₹1,500 lakhs): Outstanding Balance ₹1,375 Lakhs (PY - NIL)**
Primary: All that Piece and parcel of premises bearing office Nos. 15 & 17 situated on 1st Floor, Office Nos. 04, 05, 17 situated on 2nd floor, Office Nos. 04, 05 & 17 situated on 3rd floor and Restaurant Nos. 01, 02 & 03 situated on 4th floor in building City Center situated at land bearing S No. 138/1 at village Hinjewadi, within registration district pune, Taluka - Mulshi; together with all buildings, Structures constructed or to be constructed thereon, both present and future and plant & machinery, fixture to be installed.

All that of retained offices bearing No. 403,404,409A & 411 on 4th floor, office no. 405, 509B, 511 & 512 on 5th Floor in City Mall Building bearing plot no. 01, S No. 132-B, Hissa No. 1 (CTS No. 2760) of Bhamburda Pune situated at University Road, Pune; together with all buildings, Structures constructed or to be constructed thereon, both present and future and plant & machinery, fixture to be installed

Rate of Interest: Facility 11.50% P.a. floating which is linked to ABFL.

Repayment terms: 12 equal quarterly instalments

iv) **Vehicle Loans: Outstanding Balance ₹98 lakhs (PY - ₹234 lakhs)**

Security: All the Vehicle loans are secured by the respective vehicles only.

Rate of Interest : The Rate of Loans are between 10 to 18%

NOTE 6 - OTHER LONG TERM LIABILITIES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Security Deposits Received	28	32
Maintenance Deposit	89	76
Total	117	108

NOTE 7 - LONG TERM PROVISIONS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Provision for Employee Benefits (Refer Note 33)		
Provision for compensated absences	265	283
Total	265	283

Notes forming part of the financial statements

NOTE 8 - SHORT TERM BORROWINGS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Secured		
Loans Payable on demand		
From Banks - Cash Credit Facility	-	1,977
From Banks - Overdraft facility	11,467	343
Unsecured repayble on demand		
Loans from Subsidiary company (refer note 40)	-	5,135
Total	11,467	7,455

1) **State Bank of India (Sanctioned ₹15,000 lakhs): Outstanding – ₹11,467 Lakhs (PY – NIL)**

   Primary security:

   1. All pieces and parcel of Land Bering Survey Nos. 1) 131/1(part)-00H05 Ares, 2) 131/5-(part)-00H 49.69 Ares, 3)131/2+3+4+6/1 (part)-00H 16.40 Ares, 4)131/2+3+4+6/2 (part)-1H 63.40 Ares, 5)131/2+3+4+6/3 (part)-1H 53.35 Ares, 6)131/2+3+4+6/4 (part)-00H 16.67 Ares, 7)131/2+3+4+6/5 (part)-00H 27.80 Ares 31/2+3+4+6/6(part)-00H 49.40 Ares, 9) 131/7/1 (part)-00H 46.08 Ares which are totally & collectively ad measuring 03 H 27.79 Ares, i.e. 32779 Sq. Meters at village Wakad, within the limites of Pimpri Chinchwad Municipal Corporation and within the jurisdiction of Taluka Mulshi, District.
   2. Present and future goods, book debts and all other movable assets.
   3. Offices no. 101B, 102, 106, 107AB, 112C, 201 to 207 at City Point, Dhole Patil Road, Pune and Open land admeasuring 29,593 sq. mtrs. Bearing S. No. 347-B, 347-A/3C/1A/1, 348A/1/1 and 348A/1/2A and also bearing final plot no. 188, at Boat Club road and 6th, 7th, 8th Floors of City Bay, Dhole Patil Road, Pune.

   Rate of Interest: 11.30% p.a. with monthly rest.

   Repayment Terms: The Fund based loan amount of ₹15,000 Lakhs sanctioned is available for a period of 35 months with annual review when it may be cancelled depending upon the conduct and utilization of advances. The repayment will start from March 2016.

2) **Axis Bank : Nil (PY - ₹1977 Lakhs)**

   Primary: Exclusive first hypotication charge on Current assets (construction Material WIP and receivables) of all the real estate projects of the company present and future excluding the project for which the company has availed project specific funding from any other bank.

   Collaterial :Exclusive registered mortgage of land located at S.no. 171/1and 171/2and 172 1/2 admeasuring 9460 sq mtr at tal Mulshi, Wakad Pune in the name of Bouvardia Develoers LLP (group entity of KPDL).Extension of charge on the Commercial premises Showroom no 6 on the Ground floor of Building Delta Giga Space admeasuring 5300 sq ft standing in the name of the Company .

   Interium addition security : Exclusive mortgage of property at unit nos 12,13, 30 at Biz Bay project in the in the name of the company admeasuring 3750 sq ft of salable area.

   Repayment Terms: On demand

3) **IDBI Bank - Overdraft Facility**

   Security - Bank Fixed Deposit

   Rate of Interest : Bank FD plus 1.5%

Notes forming part of the financial statements

NOTE 9 - TRADE PAYABLE

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Trade Payables		
(a) Total outstanding due to Micro Enterprises & Small Enterprises (Refer note 38)	-	-
(b) Total outstanding dues other than to Micro Enterprises & Small Enterprises	6,737	6,179
Total	6,737	6,179

NOTE 10 - OTHER CURRENT LIABILITES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Current maturities of long-term debt (Refer note 5)	1,367	6,973
(b) Interest accrued but not due on borrowings	1,298	592
(c) Unclaimed dividends	37	36
(d) Other Payables		
(i) Advance from customers	25,343	20,276
(ii) Statutory remittances (Contribution to PF, ESIC, Withholding taxes, VAT, Service Tax etc.)	236	403
(iii) Advance from Partnership Firms and LLP	6,914	5,956
(iv) Bookoverdraft- Bank	204	539
(v) Project management fees & debenture interest receieved in advance	8	94
(vi) Amount received from Co-Developers (Refer Note 46)	1,873	-
(vii) Others (Stamp duty and registration fees)	119	132
(e) Security Deposit	25	27
Total	37,424	35,028

NOTE 11 - SHORT TERM PROVISIONS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
a. Provision for Employee Benefits (Refer Note 33)		
Provision for gratuity	196	181
Provision for compensated absences	34	28
b. Provision- Others		
Provision for Income Tax (Net of advance tax of ₹2,443 lakhs (previous year ₹2,443 lakhs))	410	410
Provision for Proposed Dividend	1,137	1,516
Provision for Tax on Proposed Dividend	4	309
Total	1,781	2,444

Notes forming part of the financial statements

NOTE 12.1 - FIXED ASSETS - TANGIBLE

(₹ in Lakhs)

SR. No.	Particulars	GROSS BLOCK				DEPRECIATION/AMORTISATION					NET BLOCK	
		As at 1 April 2015	Additions	Deletions / Adjustments	As at 31 March 2016	Up to 1 April 2015	For the Year	Transition adjustment recorded against Surplus balance in Statement of Profit and Loss	On deletion / Adjustments	As at 31 March 2016	As at 31 March 2016	As at 31 March 2015
1.	Building	548	-	147	401	39	9	-	4	44	357	509
		(401)	(147)	(-)	(548)	(30)	(9)	(-)	(-)	(39)	(509)	(371)
2.	Furniture and Fixtures	300	18	-	318	103	38	-	-	141	177	197
		(210)	(90)	(-)	(300)	(66)	(36)	(1)	(-)	(103)	(197)	(144)
3.	Plant and Machinery	24	19	1	42	2	3	-	-	5	37	22
		(3)	(21)	(-)	(24)	(1)	(1)	(-)	(-)	(2)	(22)	(2)
4.	Office Equipment	336	26	-	362	209	46	-	-	255	107	127
		(265)	(71)	(-)	(336)	(78)	(43)	(88)	(-)	(209)	(127)	(187)
5.	Vehicles	1,220	1	11	1,210	606	126	-	7	725	485	614
		(1,055)	(165)	(-)	(1,220)	(437)	(141)	(28)	(-)	(606)	(614)	(618)
6.	Computers	339	28	-	367	259	48	-	-	307	60	80
		(270)	(69)	(-)	(339)	(195)	(48)	(16)	(-)	(259)	(80)	(75)
	TOTAL (A)	2,767	92	159	2,700	1,218	270	-	11	1,477	1,223	1,549
	TOTAL (Previous Year)	(2,204)	(563)	(-)	(2,767)	(807)	(278)	(133)	(-)	(1,218)	(1,549)	

NOTE 12.2 - FIXED ASSETS - INTANGIBLE

(₹ in Lakhs)

SR. No.	Particulars	GROSS BLOCK				DEPRECIATION / AMORTISATION					NET BLOCK	
		As at 1 April 2015	Additions	Deletions / Adjustments	As at 31 March 2016	Up to 1 April 2015	For the Year	Transition adjustment recorded against Surplus balance in Statement of Profit and Loss	On deletion / Adjustments	As at 31 March 2016	As at 31 March 2016	As at 31 March 2015
1	Computer Software	990	670	-	1,660	233	194	-	-	427	1,233	757
		(169)	(821)	(-)	(990)	(119)	(114)	(-)	(-)	(233)	(757)	(50)
	TOTAL (B)	990	670	-	1,660	233	194	-	-	427	1,233	757
	TOTAL (Previous Year)	(169)	(821)	(-)	(990)	(119)	(114)	(-)	(-)	(233)	(757)	
	GRND TOTAL (A+B)	3,757	762	159	4,360	1,451	464	-	11	1,904	2,456	2,306
	TOTAL (Previous Year)	(2,373)	(1,384)	(-)	(3,757)	(926)	(392)	(133)	(-)	(1,451)	(2,306)	

Note : Previous year figures are in brackets

Notes forming part of the financial statements

NOTE 13 - NON CURRENT INVESTMENTS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
A. Trade Investments (Unquoted, at cost)		
I. Investments in equity shares of		
a. Subsidiaries		
i) Tuscan Real Estate Private Limited	51	51
51,000 (previous year 51000) Shares of ₹100 Each		
ii) Bellflower Properties Private Limited	50	50
500,000 (previous year 500,000) Shares of ₹10 each		
iii) Kolte-Patil Real Estate Private Limited	5,378	5,378
18,939 (previous year 18,939) Shares of ₹10 each		
2,391,716 (previous year 2,391,716) Shares of ₹10 at ₹90 premium		
9,012,000 (previous year 9,012,000) Shares of ₹10 at ₹15 premium		
2,316,120 (previous year 2,316,120) Shares of ₹10 at ₹21.5625 premium		
iv) Yashowardhan Promoters and Developers Private Limited	831	831
111,000 (previous year 111,000) Shares of ₹10 each		
74,000 (previous year 74,000) Shares of ₹10 each at ₹1098.11 premium		
v) Regenesis Facility Management Company Private Limited	2	2
20,000 (previous year 20,000) Shares of ₹10 each		
vi) Regenesis Project Management Co. Private Limited	-	500
Nil (previous year 499,998) Shares of ₹100 each		
vii) Lilac Hospitality Private Limited	-	50
Nil (previous year 500,000) Shares of ₹10 each		
viii) Jasmine Hospitality Private Limited	5,520	5,520
14,366,200 (previous year 14,366,200) Shares of ₹10 each		
13,802,820 (previous year 13,802,820) shares of ₹10 each at premium of ₹12.82		
2,000,000 (previous year 2,000,000) Shares of ₹10 each at Premium of ₹35.89		
ix) Olive Realty Private Limited	100	100
1,000,000 (previous year 1,000,000) Shares of ₹10 each		
x) Snowflower Properties Private Limited	5	5
50,000 (previous year 50,000) Shares of ₹10 each		
xi) PNP Retail Private Limited	1,968	1,968
19,683,389 (previous year 19,683,389) Shares of ₹10 each		
xii) PNP Agrotech Private Limited	933	933
9,325,239 (previous year 9,325,239) Shares of ₹10 each		
xiii) Sylvan Acres Realty Private Limited	826	951
325,000 (previous year 450,000) Shares of ₹100 each		
50,000 (previous year 50,000) shares of ₹100 each at a premium of ₹900		
xiv) Corolla Realty Limited (Refer Note 47)	17,508	1,108
10,000 (previous year 10,000) Equity Shares of ₹10 each		
204,356 (previous year 204,356) Shares of ₹10 each at ₹531.53 premium		
53,589 (previous year Nil) Equity Shares of ₹10 each at ₹4,328.58 premium		
160,767 (previous year Nil) Equity Shares of ₹10 each at ₹4,390.778 premium		
150,628 (previous year Nil) Equity Shares of ₹10 each at ₹4,637.21 premium		

Notes forming part of the financial statements

NOTE 13 - NON CURRENT INVESTMENTS (contd.)

(₹ in Lakhs)

Particulars		As at 31 March 2016	As at 31 March 2015
b.	**Joint Ventures - Jointly Controlled Entities**		
i)	Kolte-Patil I-ven Townships (Pune) Limited.	450	450
	4,500,000 (previous year 4,500,000) Equity Shares of ₹10 each		
II.	**Investment in Preference shares of**		
a.	**Subsidiaries**		
	Sylvan Acres Realty Private Limited	-	5,001
	Nil (previous year 5,000,000) 0.0001% Red. Pref. Shares of ₹10 at Premium of ₹90		
b.	**Joint Ventures - Jointly Controlled Entities**		
	Kolte-Patil I-ven Townships (Pune) Limited	3,295	3,295
	3,294,666 (previous year 3,294,666) 0.0001% Red. Pref. Shares of ₹10 each at premium of ₹90		
III.	**Investment in Debentures/Bonds of**		
a.	**Subsidiaries**		
i)	Tuscan Real Estate Private Limited	2,098	2,098
	8,482,333 (previous year 8,482,333) 15% OCD of ₹10 each		
	12,500,000 (previous year 12,500,000) 15% NCD of ₹10 each		
ii)	Jasmine Hospitality Private Limited	166	166
	1,656,100 (previous year 1,656,100) 15% OCD of ₹10 each		
iii)	Snowflower Properties Private Limited	3,201	3,501
	3,200,961 (previous year 3,500,961) 15% OCD of ₹100 each		
b.	**Joint Ventures - Jointly Controlled Entities**		
	Kolte-Patil I-ven Townships (Pune) Limited.	8,163	8,163
	15,754,500 (previous year 15,754,500) 15% OCD of ₹10 each		
	65,874,987 (previous year 65,874,987) 15% CCD of ₹10 each		
IV.	**Investment in Partnership firm (Fixed Capital)**		
	Ankit Enterprises	-*	-*
V.	**Investment in Limited Liability Partnerships (Fixed Capital)**		
	Carnation Landmarks LLP	575	-
	Regenesis Project Management LLP	500	-
	KP-Rachana Real Estate LLP	212	212
	Sanjivani Integrated Township LLP	51	51
	Lilac Hospitality LLP	50	-
	Bouvardia Developers LLP	1	1
	KP-SK Project Management LLP	-*	-*
	Ruturang Developers LLP	-*	1
VI.	**Other Investments**		
a.	**Investment in government or trust securities**		
	National Savings Certificates	-*	-*
b.	**Other non-current investments**		
	20 (previous year 20) Equity shares of Rupee Bank of ₹25 each	-*	-*
	Total	51,935	40,386

* Amount less than ₹1 lakhs

Notes forming part of the financial statements

Note 13A

The details of all partners, capital and profit sharing ratio in partnership firms where company is a partner

Name of the firm/Partners	2015-16		2014-15	
	Profit Sharing Ratio	Fixed Capital ₹ in lakhs	Profit Sharing Ratio	Fixed Capital ₹ in lakhs
Ankit Enterprises				
Kolte-Patil Developers Limited	75%	0.38	75%	0.38
Mr. Rajesh Patil	5%	0.03	5%	0.03
Mr. Naresh Patil	5%	0.03	5%	0.03
Mr. Milind Kolte	5%	0.03	5%	0.03
Mrs. Sunita Kolte	5%	0.03	5%	0.03
Mrs. Sunita Patil	2.50%	0.01	2.50%	0.01
Ms. Ankita Patil	2.50%	0.01	2.50%	0.01
Kolte-Patil Homes				
Kolte-Patil Developers Limited	60%	-	60%	-
Mr. Naresh Patil	30%	-	30%	-
Mrs. Vandana Patil	10%	-	10%	-

Note 13B

The details of all partners, capital and profit sharing ratio in LLPs where company is a partner

Name of the firm/Partners	2015-16		2014-15	
	Profit Sharing Ratio	Fixed Capital ₹ in lakhs	Profit Sharing Ratio	Fixed Capital ₹ in lakhs
KP-Rachana Real Estate LLP				
Kolte-Patil Developers Limited	50%	212.46	50%	212.46
Rachana International Private Limited	50%	495.75	50%	495.75
Sanjivani Integrated Township LLP				
Kolte-Patil Developers Limited	50.50%	50.50	50.50%	50.50
Mr. Nitin Govind Sable	24.75%	24.75	24.75%	24.75
Mrs. Surekha Rajiv Sable	24.75%	24.75	24.75%	24.75
Bouvardia Developers LLP				
Kolte-Patil Developers Limited	99.00%	0.99	99.00%	0.99
Yashowardhan Promoters & Developers Private Limited	1.00%	0.01	1.00%	0.01
Regenesis Project Management LLP				
Kolte-Patil Developers Limited	99.98%	499.998	-	-
Mr. Rajesh Patil	0.01%	0.001	-	-
Mr. Milind Kolte	0.01%	0.001		
Lilac Hospitality LLP				
Kolte-Patil Developers Limited	99.99%	49.9999	-	-
Ms. Ankita Rajesh Patil	0.01%	0.0001	-	-
KP-SK Projects Management LLP				
Kolte-Patil Developers Limited	55.00%	0.55	55.00%	0.55
Sky Lux Cityscapes Private Limited	45.00%	0.45	45.00%	0.45
Carnation Landmarks LLP				
Kolte-Patil Developers Limited	50.17%	575	-	-
India Realty Excellence Fund II LLP	15.15%	1,574	-	-
India Realty Excellence Fund III	34.68%	3,603		
Ruturang Developers LLP				
Kolte-Patil Developers Limited	-	-	75.00%	0.75
Mr. Sudhir Kolte	-	-	25.00%	0.25

Notes forming part of the financial statements

NOTE 14 - DEFERRED TAX ASSET / LIABILITY (NET)

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
i) Break up of deferred tax liability as at year end:		
Difference between book balance and tax balance of fixed assets	195	118
Total	195	118
ii) Break up of deferred tax asset as at year end:		
a. Provision for compensated absences	103	106
b. Provision for Gratuity	68	61
c. Provision for Bonus	112	21
Total	283	188
(iii) Deferred tax asset/(liability) net:	88	70
(iv) Net Deferred Tax charge/Credit	(18)	(43)
Deferred tax credit pertaining to depreciation adjusted in reserve	-	(45)
(v) Deferred tax Charged / (Credit)	(18)	2

NOTE 15 - LONG TERM LOANS AND ADVANCES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Unsecured, considered good		
(a) Loans and advances to related parties (refer note 40)		
-Loans to Subsidiary Companies	2,962	2,603
(b) Security deposits	1,333	1,202
(c) Current account in LLP	13,451	12,769
(d) Advances given for real estate development	3,462	3,894
(e) Advance income tax (Net of provisions of ₹14,648 lakhs (Previous year ₹13,877 lakhs))	2,787	3,123
Total	23,995	23,591

Note: Long term Advances includes amount due from:

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Private companies in which any director is a director or member		
Lilac Hospitality Private Limited	-	17
Olive Reality Private Limited	2,508	2,474
PNP Retail Private Limited	255	95
Yashowardhan Promoters & Developers Private Limited	74	-
PNP Agrotech Private Limited	85	5
Jasmine Hospitality Private Limited	40	12
	2,962	2,603

Notes forming part of the financial statements

NOTE 16 - OTHER NON CURRENT ASSETS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(unsecured, considered good)		
Other Advances (including Maintenance Charges Recoverable)	183	160
Interest accrued on deposits	13	-
Fixed Deposit with Bank held for more than 12 Months	539	1,510
(Balance held as security against borrowing)		
Total	735	1,670

NOTE 17 - CURRENT INVESTMENT

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(At lower of cost or fair value)		
(a) Investment in equity instruments -Quoted	3	3
13,200 (13,200) Equity Shares of ₹24 each - Vijaya Bank		
(b) Investment in Mutual Funds- Quoted	-	
102.64 units of ₹1,528.74 each (Previous year - 9,837.90 of ₹1,528.74 each) of Reliance Liquid Fund - Treasury Plan - Daily Dividend Option	2	150
22.87 units of ₹100.29 each (Previous year 106,966.58 of ₹100.29 each) of Birla Sun Life Saving Fund - Daily Dividend - Direct Plan - Reinvestment	-*	107
237,954 units of ₹105.73 each (Previous year - 285,366.54 of ₹105.73 each)of ICICI Prudential Flexible Income - Daily Dividend	251	302
Total	256	562

* Amount less than ₹1 lakhs

NOTE 18 - INVENTORIES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(At lower of cost and net realisable value)		
Closing Stock of Raw Material	423	756
Land, plots and construction work-in-progress	60,496	51,712
Completed Finished Properties	1,675	1,349
Total	62,594	53,817

Notes forming part of the financial statements

NOTE 19 - TRADE RECEIVABLES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(unsecured, considered good)		
Trade receivables outstanding for a period exceeding six months from the date they were due for payment	2,145	2,340
Other Trade receivables (less than six months)	3,463	1,452
Total	5,608	3,792

Note: Trade receivables include debts due from:

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Private companies in which any director is a director or member		
Kolte-Patil Real Estate Private Limited	108	49
Tuscan Real Estate Private Limited	41	41
Bellflower Properties Private Limited	25	37
	174	127

NOTE 20 - CASH AND CASH EQUIVALENTS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
A. Cash and cash equivalents		
i) Cash on hand	13	14
ii) Balances with Banks:		
-Current Account	1,192	1,029
-Demand deposit accounts (Original Maturity of 3 months or less)	424	546
Total (A)	1,629	1,589
B. Other bank balances		
i) In other Deposit accounts		
Fixed Deposit as a security against borrowing (Original Maturity of more than 3 months less than 12 months)	525	2
ii) In earmarked accounts		
- Unpaid dividend accounts	37	36
Total (B)	562	38
Total (A+B)	2,191	1,627

Notes forming part of the financial statements

NOTE 21 - SHORT TERM LOANS AND ADVANCES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(Unsecured, considered good)		
(a) Loans and advances to related parties (Refer Note 40)	156	156
(b) Prepaid expenses	87	33
(c) Loans and advances to employess	32	84
(d) Balances with government authorities	198	180
(e) Other short term loans and advances		
Advances to suppliers, contractors & Land Vendors	5,941	6,656
Advance for Purchase of Stake in Corolla Realty Limited	-	3,100
Other Advances	-	12
Total	6,414	10,221

Note: Short Term Advances includes amount due from:

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Directors and their relatives	156	156
	156	156

NOTE 22 - OTHER CURRENT ASSETS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Interest accrued on deposits	23	53
Interest on Debenture and Inter Corporate Deposits	2,517	1,534
Unbilled Revenue	1,415	240
Total	3,955	1,827

Notes forming part of the financial statements

NOTE 23 - REVENUE FROM OPERATIONS

(₹ in Lakhs)

Particulars		For the year ended 31 March 2016	For the year ended 31 March 2015
(a)	Revenue from		
	Sale of Properties/ Flats (Residential and commercial)	16,732	14,092
(b)	Revenue from sale of services		
	Rent Income	105	129
	Project Management Fees	607	897
(c)	Other Operating revenues		
	Share of profit from partnership firms (Net)	586	1,556
	Share of profit from LLPs (Net)	50	163
	Total	18,080	16,837

Note 23-A Share of profit /(loss)from partnership firms & LLPs

(₹ in Lakhs)

Particulars		For the year ended 31 March 2016	For the year ended 31 March 2015
1.	Ankit Enterprises	590	1,562
2.	Kolte-Patil Homes	(4)	(6)
3.	KP Rachana Real Estate LLP	(50)	25
4.	Bouvardia Developers LLP	(4)	102
5.	KP-SK Project Management LLP	105	36
6.	Carnation Landmarks LLP	(1)	-
	Total	636	1,719

NOTE 24 - OTHER INCOME

(₹ in Lakhs)

Particulars		For the year ended 31 March 2016	For the year ended 31 March 2015
(a)	Interest Income from		
	Deposits with banks	171	67
	Customers/employees	-	1
	Interest Income from long term investment in subsidiary and		
	Joint venture	3,100	2,792
(b)	Dividend income from		
	Current investments (Mutual Funds)	30	74
	Long-term investments (Shares in Subsidiaries & Joint ventures)	2,005	1,317
(c)	Miscellaneous Income	31	27
(d)	Liability no longer Required written back	164	-
	Total	5,501	4,278

Notes forming part of the financial statements

NOTE 25 - COST OF CONSTRUCTION/ DEVELOPMENT, LAND, PLOTS & DEVELOPMENTS RIGHTS

(₹ in Lakhs)

Particulars		For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Opening stock		53,061	43,778
Less : Completed unit transfer to fixed assets			(147)
	(A)	53,061	43,631
(b) Add: Cost incurred during the year			
Cost of land/ development rights		6,388	5,864
Consumption of material		3,379	2,891
Contract cost, labour and other charges		3,260	3,734
Other construction expenses		2,341	2,633
Personnel costs		1,502	769
	(B)	16,870	15,891
(c) Less : Closing stock	(C)	62,171	53,061
Total	(A+B-C)	7,760	6,461

NOTE 26 - EMPLOYEE BENEFITS EXPENSES

(₹ in Lakhs)

Particulars	For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Salaries and wages	2,442	2,409
(b) Contributions to provident and other funds	358	353
(c) Expenses on employee stock option	10	35
(d) Staff welfare expenses	41	38
Total	2,851	2,835

NOTE 27 - FINANCE COST

(₹ in Lakhs)

Particulars	For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Interest expense on Borrowings	3,953	3,055
(b) Other borrowing costs	23	105
Total	3,976	3,160

Notes forming part of the financial statements

NOTE 28 - OTHER EXPENSES

(₹ in Lakhs)

Particulars	For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Advertisement and Selling Expenses	1,708	1,439
(b) Rent including lease rentals	372	492
(c) Repair and Maintenance		
Buildings	25	22
Machinery	33	30
Others	162	66
(d) Insurance	69	85
(e) Rates and Taxes	385	32
(f) Communication	69	74
(g) Travelling and conveyance	273	250
(h) Printing and Stationery	55	20
(i) Legal and professional fees	389	452
(j) Payments to Auditors (Refer Note 30)	25	21
(k) Expenditure on Corporate Social Responsibility	29	-
(l) Miscellaneous Expenses	234	269
Total	3,828	3,252

NOTE 29 - CONTINGENT LIABILITIES (TO THE EXTENT NOT PROVIDED FOR)

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
(a) Claims against the Company not acknowledged as debt *	2,133	2,133
(b) Income Tax matters (pending in Appeal)	1,045	936
(c) Guarantees issued by the Company on behalf of Subsidiary and joint venture companies**(Refer Note 45)	20,000	21,800
(d) In relation to the Company's interests in joint ventures and its share in each of the contingent liabilities which have been incurred jointly with other venturers* (Refer Note 37)	-	35
Total	23,178	24,904

*in the opinion of the management the above claims are not sustainable and the Company does not expect any outflow of economic resources in respect of above claims and therefore no provision is made in respect thereof.

**The Company does not expect any outflow of resources in respect of the Guarantees issued.

NOTE 30 - AUDITORS REMUNERATION (NET OF SERVICE TAX) TOWARDS

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Audit Fees including fees for quarterly limited reviews	25	20
Other services	-	1
Reimbursement of expenses	-*	-*
Total	25	21

* Amount is less than ₹1 lakh

Notes forming part of the financial statements

NOTE 31 - EXPENDITURE IN FOREIGN CURRENCY

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Travelling expense	-	54
Advertisement Expenditure	2	4
Professional Fees	12	118
Salary	29	17
Rent	76	89
Total	119	282

NOTE 32 - DISCLOSURE AS REQUIRED BY GUIDANCE NOTE ON ACCOUNTING FOR REAL ESTATE TRANSACTIONS (REVISED 2012):

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
- Project revenue recognised as revenue for the year ended 31st March	16,732	14,092
- Methods used to determine the project revenue	Percentage of completion	Percentage of completion
- Method used to determine the stage of completion of the Project	% of actual cost to budgeted cost	% of actual cost to budgeted cost
- Aggregate amount of costs incurred and profits recognised to date as at 31 March	111,014	90,981
- Advances received as at 31 March	25,343	20,275
- Amount of work in progress as at 31 March	62,171	53,061
- Amount of Construction Materials as at 31 March	423	756
- Unbilled revenue as at 31 March	1,415	241
- Sundry Debtors as at 31 March	3,397	1,989

NOTE 33 - EMPLOYEE BENEFITS

The details of employee benefits as required under Accounting Standard 15 'Employee Benefits' is given below

(A) **Defined Contribution Plan:**

Amount recognized as an expense in the Statement of Profit and Loss in respect of Defined Contribution Plans (Provident funds) is ₹205 lakhs (Previous Year - ₹167 lakhs)

(B) **Defined benefit plan:**

Gratuity is a defined benefit plan covering eligible employees. The plan provides for a lump sum payment to vested employees on retirement, death while in employment or termination of employment of an amount equivalent to 15 days salary for each completed year of service. Vesting occurs on completion of five years of service.

Disclosure as required under Accounting Standard – 15 (Revised) on "Employee Benefits" in respect of defined benefit plan is as under:

Notes forming part of the financial statements

NOTE 33 - EMPLOYEE BENEFITS (contd.)

i. Changes in the present value of defined obligation (DBO) during the year representing reconciliation of opening and closing balances thereof are as follows:

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Present value of benefit obligation at the beginning of the year	323	234
Acquisition Cost	-	2
Current service cost	83	77
Past service cost	-	-
Interest cost	22	21
Curtailment cost / (credit)	-	-
Settlement cost / (credit)	-	-
Actuarial (gains) / losses	(16)	(4)
Benefits paid	(70)	(7)
Present value of Defined Benefit Obligation as on Balance Sheet date.	342	323

ii. Changes in the fair value of plan assets during the year representing reconciliation of opening and closing balances thereof are as follows:

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Fair value of Plan Assets at the beginning of the year	142	122
Acquisition adjustment	-	2
Expected return on plan assets	12	11
Actual company contributions	65	16
Actuarial gains and (losses)	(3)	(2)
Benefits paid	(70)	(7)
Plan assets as on the end of the year	146	142
Actual Returns on Plan Assets	9	10

iii. Analysis of Defined Benefit Obligations

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Defined benefit obligations as at 31 March	342	323
Fair value of plan assets at the end of the year	146	142
Net Asset/(Liability) recognised in Balance sheet as at 31 March	(196)	(181)

iv. Reconciliation of present value of Defined Benefit Obligations and fair value of Plans assets showing amounts recognised in Balance sheet

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Present value of defined benefit obligation at End of the year	342	323
Fair value of plan assets	146	142
Funded status [Surplus/(Deficit)]	(196)	(181)
Unrecognized Past Service Costs	-	-
Net asset / (liability) recognised in the Balance Sheet	(196)	(181)

v. In respect of Funded Benefits with respect to gratuity, the fair value of Plan assets represents the amounts invested through "Insurer Managed Funds"

Notes forming part of the financial statements

NOTE 33 - EMPLOYEE BENEFITS (contd.)

vi. Expenses recognized in the Statement of Profit and Loss

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Current service cost	83	77
Interest cost	22	21
Past service cost	-	-
Expected return on plan assets	(12)	(11)
Net actuarial loss/(Gain) recognized in the year	(13)	(2)
Total expense recognised in the Statement of Profit and Loss	80	85

vii. Actual Contribution and benefit payments for the year

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Actual benefit paid directly by the company	-	-
Actual contributions	65	16

viii. Principal Actuarial Assumptions for gratuity

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Discount Rate	8.10%	7.80%
Rate of Increase in compensation levels of covered employees	9.00%	9.00%
Rate of Return on Plan Assets	8.50%	9.00%
Expected Average Remaining working lives of employees (Years)	16.28	16.36

a. The discount rate is based upon the market yields available on Government bonds at the accounting date with a term that matches that of the liabilities.

b. Expected Rate of Return of Plan Assets: This is based on the expectation of the average long term rate of return expected on investments of the Fund during the estimated term of obligations.

c. Salary Escalation Rate : The estimates of future salary increases considered takes into account the inflation, seniority, promotion and other relevant factors

ix. Experience Adjustments

(₹ in Lakhs)

Experience History	31 March 2016	31 March 2015	31 March 2014	31 March 2013	31 March 2012
Defined Benefit Obligation at the end of the period	342	323	233	206	161
Plan Assets at the end of the period	146	142	121	78	14
Funded Status surplus / (deficit)	(196)	(181)	(112)	(128)	(147)
Experience adjustments on Plan Liabilities Loss / (Gain)	(4)	(50)	(3)	(25)	19
Experience adjustments on Plan Assets Loss / (Gain)	2	2	14	(1)	1

x. Actuarial assumptions for long-term compensated absences (Leave Salary)

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Discount Rate	8.10%	7.80%
Rate of Increase in compensation levels of covered employees	9.00%	9.00%
Expected Average Remaining working lives of employees (Years)	16.28	16.36

The discount rate is based upon the market yields available on Government bonds at the accounting date with a term that matches that of the liabilities.

Notes forming part of the financial statements

NOTE 34 - SEGMENT INFORMATION

The Company is predominantly engaged in Real Estate. The operations of the company do not qualify for reporting as business segments as per the criteria set out under Accounting Standard 17 (AS-17) on "Segment Reporting". The Company is operating in India hence there is no reportable geographic segment. Accordingly no disclosure is required under AS-17.

NOTE 35 - OPERATING LEASES

Where the Company is Lessee:

The Company has entered into operating lease arrangements for certain facilities and office premises. The leases are non-cancellable and range over a period of 2 years to 5 years and may be renewed for a further period based on mutual agreement of the parties. The lease agreements provide for an increase in the lease payments by 10% to 15% in few cases.

Rental expense for operating leases included in the Statement of Profit and Loss for the year is ₹372 lakhs [Previous Year - ₹492 Lakhs].

The future minimum lease payments under non-cancellable operating lease

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Not later than one year	352	439
Later than one year but not later than five years	1,010	638
Later than five years	550	-

Where the Company is Lessor:

The Company has entered into operating lease arrangements for certain surplus facilities. The leases are cancellable.

Rental income from operating leases included in the Statement of Profit and Loss for the year is ₹105 lakhs [Previous Year - ₹129 Lakhs].

NOTE 36 - EARNINGS PER SHARE

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Net Profit attributable to shareholders (₹ in Lakhs)	3,948	4,363
Nominal value of equity shares – Rupees	10	10
Weighted average number of equity shares for basic EPS (in lakhs)	758	758
Weighted average number of equity shares for diluted EPS (in lakhs)	758	759
Basic earnings per share – Rupees	5.21	5.76
Diluted earnings per share – Rupees	5.21	5.75

NOTE 37 - PARTICULARS OF JOINT VENTURES

The Company has interests in the following Jointly controlled entities (JCE):

Sr. No	Joint Venture Entity	Location	Principal activities	Ownership interest
1	Kolte-Patil I-Ven Townships (Pune) Limited (Township)	Pune, India	Development and construction of townships	45%
2	Corolla Realty Limited (Corolla) (Note 2)	Pune, India	Development and construction of townships	37%

Notes forming part of the financial statements

NOTE 37 - PARTICULARS OF JOINT VENTURES (contd.)

Financial interest of the Company in jointly controlled entities is as under

(₹ in Lakhs)

Particulars	Township		Corolla	
	Year 2016	Year 2015	Year 2016 (Note 2)	Year 2015
Assets	27,654	25,131	-	6,806
Liabilities	23,097	19,550	-	3,011
Income	4,309	8,428	-	2,702
Expenses	5,359	7,816	-	1,765
Contingent Liabilities	-	-	-	35

Note 1 - The Company's share of assets, liabilities, income and expenditure has been included on the basis of audited financial statements of the above mentioned Joint venture entities.

Note 2 - During the year, the Company has increased its stake from 37% to 100% in Corolla Realty Limited. Corolla Realty Limited is now a Wholly Owned Subsidiary of the Company.

NOTE 38 - DISCLOSURES REQUIRED UNDER SECTION 22 OF THE MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
(i) Principal amount remaining unpaid to any supplier as at the end of the accounting year	-	-
(ii) Interest due thereon remaining unpaid to any supplier as at the end of the accounting year	-	-
(iii) The amount of interest paid along with the amounts of the payment made to the supplier beyond the appointed day	-	-
(iv) The amount of interest due and payable for the year	-	-
(v) The amount of interest accrued and remaining unpaid at the end of the accounting year	-	-
(vi) The amount of further interest due and payable even in the succeeding year, until such date when the interest dues as above are actually paid	-	-

Dues to Micro and Small Enterprises have been determined to the extent such parties have been identified on the basis of information collected by the Management. This has been relied upon by the auditor.

Notes forming part of the financial statements

NOTE 39 - DISCLOSURE AS PER REGULATION 34(3) OF SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATION, 2015

Loans and advances in the nature of loans given to entities in which directors are interested:

(₹ in Lakhs)

Name of the party	Relationship	Amount outstanding	Maximum balance outstanding during the year
Olive Realty Private Limited	Subsidiary	2,508	2,733
		(2,474)	(2,951)
Lilac Hospitality Private Limited	Subsidiary	-	-
		(17)	(17)
Yashowardhan Promotors & Developers Private Limited	Subsidiary	74	77
		(-)	(825)
PNP Retail Private Limited	Subsidiary	255	281
		(95)	(1,114)
Jasmine Hospitality Private Limited	Subsidiary	40	48
		(12)	(12)
PNP Agrotech Private Limited	Subsidiary	85	91
		(5)	(482)

Note: Figures in bracket relate to the previous year.

NOTE 40 - RELATED PARTY TRANSACTIONS

A. List of related Parties

Related Parties (as identified by the Management) are classified as:

i. **Subsidiary Companies**

1 Kolte-Patil Real Estate Private Limited
2 Tuscan Real Estate Private Limited
3 Bellflower Properties Private Limited
4 Corolla Realty Limited (from 9 October 2015)
5 Snowflower Properties Private Limited
6 Jasmine Hospitality Private Limited
7 Olive Realty Private Limited
8 Sylvan Acres Realty Private Limited
9 Yashowardhan Promoters and Developers Private Limited
10 Regenesis Facility Management Company Private Limited
11 PNP Retail Private Limited
12 PNP Agrotech Private Limited

ii. **Joint Ventures**

Kolte-Patil I-Ven Townships (Pune) Limited

iii. **Entities over which the Company, Subsidiary Companies or Key Management Personnel or their relatives, exercise significant influence**

1 Ankit Enterprises
2 Kolte-Patil Homes
3 Kolte-Patil Enterprises
4 KP-Rachana Real Estate LLP
5 Sanjivani Integrated Township LLP
6 Bouvardia Developers LLP
7 KP-SK Project Management LLP
8 Carnation Landmarks LLP

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

9 Regenesis Project Management LLP
10 Lilac Hospitality LLP

iv. Key Management Personnel
1. Mr. Rajesh Patil
2. Mr. Naresh Patil
3. Mr. Milind Kolte
4. Mrs. Sunita Kolte (Up to 30 June 2015)
5. Mrs. Vandana Patil (Up to 30 June 2015)
6. Mr. Sujay Kalele (Up to 31 December 2015)
7. Mrs. Shraddha Jain (up to 4 November 2015)
8. Mr. Atul Bohra (w.e.f. 5 November 2015)

v. Relatives of Key Management Personnel (with whom the Company had transactions)
1. Mr. Digambar Kolte
2. Mrs. Pramila Kolte
3. Mr. Pradeep Kolte
4. Mr. Sudhir Kolte
5. Mrs. Sunita Patil
6. Ms. Ankita Patil
7. Mr. Nirmal Kolte

B. Related Party Transactions and Balance Outstanding

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
I. Transactions during the year:				
Unsecured Loan Repaid	5,135			
	(-)			
Advances / Loans Given	524			
	(1,512)			
Advance / Loans received back during the year	477			
	(1,306)			
Advance received against sale of property	2,000			
	(-)			
Investment made in Debentures	-			
	(340)			
Redemption of Investment in Debentures	300			
	(250)			
Investments made in equity shares	16,401			
	(1,682)			
Buyback of equity shares	125			
	(2,343)			
Buyback of Preference share	5,001			
	(-)			
Dividend Received	2,005			
	(1,317)			

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
Interest income on Debentures	831	1,470		
	(861)	(1,288)		
Interest on Capital Invested / ICD	331			468
	(349)			(295)
Interest expenses on Loan	455			15
	(556)			(-)
Share of Profit from Firms/ LLP				695
				(1,725)
Share of loss from Firms/ LLP				59
				(6)
Interest Paid on fixed Deposits			-	
			(3)	
Repayment of Fixed Deposits			-	
			(22)	
Project Management fees Received	399	207		
	(412)	(485)		
Amount paid for purchase of land			-	
			(205)	
Revenue from Joint Venture				169
				(939)
Managerial remuneration			544	
			(498)	
II. Balances at year end				
Trade Receivables (Project Management Fees)	232	690		
	(127)	(925)		
Project Management Fees Received in Advance	-			
	(94)			
Advances given for land purchase		-	156	
		-	(156)	
Advances received for land purchase		100		
		(100)		
Advance received against sale of property	2,000			
	(-)			
Interest Receivable	1,194	1,323		
	(375)	(1,159)		
Debenture Interest Received in advance	8			
	(-)			
Loans / Advances Given	2,962			
	(2,603)			
Loans (Borrowings) / Advances Taken	-			
	(5,135)			

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
Investments held				
Investments in Equity Share	33,172	450		
	(16,339)	(1,558)		
Investments in Preference share	-	3,295		
	(5,001)	(3,295)		
Investment in Debentures	5,465	8,163		
	(5,765)	(8,163)		
Investment in Partnership & Limited Liability Partnerships (Fixed Capital and Current Capital)				14,840
				(13,034)
Advance from Partnership & Limited Liability Partnerships				6,914
				(5,956)

C. Detail of Material Related Party Transaction

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
I. Transactions during the year:				
Unsecured Loan Repaid				
Sylvan Acres Realty Private Limited	5,135			
	(-)			
Advances / Loans Given				
PNP Agrotech Private Limited	80			
	(109)			
PNP Retail Private Limited	160			
	(379)			
Olive Realty Private Limited	268			
	(49)			
Snowflower Properties Private Limited	-			
	(958)			
Advance / Loans received back during the year				
Olive Realty Private Limited	464			
	(333)			
Snowflower Properties Private Limited	-			
	(958)			
PNP Retail Private Limited	-			
	(1,169)			

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
Advance received against sale of properties				
Corolla Realty Limited	2,000			
	(-)			
Investment made in Debentures				
Snowflower Properties Private Limited	-			
	(340)			
Redemption of Investment in Debentures				
Tuscan Real Estate Private Limited	-			
	(250)			
Snowflower Properties Private Limited	300			
	(-)			
Investments made in equity shares				
PNP Agrotech Private Limited	-			
	(514)			
PNP Retail Private Limited	-			
	(1,168)			
Corolla Realty Limited	16,401			
	(-)			
Buyback of equity shares				
Sylvan Acres Realty Private Limited	125			
	(-)			
Kolte-Patil Real Estate Private Limited	-			
	(2,343)			
Buyback of Preference share				
Sylvan Acres Realty Private Limited	5,001			
	(-)			
Dividend Received				
Olive Realty Private Limited	-			
	(350)			
Kolte-Patil Real Estate Private Limited	1,530			
	(-)			
Bellflower Properties Private Limited	475			
	(925)			
Interest income on Debentures				
Tuscan Real Estate Private Limited	315			
	(338)			
Kolte-Patil I-Ven Townships (Pune) Limited		1,470		
		(1,288)		
Snowflower Properties Private Limited	516			
	(523)			

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
Interest on Capital Invested / ICD				
Olive Realty Private Limited	279			
	(256)			
KP-Rachana Real Estate LLP				62
				(30)
Sanjivani Integrated Township LLP				394
				(265)
Interest expenses on Loan				
Sylvan Acres Realty Private Limited	455			
	(556)			
Share of Profit from Firms/ LLP				
Ankit Enterprises				590
				(1,562)
KP-Rachana Real Estate LLP				-
				(25)
Bouvardia Developers LLP				-
				(102)
KP-SK Project Management LLP				105
				(36)
Share of loss from Firms/ LLP				
Kolte-Patil Homes				4
				(6)
KP-Rachana Real Estate LLP				50
				(-)
Interest Paid on fixed Deposits				
Mr. Digambar Kolte			-	
			(1)	
Mrs. Pramila Kolte			-	
			(2)	
Repayment of Fixed Deposits				
Mr. Digambar Kolte			-	
			(12)	
Mrs. Pramila Kolte			-	
			(10)	
Project Management fees Received				
Bellflower Properties Private Limited	99			
	(152)			
Kolte-Patil Real Estate Private Limited	120			
	(178)			
Kolte-Patil I-Ven Townships (Pune) Limited		207		
		(396)		

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
Corolla Realty Limited	140			
	(89)			
Amount paid for purchase of land				
Mr. Pradeep Kolte			-	
			(205)	
Revenue from Joint Venture				
Green Olive Venture				169
				(939)
Managerial remuneration				
Mr. Rajesh Patil			102	
			(69)	
Mr. Naresh Patil			90	
			(60)	
Mr. Milind Kolte			90	
			(61)	
Mrs. Sunita Kolte			14	
			(60)	
Mrs. Vandana Patil			14	
			(60)	
Mr. Sujay Kalele			188	
			(126)	
Mrs. Shraddha Jain			29	
			(23)	
Mr. Atul Bohra			17	
			(-)	
II. Balances at year end				
Trade Receivables (Project Management Fees)				
Kolte-Patil Real Estate Private Limited	108			
	(49)			
Kolte-Patil I-Ven Townships (Pune) Limited		690		
		(925)		
Project Management Fees Received in Advance				
Corolla Realty Limited	-			
	(94)			
Advances given for land purchase				
Mr. Milind Kolte			17	
			(17)	
Mr. Pradeep Kolte			112	
			(112)	
Mr. Nirmal Kolte			27	
			(27)	

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
Advances received for land purchase				
Kolte-Patil I-Ven Townships (Pune) Limited		100		
		(100)		
Advance received against sale of Properties				
Corolla Realty Limited	2,000			
	(-)			
Interest Receivable				
Tuscan Real Estate Private Limited (Debentures)	428			
	(145)			
Kolte-Patil I-Ven Townships (Pune) Limited (Debentures)		1,323		
		(1,159)		
Sanjivani Integrated Township LLP (Inter corporate loan)				394
				(-)
Olive Realty Private Limited (Inter corporate loan)	251			
	(230)			
Debenture Interest Received in Advance				
Snowflower Properties Private Limited	8			
	(-)			
Loans / Advances Given				
Olive Realty Private Limited	2,508			
	(2,474)			
Loans (Borrowings) / Advances Taken				
Sylvan Acres Realty Private Limited	-			
	(5,135)			
Investments in Equity Share				
Tuscan Real Estate Private Limited	51			
	(51)			
Bellflower Properties Private Limited	50			
	(50)			
Kolte-Patil Real Estate Private Limited	5,378			
	(5,378)			
Yashowardhan Promoters & Developers Private Limited	831			
	(831)			
Regenesis Facility Management Company Private Limited	2			
	(2)			
Regenesis Project Management Company Private Limited	-			
	(500)			
Lilac Hospitality Private Limited	-			
	(50)			
Jasmine Hospitality Private Limited	5,520			
	(5,520)			

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
Olive Realty Private Limited	100			
	(100)			
Snowflower Properties Private Limited	5			
	(5)			
PNP Retail Private Limited	1,968			
	(1,968)			
PNP Agrotech Private Limited	933			
	(933)			
Sylvan Acres Realty Private Limited	826			
	(951)			
Kolte-Patil I-ven Townships (Pune) Limited		450		
		(450)		
Corolla Realty Limited	17,508			
	(1,108)			
Investments in Preference share				
Sylvan Acres Realty Private Limited	-			
	(5,001)			
Kolte-Patil I-Ven Townships (Pune) Limited		3,295		
		(3,295)		
Investment in Debentures				
Tuscan Real Estate Private Limited	2,098			
	(2,098)			
Jasmine Hospitality Private Limited	166			
	(166)			
Kolte-Patil I-Ven Townships (Pune) Limited		8,163		
		(8,163)		
Snowflower Properties Private Limited	3,201			
	(3,501)			
Investment in Partnership & Limited Liability Partnerships (Fixed Capital and Current Capital)				
KP-Rachana Real Estate LLP				461
				(536)
Sanjivani Integrated Township LLP				4,165
				(3,564)
Bouvardia Developers LLP				8,679
				(8,835)
Carnation Landmarks LLP				615
				(-)
Regenesis Project Management LLP				634
				(-)

Notes forming part of the financial statements

NOTE 40 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Subsidiary Companies	Joint Venture Entities	Key Management Personnel and their Relatives	Firms, LLPs, Entities under Significant influence
Lilac Hospitality LLP				67
				(-)
KP-SK Project Management LLP				219
				(-)
Ruturang Developers LLP				-
				(97)
Advance from Partnership & Limited Liability Partnerships				
KP-SK Project Management LLP				-
				(12)
Kolte-Patil Homes				811
				(874)
Ankit Enterprises				6,103
				(5,070)

Note: Figures in bracket relate to the previous year.

NOTE 41 - DETAILS OF EXPENDITURE ON CORPORATE SOCIAL RESPONSIBILITY

a) Gross amount required to be spend by the Company during the year is ₹121 lakhs (Previous Year ₹115 lakhs).

b) Amount spend during the year ₹29 lakhs (Previous year ₹ Nil)

NOTE 42

Trade receivables outstanding as at the balance sheet date include amounts of ₹2,145 lakhs relating to dues from certain parties that are outstanding for more than 6 months from the date they became due. As the Company continues to have business relationship and arrangements with these parties, the Company is confident of recovering these dues in the normal course of business. All these dues are considered good for recovery and hence no provision is considered necessary.

NOTE 43 - DOMESTIC TRANSFER PRICING

The Company enters into "domestic transactions" with specified parties that are subject to the Transfer Pricing regulations under the Income Tax Act, 1961 ('regulations'). The pricing of such domestic transactions will need to comply with the Arm's length principle under the regulations. These regulations, inter alia, also required the maintenance of prescribed documents and information including furnishing a report from an accountant which is to be filed with the Income tax authorities.

The Company has undertaken necessary steps to comply with the regulations. The management is of the opinion that the domestic transactions are at arm's length, and hence the aforesaid legislation will not have any impact on the financial statements, particularly on the amount of tax expense and that of provision for taxation.

Notes forming part of the financial statements

NOTE 44 - EMPLOYEE STOCK OPTION SCHEME

a) **Employee stock option scheme (ESOS 2014)**

The ESOS was approved by Board of Directors of the Company on 13 August 2014 and thereafter by the shareholders on 13 September 2014. A Nomination and Remuneration committee comprising of independent directors of the company administers the ESOS plan. Each option carries with it the right to purchase one equity share of the company. The maximum exercise period is 3 year from the date of vesting.

b) **Number of options granted, exercised, cancelled / lapsed during the financial year are as follows**

Particulars	31 March 2016	31 March 2015
Options granted, beginning of the year	855,000	-
Granted during the year	350,000	855,000
Exercised during the year	-	-
Cancelled/lapsed during the year	1,155,000	-
Options granted, end of the year	50,000	855,000
Weighted Average remaining life	1.74 - 3.74 years	2.74 - 6.74 years

c) **The compensation cost of stock option granted to employees has been accounted by the Company using the intrinsic value method.**

The guidance note on accounting of employee share based payments issued by the Institute of Chartered Accountants of India requires the disclosure of pro forma net results and EPS both basic & diluted, had the Company adopted the fair value method. Had the Company accounted these options under fair value method, amortizing the stock compensation expense thereon over the vesting period, the reported profit for the year ended 31 March 2016 would have been lower by ₹6 lakhs (Previous year: ₹43 lakhs) and Basic and diluted EPS would have been revised to ₹5.20 per share (Previous year ₹5.70 per share) and ₹5.20 per share (Previous year ₹5.69 per share) respectively as compared to ₹5.21 per share (Previous year ₹5.76 per share) and ₹5.21 per share (Previous year ₹5.75 per share) without such impact.

d) The fair value of the stock option is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Binomial lattice option pricing model, considering the expected weighted average term of the options to be 1 year from the date of vesting, an expected dividend rate of 2% on the underlying equity shares, a risk free rate in the range of 7.70% - 8.50% and weighted average volatility in the share price in the range of 69.36% - 71.14%. The expected volatility is based on historical volatility of the share price after eliminating the abnormal price fluctuations. The forfeiture/lapse estimated rate is based on historical employee turnover rates and future lapse expectations.

NOTE 45 - PARTICULARS OF LOANS GIVEN \ GUARANTEES GIVEN, AS REQUIRED BY CLAUSE (4) OF SECTION 186 OF THE COMPANIES ACT, 2013

Name of the party	Nature	Amount ₹ In Lakhs	Period	Rate of Interest	Purposes
Olive Realty Private Limited	Loan	2,508 (2,474)	Repayable on Demand	10%	General corporate loan
Lilac Hospitality Private Limited	Loan	- (17)	Repayable on Demand	12%	General corporate loan
Yashowardhan Promotors & Developers Private Limited	Loan	74 (-)	Repayable on Demand	14%	General corporate loan
PNP Retail Private Limited	Loan	255 (95)	Repayable on Demand	14%	General corporate loan
Jasmine Hospitality Private Limited	Loan	40 (12)	Repayable on Demand	14%	General corporate loan

Notes forming part of the financial statements

NOTE 45 - PARTICULARS OF LOANS GIVEN \ GUARANTEES GIVEN, AS REQUIRED BY CLAUSE (4) OF SECTION 186 OF THE COMPANIES ACT, 2013 (contd.)

Name of the party	Nature	Amount ₹ In Lakhs	Period	Rate of Interest	Purposes
PNP Agrotech Private Limited	Loan	85 (5)	Repayable on Demand	14%	General corporate loan
Total		**2,962** **(2,603)**			
Kolte-Patil I-Ven Townships (Pune) Limited	Corporate Guarantee	15,000 (13,500)	NA	NA	Working Capital Facility
Corolla Realty Limited	Corporate Guarantee	3,000 (3,000)	NA	NA	General Corporate Loan
Kolte-Patil Real Estate Private Limited	Corporate Guarantee	2,000 (4,000)	NA	NA	General Corporate Loan
Tuscan Real Estate Private Limited	Corporate Guarantee	- (1,300)	NA	NA	General Corporate Loan
Total		**20,000** **(21,800)**			

NOTE 46 -

On 11 December 2015, the Company has entered into an agreement with Metropolitan Lifespace Real Estate Developers Private Limited (MLREDPL), for redevelopment of Jay Vijay Society Co-operative Housing Society Limited in Vile Parle. The agreement defines the Company as "Developer" and MLREDPL as the "Co-Developer"

MLREDPL is contributing towards its share in the cost of the project, and will receive an identified area of the development as its return. This arrangement with the Co- Developer is a Jointly controlled operation.

NOTE 47 -

During the year, the Company has increased its stake in Corolla Realty Limited from 37% to 100%. Corolla Realty Limited is now a Wholly Owned Subsidiary of the Company.

NOTE 48 -

The Board of Directors have approved the scheme of amalgamation of four Wholly Owned Subsidiaries namely Olive Realty Private Limited, Yashowardhan Promoters and Developers Private Limited, Corolla Realty Limited and Jasmine Hospitality Private Limited with Kolte-Patil Developers Limited. The Company has received the No Objection Certificate for the scheme from National Stock Exchange of India Limited and Bombay Stock Exchange Limited. The application has been filed in Hon'ble High Court, Mumbai and its approval is currently awaited. No effect of proposed amalgamation has been given in the financial statement for the year ended 31 March 2016 due to pending approval of the Hon'ble High Court, Mumbai.

NOTE 49 - PREVIOUS YEAR'S FIGURES

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure.

For and on behalf of the Board of Directors

Rajesh Patil
Chairman & Managing Director
(DIN:-00381866)

Milind Kolte
Executive Director
(DIN:-00170760)

Place: Pune
Date: 28 May 2016

Atul Bohra
Chief Financial Officer

Vinod Patil
Company Secretary

Independent Auditors' Report

To
The Members of
KOLTE-PATIL DEVELOPERS LIMITED

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of KOLTE-PATIL DEVELOPERS LIMITED (hereinafter referred to as "the Holding Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group") and jointly controlled entity, comprising of the Consolidated Balance Sheet as at 31st March, 2016, the Consolidated Statement of Profit and Loss, the Consolidated Cash Flow Statement for the year then ended, and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated financial statements").

Management's Responsibility for the Consolidated Financial Statements

The Holding Company's Board of Directors is responsible for the preparation of these consolidated financial statements in terms of the requirements of the Companies Act, 2013 (hereinafter referred to as "the Act") that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows of the Group including its Jointly controlled entity in accordance with the accounting principles generally accepted in India, including the Accounting Standards prescribed under Section 133 of the Act, as applicable The respective Board of Directors of the companies included in the Group and of its jointly controlled entity are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; the selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. While conducting the audit, we have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made thereunder.

We conducted our audit in accordance with the Standards on Auditing specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Holding Company's preparation of the consolidated financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the Holding Company's Board of Directors, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence obtained by us and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group and its jointly controlled entity as at 31st March, 2016, and their consolidated profit and their consolidated cash flows for the year ended on that date.

Other Matter

We did not audit the financial statements 18 subsidiaries, whose financial statements reflect total assets of ₹50,526 lakhs as at 31st March, 2016, total revenues of ₹20,491 lakhs and net cash flows amounting to ₹1,187 lakhs for the year ended on that date, as considered in the consolidated financial statements. These financial statements have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, is based solely on the reports of the other auditors.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143 (3) of the Act, we report to the extent applicable that:

    a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.

    b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.

    c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements.

    d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards prescribed under Section 133 of the Act, as applicable.

    e) On the basis of the written representations received from the directors of the Holding Company as on 31st March, 2016 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiary companies and jointly controlled company incorporated in India, none of the directors of the Group companies and jointly controlled company incorporated in India is disqualified as on 31st March, 2016 from being appointed as a director in terms of Section 164 (2) of the Act.

    f) With respect to the adequacy of the internal financial controls over financial reporting and the operating effectiveness of such controls, refer to our Report in "Annexure A", which is based on the auditors' reports of the Holding company, subsidiary companies and jointly controlled company incorporated in India. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Holding company's, subsidiary company's and jointly controlled company's incorporated in India internal financial controls over financial reporting.

    g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

        i. The consolidated financial statements disclose the impact of pending litigations on the consolidated financial position of the Group and jointly controlled entity. Refer note 29 to the consolidated financial statements

        ii. The Group and jointly controlled entity did not have any material foreseeable losses on long-term contracts including derivative contracts.

        iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Holding Company.

For **DELOITTE HASKINS & SELLS LLP**
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

Annexure A to the Independent Auditors' Report

(Referred to in paragraph 1(f) under 'Report on Other Legal and Regulatory Requirements' of our report of even date)

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated financial statements of the Company as of and for the year ended 31st March, 2016, we have audited the internal financial controls over financial reporting of KOLTE-PATIL DEVELOPERS LIMITED (hereinafter referred to as "the Holding Company") and its subsidiary companies and jointly controlled company, which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the Holding company, its subsidiary companies, and jointly controlled company, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India". These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India and the Standards on Auditing, prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors of the subsidiary companies, which are companies incorporated in India, in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion to the best of our information and according to the explanations given to us, the Holding Company, its subsidiary companies and jointly controlled company, which are companies incorporated in India, have, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2016, based on "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India".

Other Matters

Our aforesaid report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls over financial reporting insofar as it relates to 18 subsidiary companies, which are companies incorporated in India, is based on the corresponding reports of the auditors of such companies incorporated in India.

For **DELOITTE HASKINS & SELLS LLP**
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

Consolidated Balance Sheet as at 31 March 2016

(₹ in Lakhs)

Particulars	Note No.	As at 31 March 2016	As at 31 March 2015
I. EQUITY AND LIABILITIES			
(1) Shareholders' funds			
(a) Share capital	3	7,577	7,577
(b) Reserves and surplus	4	80,161	76,574
		87,738	**84,151**
(2) Minority Interest		28,861	19,256
(3) Non-current liabilities			
(a) Long-term borrowings	5	41,374	24,965
(b) Other long-term liabilities	6	896	744
(c) Long-term provisions	7	553	606
		42,823	**26,315**
(4) Current liabilities			
(a) Short-term borrowings	8	15,615	3,979
(b) Trade Payable	9		
(i) Total outstanding due to Micro Enterprises & Small Enterprises		-	-
(ii) Total outstanding dues other than to Micro Enterprises & Small Enterprises		13,997	12,252
(c) Other current liabilities	10	62,958	56,085
(d) Short term provisions	11	4,173	4,570
		96,743	**76,886**
Total		**2,56,165**	**2,06,608**
II. ASSETS			
(1) Non-current assets			
(a) Fixed assets			
(i) Tangible assets	12.1	8,968	8,794
(ii) Intangible assets	12.2	1,693	925
(iii) Capital work-in-Progress		1,262	1,091
		11,923	10,810
(b) Goodwill on consolidation		11,920	2,175
(c) Non-current investments	13	-	-
(d) Deferred tax assets (net)	14	655	602
(e) Long-term loans and advances	15	13,745	11,679
(f) Other non-current assets	16	2,127	1,770
		40,370	**27,036**
(2) Current assets			
(a) Current investments	17	276	610
(b) Inventories	18	1,73,815	1,46,719
(c) Trade receivables	19	14,179	10,089
(d) Cash and cash equivalents	20	8,231	4,050
(e) Short-term loans and advances	21	16,420	17,355
(f) Other current assets	22	2,874	749
		2,15,795	**1,79,572**
Total		**2,56,165**	**2,06,608**
See accompanying notes forming part of the consolidated financial statements			

In terms of our report attached.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

For and on behalf of the Board of Directors

Hemant M. Joshi
Partner
(Membership No. 38019)

Rajesh Patil
Chairman & Managing Director
(DIN:-00381866)

Milind Kolte
Executive Director
(DIN:-00170760)

Place: Pune
Date: 28 May 2016

Atul Bohra
Chief Financial Officer

Vinod Patil
Company Secretary

Consolidated Statement of Profit and Loss for the year ended 31 March 2016

(₹ in Lakhs)

Particulars	Note No.	For the year ended 31 March 2016	For the year ended 31 March 2015
I. Revenue from operations	23	68,538	69,664
II. Other income	24	1,467	1,171
III. Total Revenue (I + II)		70,005	70,835
IV. Expenses			
(a) Cost of construction/development, land, plots and development rights	25	38,691	37,980
(b) Employee benefits expenses	26	4,230	4,283
(c) Finance costs	27	5,913	4,396
(d) Depreciation and amortisation expenses	12.1 & 12.2	1,160	1,006
(e) Other expenses	28	7,196	6,964
Total expenses		57,190	54,629
V. Profit before tax (III - IV)		12,815	16,206
VI. Tax expense :			
(a) Current tax expense		4,991	5,919
(b) Short provision for tax relating to prior years		347	284
(c) Deferred tax charge/ (credit)		(53)	(182)
Net tax expense		5,285	6,021
VII. Profit after tax before share of profit attributable to minority interest (V - VI)		7,530	10,185
VIII. Less - Share of profit attributable to Minority Interest		1,622	3,653
IX. Profit for the year attributable to sharholders of the company (VII- VIII)		5,908	6,532
X. Earnings per share			
(Face value ₹10/- per equity share)			
Basic	35	7.80	8.62
Diluted	35	7.80	8.61
See accompanying notes forming part of the consolidated financial statements			

In terms of our report attached.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

For and on behalf of the Board of Directors

Rajesh Patil
Chairman & Managing Director
(DIN:-00381866)

Milind Kolte
Executive Director
(DIN:-00170760)

Atul Bohra
Chief Financial Officer

Vinod Patil
Company Secretary

Consolidated Cash Flow Statement for the year ended 31 March 2016

(₹ in Lakhs)

	Particulars	Year ended 31 March 2016	Year ended 31 March 2015
A	CASH FLOW FROM OPERATING ACTIVITIES		
	Net Profit before tax:	12,815	16,206
	Adjustment for:		
	Depreciation and amortisation expense	1,160	1,006
	Finance costs	5,913	4,396
	Interest & Dividend received on Investments	(1,185)	(1,095)
	Expense on employee stock option scheme	(21)	35
	Operating profit before working capital changes	**18,682**	**20,548**
	Adjustments for change in working capital :		
	(Increase)/Decrease in Inventories	(15,617)	(18,431)
	(Increase)/Decrease in Trade receivables	(3,796)	(1,576)
	(Increase)/Decrease in Short-term loans and advances	1,807	(8,120)
	(Increase)/Decrease in Long-term loans and advances	(661)	7,626
	(Increase)/Decrease in Other current assets	(1,291)	(694)
	(Increase)/Decrease in Other non-current assets	(271)	(25)
	(Increase)/Decrease in Restricted Cash Balances (e.g. Dividend A/c)	(1)	5
	Increase/(Decrease) in Long-term provisions	(81)	156
	Increase/(Decrease) in Trade payables	714	1,206
	Increase/(Decrease) in Other current liabilities	8,833	8,408
	Increase/(Decrease) in Other long-term liabilities	152	229
	Increase/(Decrease) in Short-term provisions	(55)	58
	Cash generated from/ (used in) operations	**8,415**	**9,390**
	Income taxes (paid)/refund received	(6,223)	(5,954)
	Net Cash from / (used in) operating activities	**2,192**	**3,436**
B	CASH FLOW FROM INVESTING ACTIVITIES		
	Capital expenditure on fixed assets,CWIP including capital advances	(2,343)	(1,438)
	Purchase of long term investment	(15,179)	-
	Proceeds from sale of Fixed assets	195	-
	(Increase in)/Proceeds from Current investment	334	931
	Fixed deposits not considered as cash and cash equivalents	(621)	(539)
	Interest & Dividend received on investments	299	1,091
	Net Cash from/(used in) investing activities	**(17,315)**	**45**

Consolidated Cash Flow Statement for the year ended 31 March 2016

(₹ in Lakhs)

Particulars		Year ended 31 March 2016	Year ended 31 March 2015
C	CASH FLOW FROM FINANCING ACTIVITIES		
	Repayment of long-term borrowings	(15,453)	(8,499)
	Proceed from long-term borrowings	23,536	11,063
	Net increase / decrease in working capital borrowings	11,636	1,628
	Capital countribution/(withdrawal) by Minority	7,982	(1,799)
	Dividend & Tax on dividend paid	(4,205)	(2,461)
	Finance cost paid	(5,278)	(5,268)
	Net Cash from/(used in) financing activities	**18,218**	**(5,336)**
D	NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	**3,095**	**(1,855)**
	Cash and Cash Equivalents (Opening balance)	3,768	5,623
	Increase/(Decrease) in Opening Cash & Cash Equivalent due to: reclassification of joint venture to subsidiary	490	-
	Cash and Cash Equivalents (Closing balance)	7,353	3,768
	NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	**3,095**	**(1,855)**

Notes :

(₹ in Lakhs)

Particulars		Year ended 31 March 2016	Year ended 31 March 2015
1	**Reconciliation of Cash and Cash equivalents with balance sheet**		
	Cash and cash equivalents as per Cash Flow Statement	7,353	3,768
	Add: balance in fixed deposit for more than 3 months and less than 12 months	841	246
	Add: balance in bank account earmarked for payment of unpaid dividend	37	36
	Cash and bank balance as per Balance Sheet (Refer Note 20)	**8,231**	**4,050**

2 Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure.

3 See accompanying notes forming part of the Consolidated Financial Statements.

In terms of our report attached.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)

Hemant M. Joshi
Partner
(Membership No. 38019)

Place: Pune
Date: 28 May 2016

For and on behalf of the Board of Directors

Rajesh Patil
Chairman & Managing Director
(DIN:-00381866)

Milind Kolte
Executive Director
(DIN:-00170760)

Atul Bohra
Chief Financial Officer

Vinod Patil
Company Secretary

Notes forming part of the consolidated financial statements

1. PRINCIPLES OF CONSOLIDATION AND ENTITIES CONSIDERED IN CONSOLIDATED FINANCIALS.

1.1 Principles of Consolidation

The consolidated financial statements relate to Kolte-Patil Developers Limited (the 'Company'), its subsidiaries and jointly controlled entity. The consolidated financial statements have been prepared on the following basis:

(i) The financial statements of the subsidiaries and jointly controlled entity used in the consolidation are drawn upto the same reporting date as that of the Company i.e. year ended 31 March 2016.

(ii) The financial statements of the Company and its subsidiary companies have been combined on a line-by-line basis by adding together like items of assets, liabilities, income and expenses, after eliminating intra-group balances, intra-group transactions and unrealised profits on intra-group transactions.

(iii) Share of profit / loss, assets and liabilities in the jointly controlled entity which is not a subsidiary, has been consolidated on a line-by-line basis by adding together the book values of like items of assets, liabilities, incomes and expenses on a proportionate basis to the extent of the Group's equity interest in such entity as per AS-27 'Financial Reporting of Interests in Joint Ventures'. The intra-group balances, intra-group transactions and unrealised profits or losses have been eliminated to the extent of the Group's share in the entity. Jointly controlled entities that are considered subsidiaries under AS-21 'Consolidated Financial Statements' are consolidated similar to the manner of consolidating subsidiaries (Refer (ii) above) and the share of interest of the other venturers in such entities is included as part of minority interest.

(iv) The excess of cost to the Group of its investments in the subsidiary companies / jointly controlled entity over its share of equity of the subsidiary companies / jointly controlled entity, at the dates on which the investments in the subsidiary companies / jointly controlled entity were made, is recognised as 'Goodwill' being an asset in the consolidated financial statements. On the other hand, where the share of equity in the subsidiary companies / jointly controlled entity as on the date of investment is in excess of cost of investments of the Group, it is recognised as 'Capital Reserve' and shown under the head 'Reserves & Surplus', in the consolidated financial statements.

(v) Minority Interest in the net assets of the consolidated subsidiaries consist of the amount of equity attributable to the minority shareholders at the date on which investments in the subsidiary companies were made and further movements in their share in the equity, subsequent to the dates of investments. Net profit / loss for the year of the subsidiaries attributable to minority interest is identified and adjusted against the profit after tax of the Group in order to arrive at the income attributable to shareholders of the Company.

(vi) Goodwill arising on consolidation is not amortised but tested for impairment.

(vii) As far as possible the consolidated financial statements have been prepared using uniform accounting policies for like transactions and other events in similar circumstances and are presented to the extent possible, in the same manner as the Company's separate financial statements.

1.2 The Companies/ entities considered in the consolidated financial statements are as follows

(A) Corporate entities

	Name of the company / entity	Proportion of ownership interest as at 31 March 2016	Proportion of ownership interest as at 31 March 2015
I	Subsidiaries		
a.	Tuscan Real Estate Private Limited	51%	51%
b.	Bellflower Properties Private Limited	50.0001%	50.0001%
c.	Kolte-Patil Real Estate Private Limited	51%	51%
d.	Yashowardhan Promoters and Developers Private Limited	100%	100%
e.	Regenesis Facility Management Company Private Limited	100%	100%
f.	Regenesis Project Management Company Private Limited (Converted into LLP on 29 February 2016) (refer note (i) below)	-	100%
g.	Lilac Hospitality Private Limited (converted into LLP on 29 March 2016) (refer note (i) below)	-	100%
h.	Jasmine Hospitality Private Limited	100%	100%
i.	Olive Realty Private Limited	100%	100%
j.	Snowflower Properties Private Limited	100%	100%

Notes forming part of the consolidated financial statements

Name of the company / entity	Proportion of ownership interest as at 31 March 2016	Proportion of ownership interest as at 31 March 2015
k. PNP Retail Private Limited	100%	100%
l. PNP Agrotech Private Limited	100%	100%
m. Sylvan Acres Realty Private Limited	100%	100%
n. Corolla Realty Limited (w.e.f. 9 October 2015) (refer note (ii) below)	100%	-
II Joint Ventures		
a. Kolte-Patil I-ven Townships (Pune) Limited	45%	45%
b. Corolla Realty Limited (up to 8 October 2015) (refer note (ii) below)	-	37%

(B) Partnership Firms & LLPS

Name of the Partnership Firms / Limited Liability Partnership	Capital As at 31 March 2016 (₹ In Lakhs)	Capital As at 31 March 2015 (₹ In Lakhs)	Profit Sharing Ratio As at 31 March 2016	Profit Sharing Ratio As at 31 March 2015
a. Ankit Enterprises	0.37	0.37	75%	75%
b. Kolte-Patil Homes	-	-	60%	60%
c. KP-Rachana Real Estate LLP	212.46	212.46	50%	50%
d. Sanjivani Integrated Township LLP	50.50	50.50	50.50%	50.50%
e. Bouvardia Developers LLP	0.99	0.99	100%	100%
f. Ruturang Developers LLP (refer note (iii) below)	-	0.75		75%
g. KP-SK Project Management LLP	0.55	-	55%	-
h. Carnation Landmarks LLP (refer note (iv) below)	575	-	50.17%	-
i. Regenesis Project Management LLP (refer note (i) below)	499.99	-	99.98%	-
j. Lilac Hospitality LLP (refer note (i) below)	49.99	-	99.99%	-

Note:

(i) During the year ended 31 March 2016, Regenesis Project Management Company Private Limited and Lilac Hospitality Private Limited which were wholly owned subsidiaries of the Company, have been converted into Limited Liability Partnerships and named as Regenesis Project Management LLP and Lilac Hospitality LLP respectively.

(ii) During the year ended 31 March 2016, the Company has increased its stake in Corolla Realty Limited from 37% to 100%. Corolla Realty Limited is now a Wholly Owned Subsidiary of the Company.

(iii) During the year ended 31 March 2016, the Company has ceased as a partner in Ruturang Developers LLP, in which the Company had invested ₹0.55 lakhs.

(iv) During the year ended 31 March 2016, the Company became partner in Carnation Landmarks LLP and invested ₹575 lakhs as capital contribution.

2. SIGNIFICANT ACCOUNTING POLICIES

A. Basis of Preparation of Financial Statements

The financial statements of the group have been prepared in accordance with the Generally Accepted Accounting Principles in India (Indian GAAP) to comply with the Accounting Standards specified under Section 133 of the Companies Act, 2013, and the relevant provisions of the Companies Act, 2013 ("the 2013 Act") / the Companies Act, 1956 ("the 1956 Act"), as applicable. The financial statements have been prepared on accrual basis under the historical cost convention. The accounting policies adopted in the preparation of the financial statements are consistent with those followed in the previous year.

B. Use of Estimates

The preparation of the financial statements in conformity with Indian GAAP requires the Management to make estimates and assumptions considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year. The Management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Future results could differ due to these estimates and the differences between the actual results and the estimates are recognized in the periods in which the results are known / materialize.

Notes forming part of the consolidated financial statements

C. Inventories

In case of Real Estate Business, Inventory comprises of stock of raw materials, completed properties for sale and properties under construction (Work in Progress). Work In Progress comprises cost of land, development rights, TDR, construction and development cost, cost of material, services and other overheads related to projects under construction. Inventory is valued at cost or net realizable value whichever is lower.

In case of other business, Inventories are valued at the lower of cost and the net realisable value after providing for obsolescence and other losses, if any. Cost includes all charges in bringing the goods to the point of sale.

D. Cash Flow Statement

Cash flow statement is prepared under the 'Indirect Method' Prescribed under Accounting Standard 3 'Cash Flow Statements' prescribed under the Companies (Accounting Standard) Rules, 2006. The cash flows from operating, investing and financing activities of the Company are segregated based on the available information

Cash comprises cash on hand and demand deposits with banks. Cash equivalents are short-term balances (with an original maturity of three months or less from the date of acquisition), highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

E. Fixed Assets

Fixed assets are carried at cost less accumulated depreciation/amortisation. The cost of fixed assets comprises its purchase price, directly attributable expenditure on making the asset ready for its intended use, other incidental expenses and interest on borrowings attributable to acquisition of qualifying fixed assets up to the date the asset is ready for its intended use. Subsequent expenditure on fixed assets after its purchase / completion is capitalised only if such expenditure results in an increase in the future benefits from such asset beyond its previously assessed standard of performance.

Capital work-in-progress:

Projects under which tangible fixed assets are not yet ready for their intended use are carried at cost, comprising direct cost, related incidental expenses and attributable interest.

F. Depreciation/Amortization

Depreciable amount for assets is the cost of an asset, or other amount substituted for cost, less its estimated residual value.

Depreciation on assets has been provided on the straight-line method as per the useful life prescribed in Schedule II to the Companies Act, 2013.

Intangible Assets

Computer Software is amortized over a period of six years.

G. Revenue Recognition

i. Revenue from real estate projects including integrated townships is recognised on the 'Percentage of Completion Method' of accounting. Revenue is recognized, in relation to the sold areas only, on the basis of percentage of actual cost incurred thereon including land as against the total estimated cost of the project under execution subject to construction costs being 25% or more of the total estimated cost. The estimates of saleable area and costs are revised periodically by the management. The effect of such changes to estimates is recognised in the period such changes are determined.

   In accordance with Revised Guidance Note issued by the Institute of Chartered Accountants of India (ICAI), on 'Accounting for Real Estate Transactions (Revised 2012)', revenue recognition for all real estate projects commencing on or after 1 April 2012 or where the revenue is recognised for the first time on or after 1 April 2012, revenue is recognised on percentage of completion method if (a) actual construction and development cost (excluding land cost) incurred is 25% or more of the estimated cost, (b) At least 25% of the saleable project area is secured by contracts or agreements with buyers and (c) At least 10% of the total revenue as per sales agreement or any other legally enforceable document are realised as at the reporting date.

ii. In case of joint development projects, revenue is recognised to the extent of company's percentage share of the underlying real estate development project.

iii. Revenue from sale of land is recognised when the agreement to sell is executed resulting in transfer of all significant risk and rewards of ownership and possession is handed over to the buyer.

Notes forming part of the consolidated financial statements

iv. Facility charges, management charges, project management fees, rental, hire charges, sub lease and maintenance income are recognized on accrual basis as per the terms and conditions of relevant agreements.

v. Interest income is accounted on accrual basis on a time proportion basis.

vi. Dividend income is recognized when right to receive is established.

vii. Sales of goods are recognised, net of returns and trade discounts, on transfer of significant risks and rewards of ownership to the buyer, which generally coincides with the delivery of goods to customers.

H. Cost of Construction / Development

Cost of Construction/Development (including cost of land) incurred is charged to the statement of profit and loss proportionate to project area sold. Costs incurred for projects which have not achieved reasonable level of development is carried over as construction work-in-progress.

I. Unbilled Receivables

Unbilled receivables represent revenue recognised on 'Percentage of Completion Method' less amount due from customers as per payment plans adopted by them.

J. Foreign Currency Transactions

(i) Initial recognition

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction

(ii) Measurement at the balance sheet date

Foreign currency monetary items (other than derivative contracts) of the Company, outstanding at the balance sheet date are restated at the year-end rates

(iii) Treatment of exchange differences

Exchange differences arising on settlement / restatement of short-term foreign currency monetary assets and liabilities of the Company are recognised as income or expense in the Statement of Profit and Loss.

K. Investments

Long-term investments are carried individually at cost less provision for diminution, other than temporary, in the value of such investments. Current investments are carried individually, at the lower of cost and fair value. Costs of investments include acquisition charges such as brokerage, fees and duties.

L. Employee Benefits

Employee benefits include provident fund, employee state insurance scheme, gratuity fund, and compensated absences.

a) Defined contribution plans

The Company's contribution to provident fund and employee state insurance is considered as defined contribution plans and are charged as an expense based on the amount of contribution required to be made and when services are rendered by the employees.

b) Defined benefit plans

For defined benefit plans in the form of gratuity fund, the cost of providing benefits is determined using the Projected Unit Credit method, with actuarial valuations being carried out at each balance sheet date. Actuarial gains and losses are recognised in the Statement of Profit and Loss in the period in which they occur. Past service cost is recognised immediately to the extent that the benefits are already vested and otherwise is amortised on a straight-line basis over the average period until the benefits become vested. The retirement benefit obligation recognised in the Balance Sheet represents the present value of the defined benefit obligation as adjusted for unrecognised past service cost, as reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to past service cost, plus the present value of available refunds and reductions in future contributions to the scheme. For Certain Entities viz, Bellflower Properties Private Limited, Yashowardhan Promoters and Developers Private Limited, Regenesis Project Management LLP, Lilac Hospitality LLP, Jasmine Hospitality Private Limited, Olive Realty Private Limited, Sylvan Acres Realty Private Limited, Kolte-Patil Homes, KP-Rachana Real Estate LLP, KP-SK Project Management LLP, Bouvardia Developers LLP, Carnation Landmarks LLP provision for gratuity has been calculated on arithmetical basis in view of the limited number of employees in those entities.

Notes forming part of the consolidated financial statements

c) Short-term employee benefits

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees are recognised during the year when the employees render the service. These benefits include performance incentive and compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related service.

The cost of short-term compensated absences is accounted as under:

(a) in case of accumulated compensated absences, when employees render the services that increase their entitlement of future compensated absences; and

(b) in case of non-accumulating compensated absences, when the absences occur.

d) Long-term employee benefits

Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related service are recognised as a liability at the present value of the defined benefit obligation as at the balance sheet date less the fair value of the plan assets out of which the obligations are expected to be settled.

M. Employee Stock Option Scheme

The Company has formulated Employee Stock Option Schemes (ESOS) in accordance with the SEBI (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999. The Schemes provide for grant of options to employees of the Company to acquire equity shares of the Company that vest in a graded manner and that are to be exercised within a specified period. The Company accounts the employee stock based compensation under intrinsic value method. In accordance with the SEBI Guidelines; the excess, if any, of the closing market price on the day prior to the grant of the options under ESOS over the exercise price is amortised on a straight-line basis over the vesting period.

N. Borrowing Cost

Borrowing costs that are directly attributable to the acquisition or construction of a qualifying asset are considered as part of the cost of that asset. Other borrowing costs are recognized as an expense in the year in which they are incurred.

O. Operating Leases

Lease arrangements where the risks and rewards incidental to ownership of an asset substantially vest with the lessor are recognised as operating leases. Lease rentals receipts / payments under operating leases are recognised in the statement of profit and loss on a straight-line basis.

P. Earnings Per Share

Basic earnings per share is computed by dividing the net profit or loss for the year by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the net profit or loss for the year by the weighted average number of equity shares outstanding during the year as adjusted for the effects of all diluted potential equity shares except where the results are anti-dilutive.

Q. Taxes on Income

Tax expenses comprise both current and deferred tax. Current tax is the amount of tax payable on the taxable income for the year as determined in accordance with the provisions of the Income Tax Act, 1961.

Deferred tax is recognised on timing differences, being the differences between the taxable income and the accounting income that originate in one period and are capable of reversal in one or more subsequent periods. Deferred tax is measured using the tax rates and the tax laws enacted or substantively enacted as at the reporting date. Deferred tax liabilities are recognised for all timing differences. Deferred tax assets are recognised for timing differences of items other than unabosrbed depreciation and carry forward losses only to the extent that reasonable certainty exists that sufficient future taxable income will be available against which these can be realised. However, if there are unabsorbed depreciation and carry forward of losses, deferred tax assets are recognised only if there is virtual certainty that there will be sufficient future taxable income available to realise the assets. Deferred tax assets and liabilities are offset if such items relate to taxes on income levied by the same governing tax laws and the Company has a legally enforceable right for such set off. Deferred tax assets are reviewed at each balance sheet date for their realisability.

Notes forming part of the consolidated financial statements

R. Impairment

The carrying values of assets / cash generating units at each balance sheet date are reviewed for impairment. If any indication of impairment exists, the recoverable amount of such assets is estimated and impairment is recognized, if the carrying amount of these assets exceeds their recoverable amount. The recoverable amount is the greater of the net selling price and their value in use. Value in use is arrived at by discounting the future cash flows to their present value based on an appropriate discount factor. When there is indication that an impairment loss recognized for an asset in earlier accounting periods no longer exists or may have decreased, such reversal of impairment loss is recognized in the Statement of Profit and Loss, except in case of revalued assets.

S. Provisions, Contingent Liabilities and Contingent Assets

A provision is recognised when the Company has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made. Provisions (excluding retirement benefits) are not discounted to their present value and are determined based on the best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

Contingent liabilities are disclosed in the Notes.

Contingent assets are not recognised in the financial statements.

T. Operating Cycle

Based on the nature of products / activities of the Company and the normal time between acquisition of assets and their realisation in cash or cash equivalents, the Company has determined its operating cycle as 12 months for the purpose of classification of its assets and liabilities as current and non-current.

Notes forming part of the consolidated financial statements

NOTE 3 - SHARE CAPITAL

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Authorised		
112,000,000 (previous year 112,000,000) Equity Shares of ₹10/ each	11,200	11,200
	11,200	11,200
(b) Issued, subscribed and fully paid up		
75,774,909 (previous year 75,774,909) Equity Shares of ₹10/ each	7,577	7,577
Total	7,577	7,577

3A Terms, rights & restrictions attached to equity shares

The Company has only one class of equity shares having a face value of ₹10 per share. Accordingly, all equity shares rank equally with regards to dividends & share in the Company's residual assets. The equity shares are entitled to receive dividend as declared from time to time. Each holder of equity shares is entitled to one vote per share. In the event of liquidation of the Company, the holder of equity shares will be entitled to receive the remaining assets of the Company, after distribution of all preferential amount. The distribution will be in proportion to the number of equity shares held by the shareholders.

3B Reconciliation of the number of shares and amount outstanding at the beginning and at the end of the reporting year

Particulars	As at 31 March 2016		As at 31 March 2015	
	Number of shares	Amount ₹ in Lakhs	Number of shares	Amount ₹ in Lakhs
Shares at the beginning of the year	7,57,74,909	7,577	7,57,74,909	7,577
Issued during the year	-	-	-	-
Outstanding at the end of the year	7,57,74,909	7,577	7,57,74,909	7,577

3C Details of shares held by each shareholder holding more than 5% equity shares:

Particulars	As at 31 March 2016		As at 31 March 2015	
	Number of shares held	% holding	Number of shares held	% holding
Rajesh Anirudha Patil	1,54,86,031	20.44%	1,54,86,031	20.44%
Naresh Anirudha Patil	1,49,49,148	19.73%	1,49,49,148	19.73%
Milind Digambar Kolte	64,42,156	8.50%	64,42,156	8.50%
Sunita Milind Kolte	55,39,553	7.31%	55,39,553	7.31%
Sunita Rajesh Patil	70,21,861	9.27%	70,21,861	9.27%
Vandana Naresh Patil	70,39,319	9.29%	70,39,319	9.29%
Goldman Sachs India Fund Limited	38,47,908	5.08%	32,13,111	4.24%

3D The Company declares and pays dividend in Indian Rupees. A final dividend of ₹1.50 per share has been recommended by the Board of Directors in their meeting held on 28 May 2016, for the financial year 2015-2016, subject to the approval of shareholder in the ensuing Annual General Meeting. The total dividend appropriation for the year ended 31 March 2016 amounted to ₹1,141 lakhs including Corporate Dividend Distribution Tax of ₹4 lakhs (Previous year ₹1,825 lakhs including Corporate Dividend Distribution Tax of ₹309 lakhs)

Notes forming part of the consolidated financial statements

NOTE 4 - RESERVES AND SURPLUS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Securities Premium Account		
Opening balance	29,385	29,385
Add : Addition / (Utilisation) during the year	-	-
Closing Balance	**29,385**	**29,385**
(b) Capital Redemption Reserves		
Opening balance	1,094	635
Add : Adjustment on account of acquisition of additional shares	24	-
Add: Transferred from surplus in Consolidated Statement of Profit and Loss	625	459
Closing Balance	**1,743**	**1,094**
(c) Capital Reserve on consolidation		
Opening balance	74	74
Add : Addition / (Utilisation) during the year	-	-
Closing Balance	**74**	**74**
(d) Debenture Redemption Reserve		
Opening balance	1,455	560
Add: Transferred from surplus in Statement of Profit and Loss	2,031	895
Less: Utilised during the year	-	-
Closing Balance	**3,486**	**1,455**
(e) Share Option Outstanding Account		
Opening balance	35	-
Add: Amount Recorded on grants during the year	10	-
Less: Amount Reversed on forfeiture of ESOP during the year	(31)	35
Closing Balance	**14**	**35**
(f) General Reserve		
Opening balance	4,465	4,465
Add : Adjustment on account of acquisition of additional shares	1,198	-
Add: Transferred from surplus in Consolidated Statement of Profit and Loss	-	-
Closing Balance	**5,663**	**4,465**
(g) Surplus in Statement of Profit and Loss		
Opening balance	40,066	37,856
Less: Depreciation on transition to Schedule II of the Companies Act, 2013 on tangible fixed assets with nil remaining life (Net of Deffered tax ₹48 lakhs)	-	(105)
Add : Excess amount of dividend distribution tax on final dividend	181	-
Add : Profit for the year	5,908	6,532
Less : Allocations/Appropriations		
Interim dividend paid	(2,090)	(700)
Tax on Interim dividend	(472)	(338)
Final Dividend proposed to be distributed to equity shareholders (₹1.50 per share (Previous Year ₹2.00 per share))	(1,137)	(1,516)
Tax on final dividend proposed	(4)	(309)
Transferred to :		
Debenture Redemption Reserve	(2,031)	(895)
Capital Redemtion Reserves	(625)	(459)
Closing balance	**39,796**	**40,066**
Total	**80,161**	**76,574**

Notes forming part of the consolidated financial statements

NOTE 5 - LONG TERM BORROWINGS

(₹ in Lakhs)

Particulars	Note No.	Non Current		Current	
		As at 31 March 2016	As at 31 March 2015	As at 31 March 2016	As at 31 March 2015
Secured					
Debentures					
700 (Previous year 700) 12.25% Non Convertible Redeemable Debentures of ₹1,000,000 each	5A(i)	7,000	7,000	-	-
7,468,909 (Previous year 8,168,909) 15% Optionally Convertible Debentures of ₹100/- each	5A(ii)	7,469	8,169	-	-
110 (Previous year Nil) 15% Non-Convertible Debentures of ₹10,000,000/- each	5A(iii)	11,000	-	-	-
10 (Previous year Nil) 15% Non-Convertible Debentures of ₹10,000,000/- each	5A(iv)	1,000	-	-	-
Term Loans					
from Banks	5B	5,589	6,195	1,550	5,161
from Financial Institutions /Others	5B	5,403	12	500	3,071
Vehicle Loans					
from Banks	5C	29	-	57	434
from Financial Institutions /Others	5C	3	-	10	22
Unsecured					
Debentures					-
19,669,300 (Previous year 19,669,300) 15% Compulsorily Convertible Debentures of ₹10/- each	5D(i)	1,967	1,967		
2,169,300(Previous year 2,169,300) Optionally Convertible Debentures of ₹10/- each	5D(ii)	-	-	217	217
Term Loans					
from Financial Institutions /Others		1,914	1,622	-	-
		41,374	24,965	2,334	8,905
Amount disclosed under other current liabilities (Refer Note 10)		-	-	(2,334)	(8,905)
		41,374	24,965	-	-

5A. Secured Debentures

i) 700 (previous year 700) 12.25% Non-Convertible Debentures of ₹1,000,000/- each fully paid carrying interest at 12.25% p.a.

Name of Debenture Holder	Series	Date of allotment	Number of Debentures	Amount ₹ in lakhs
Tata Capital Limited	Series I	11 December 2014	400	4,000
L & T Housing Finance Limited	Series II	16 January 2015	300	3,000

Security: The NCDs shall be secured by an exclusive first ranking charge in favour of the Debenture Trustee (on behalf of the NCD holders) over:

1) Charge by way of Mortgage over land and Project Assets of Jazz 2 located at Pimple Nilakh to which clear and marketable title is held by Company.
2) Charge on all Cash flows and Receivables pertaining to the Project (“Receivables”).
3) Charge on the Escrow Account for the Project.
4) Minimum asset cover of 1.50 times the total principal amount of the NCDs outstanding and aggregate interest accrued but not paid on the NCDs as on the relevant date to be maintained , throughout the tenor of the NCDs

Notes forming part of the consolidated financial statements

NOTE 5 - LONG TERM BORROWINGS (contd.)

Repayment Terms : The non-convertible secured Debentures are redeemable at the end of 3 years from the Deemed Date of Allotment. The interest is to be paid out quarterly as per the Debenture Information Memorandum.

The Company has created Debenture Redemption Reserve of ₹1,166 lakhs pursuant to the Section 71(4) of the Companies Act, 2013.

ii) 7,468,909 (Previous Year - 8,168,909)15% Optionally Convertible Debenutures of ₹100 each.

Security: The debentures are secured by mortagage of certain immovable properties situated at village Kondhwa Budruk within the limits of Pune Municipal Corporation, Pune.

Repayment Terms : The OCDs Series shall have a term of 10 years from the date of allotment. The Company may redeem the OCDs before the term.

The Company has created Debenture Redemption Reserve ₹266.75 lakhs pursuant to the Section 71(4) of the Companies Act, 2013.

iii) 110 (previous year Nil) 15% Non-Convertible Debentures of ₹10,000,000/- each fully paid carrying interest at 15% p.a.

Name of Debenture Holder	Series	Date of allotment	Number of Debentures	Amount ₹ in lakhs
IDFC Real Estate Yield Fund	Series III	9 October 2015	110	11,000

Security: The NCDs shall be secured by an exclusive first ranking charge in favour of the Debenture Trustee (on behalf of the NCD holders) over:

1) Charge by way of Mortgage over land and Project Assets of Atria located at Pimple Nilakh to which clear and marketable title is held by the Company.
2) Charge on all Cash flows and Receivables pertaining to the Project ("Receivables").
3) Charge on the Escrow Account for the Project.
4) PMC fees due from Corolla Realty Limited and pledge of Equity shares of Corolla Realty Limited held by the Company. "

Repayment Terms: The NCDs Series III are redeemable in six (6) monthly instalments from 25th to 30th month from the date of allotment. The interest is to be paid out half yearly as per the Debenture Information Memorandum.

The Company has created Debenture Redemption Reserve of ₹1,100 lakhs pursuant to the Section 71(4) of the Companies Act, 2013.

iv) 10 (previous year Nil) 15% Non-Convertible Debentures of ₹10,000,000/- each fully paid carrying interest at 15% p.a.

Name of Debenture Holder	Series	Date of allotment	Number of Debentures	Amount ₹ in lakhs
IDFC Real Estate Yield Fund	Series I	9 October 2015	10	1,000

Security: The NCDs shall be secured by an exclusive first ranking charge in favour of the Debenture Trustee (on behalf of the NCD holders) over:

1) Charge on all pieces & parcel of agricultural land admeasuring 49 Ares bearing Gat no.712, 57 Ares bearing Gat no. 713, 43.14 ares out of land admeasuring 45 ares bearing gat no 714, gat no.715 admeasuring 51 Ares & gat nos. 717 hissa no.2 admeasuring 1 hectare 28 ares situated at village wagholi, taluka haveli, Pune. All units in building no. E10,E11,E12,E16,E17& E18 undivided share in land admeasuring 60.17 acres situated at Wagholi village & IVY mortgaged security as described in part C of first schedule
2) A first charge on Botanica Receivables, Company Escrow Account, Transferable development Rights, charge on the project documents. A second subservient charge on Ivy hypothecated receivables.

Guarantee: Corporate Guarantee of Kolte-Patil Developers Limited.

Repayment terms: The non-convertible secured debenture are redeemable at the end of 30 months from the date of allotment. The interest is to be paid on the 15 day from the expiry of every 6 months up to the settlement date.

The Company has created Debenture Redemption Reserve of ₹250 lakhs pursuant to the Section 71(4) of the Companies Act, 2013.

Notes forming part of the consolidated financial statements

NOTE 5 - LONG TERM BORROWINGS (contd.)

5B. Term Loan:

Security: Term loan from bank and others is secured by way of

i. Mortgage of Immovable Property owned by Company/ Subsidiary/ group companies.

ii. Mortgage of land of the respective Project for which term Loan has taken along with escrow arrangement.

iii. Personal guarantees of directors.

iv. Charge on collection / receivables of respective projects for which term loan has taken.

Repayment Terms:Repayable witihin 8 to 72 monthly installments

These Loans are subject to inerest rate ranging from 11.50% to 18% per annum

5C. Vehicle Loans:

Security: All the Vehicle loans are secured by the respective vehicles only.

Rate of Interest : The Rate of Interest is between 10% to 18% per annum

5D. Unsecured Convertible Debentures

i) 19,669,300 (Previous Year - 19,669,300) 15 % Compulsory Convertible Debentures (CCD) of ₹10 each.

The CCDs shall have a term of 10 (ten) years to be computed from the date of issue (15 Oct 2011). As per the terms of allotment of CCDs, the CCDs may be converted in whole or in part, at the option of the holder at any time during the period between the date of issue till Conversion Date. Every 100 CCDs shall be convertible into 2 Equity Shares.

ii) 2,169,300(Previous year 2,169,300) Optionally Convertible Debentures (OCDs) of ₹10/- each (Non Interest Bearing)(Series B & Series C)

The OCD’s shall have a term of 30 (thirty) months from the date of issue . If OCDs are not redemed in accordance with terms of issue, OCDs shall be mandatorily converted into 1 equity share on Mandatorily conversion date.

Series B -

In accordance with the terms of the Debenture Redemption Agreement dated 6 October 2011, if “Additional FSI” was not received till 5 April 2014, the Series B OCDs issued to India Advantage Fund III were to be redeemed or converted to equity shares. Based on legal opinion and architect’s certificate additional FSI was not received and therefore, the Company has communicated vide letter dated 5 April 2014 to India Advantage Fund III that the additional FSI not available and requested to submit the debenture certificate for further actions.

Series C-

In accordance with the terms of the Debenture Redemption Agreement dated 6 October 2011, if “Refund of IT Premium”” was not received till 5 April 2014, the Series C OCDs issued to India Advantage Fund III were to be converted in to equity shares. The Company is in the process of converting OCD Series C into one equity share.”

The Company has created Debenture Redemption Reserve pursuant to the section 71(4) of the companies Act, 2013.

NOTE 6 - OTHER LONG TERM LIABILITIES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Security deposits received	351	115
Retention money payable	545	629
Total	896	744

Notes forming part of the consolidated financial statements

NOTE 7 - LONG TERM PROVISIONS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Provision for Employee Benefits (Refer note 32)		
Provision for gratuity	5	32
Provision for compensated absences	382	408
(b) Others long term provisions	166	166
Total	553	606

NOTE 8 - SHORT TERM BORROWINGS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Secured :		
Loans repayable on demand from Banks		
Cash Credit	-	1,977
Overdraft	14,679	793
Other Loans	-	20
Unsecured :		
Loans Payable on demand from others	-	91
Loans repayble on demand from related parties (Refer note 37)	936	1,098
Total	15,615	3,979

Bank Loans are secured by way of

i. Mortgage of immovable property owned by Company/ Subsidiary/ Group Companies.

ii. Mortgage of land of the respective Project for which term loan has taken along with escrow arrangement.

iii. Personal guarantees of directors.

iv. Charge on current assets (construction Material WIP and receivables) of respective projects for which term loan has taken.

v. Bank fixed deposit.

NOTE 9 - TRADE PAYABLE

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Trade Payables		
(a) Total outstanding due to Micro Enterprises & Small Enterprises	-	-
(b) Total outstanding dues other than to Micro Enterprises & Small Enterprises	13,997	12,252
Total	13,997	12,252

Notes forming part of the consolidated financial statements

NOTE 10 - OTHER CURRENT LIABILITES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Current maturities of long-term debt (Refer note 5)	2,334	8,905
(b) Interest accrued but not due on borrowings	1,685	915
(c) Unclaimed dividends;	37	36
(d) Other Payables		
(i) Advance from customers	55,626	44,499
(ii) Statutory remittances (Contribution to PF, ESIC, Withholding taxes, VAT, Service Tax etc.)	1,000	853
(iii) Bookoverdraft- bank	208	547
(iv) Security deposits received	29	-
(v) Payables on purchase of fixed assets	23	-
(vi) Amount received from Co-Developers (Refer note 43)	1,873	-
(vii) Others (Stamp duty and registration fees)	143	330
Total	62,958	56,085

NOTE 11 - SHORT TERM PROVISIONS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
a. Provision for Employee Benefits (Refer Note 32)		
Provision for gratuity	271	275
Provision for compensated absences	70	70
b. Provision- Others		
Provision for Income Tax (net of advance tax and TDS)	2,691	2,400
Provision for proposed dividend	1,137	1,516
Provision for tax on proposed dividend	4	309
Total	4,173	4,570

Notes forming part of the consolidated financial statements

NOTE 12.1 - FIXED ASSETS - TANGIBLE

(₹ in Lakhs)

SR. No.	Particulars	GROSS BLOCK				DEPRECIATION/AMORTISATION					NET BLOCK	
		As at 1 April 2015	Additions	Deletions / Adjustments	As at 31 March 2016	Up to 1 April 2015	For the Year	On deletion / Adjustments	Transition adjustment recorded against Surplus balance in Statement of Profit and Loss	As at 31 March 2016	As at 31 March 2016	As at 31 March 2015
1.	Land	3,402	27	0	3,429	(-)	(-)	(-)	(-)	-	3,429	3,402
		(3,402)	(-)	(-)	(3,402)	(-)	(-)	(-)	(-)	-	(3,402)	(3,402)
2.	Building	588	898	152	1,334	42	25	4	-	63	1,271	546
		(439)	(149)	(-)	(588)	(30)	(12)	(-)	(-)	(42)	(546)	(409)
3.	Furniture and Fixtures	636	51	0	687	219	88	-	-	307	380	417
		(515)	(121)	(-)	(636)	(126)	(92)	(-)	(1)	(219)	(417)	(389)
4.	Plant and Machinery	4,003	181	32	4,152	1,002	443	10	-	1,435	2,717	3,001
		(3,721)	(282)	(-)	(4,003)	(696)	(306)	(-)	(-)	(1,002)	(3,001)	(3,025)
5.	Office Equipment	791	31	(0)	822	329	78	(0)	-	407	415	462
		(692)	(100)	(1)	(791)	(111)	(120)	(1)	(99)	(329)	(462)	(581)
6.	Vehicles	1,547	14	13	1,548	732	161	9	-	884	664	815
		(1,392)	(168)	(13)	(1,547)	(525)	(189)	(10)	(28)	(732)	(815)	(867)
7.	Computers	608	40	43	605	457	79	23	-	513	92	151
		(514)	(96)	(2)	(608)	(300)	(132)	(-)	(25)	(457)	(151)	(214)
	TOTAL (A)	11,575	1,242	240	12,577	2,781	874	46	-	3,609	8,968	8,794
	TOTAL (Previous Year)	(10,675)	(916)	(16)	(11,575)	(1,788)	(851)	(11)	(153)	(2,781)	(8,794)	

NOTE 12.2 - FIXED ASSETS - INTANGIBLE

(₹ in Lakhs)

SR. No.	Particulars	GROSS BLOCK				DEPRECIATION / AMORTISATION					NET BLOCK	
		As at 1 April 2015	Additions	Deletions / Adjustments	As at 31 March 2016	Up to 1 April 2015	For the Year	On deletion / Adjustments	Transition adjustment recorded against Surplus balance in Statement of Profit and Loss	As at 31 March 2016	As at 31 March 2016	As at 31 March 2015
1	Computer Software	1,237	1,054	2	2,289	312	286	2	-	596	1,693	925
		(303)	(934)	(-)	(1,237)	(157)	(155)	(-)	(-)	(312)	(925)	(146)
	TOTAL (B)	1,237	1,054	2	2,289	312	286	2	-	596	1,693	925
	TOTAL (Previous Year)	(303)	(934)	(-)	(1,237)	(157)	(155)	(-)	(-)	(312)	(925)	
	GRND TOTAL (A+B)	12,812	2,296	242	14,866	3,093	1,160	48	-	4,205	10,661	9,718
	TOTAL (Previous Year)	(10,978)	(1,850)	(16)	(12,812)	(1,945)	(1,006)	(11)	(153)	(3,093)	(9,719)	

Note : Previous year figures are in brackets

Notes forming part of the consolidated financial statements

NOTE 13 - NON CURRENT INVESTMENTS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Investment in government or trust securities		
National Savings Certificates (₹25,200/- (Previous Year ₹25,200/-))	-*	-*
(b) Other non-current investments		
20 (Previous Year 20) Equity shares of Rupee Bank of ₹25 each (₹500/-(Previous Year ₹500/-))	-*	-*
Total	-*	-*

* Amount less than ₹1 lakhs

NOTE 14 - DEFERRED TAX ASSET / LIABILITY (NET)

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
A. Deferred Tax Liability (Net)		
Break up of deferred tax liability as at year end:		
Differences in book balances and tax balances of fixed assets	659	211
	659	211
B. Deferred Tax Assets (Net)		
Break up of deferred tax asset as at year end:		
a. Provision for compensated absences	134	139
b. Provision for Gratuity	71	79
c. Provision for Bonus	161	32
d. Carried forward tax losses	948	563
	1,314	813
Total	655	602

NOTE 15 - LONG TERM LOANS AND ADVANCES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(Unsecured, considered good)		
(a) Security deposits	5,531	4,384
(b) Prepaid expenses	14	3
(c) Advances given for real estate development	3,614	3,894
(d) Advance income tax (net of provisions)	4,586	3,398
Total	13,745	11,679

Notes forming part of the consolidated financial statements

NOTE 16 - OTHER NON CURRENT ASSETS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(Unsecured, considered good)		
Fixed Deposit with Bank held for more than 12 months	1,611	1,586
(Balance held as security against borrowing)		
Interest accrued on deposits	55	-
Other Advances (including Maintenance Charges Recoverable)	461	184
Total	2,127	1,770

NOTE 17 - CURRENT INVESTMENT

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(a) Investment in equity instruments	3	3
13,200 (previous year 13,200) Eq Shares of ₹24 each - Vijaya Bank		
(b) Investment in Mutual Funds- Quoted		
102.64 units of ₹1,528.74 each (Previous year - 9,837.90 of ₹1,528.74 each) of Reliance Liquid Fund - Treasury Plan - Daily Dividend Option	2	150
22.87 units of ₹100.29 each (Previous year 106,966.58 of ₹100.29 each) of Birla Sun Life Saving Fund - Daily Dividend - Direct Plan - Reinvestment	-*	107
237,954 units of ₹105.73 each (Previous year - 285,366.54 of ₹105.73 each)of ICICI Prudential Flexible Income - Daily Dividend	251	302
1,964.312 units of ₹1001.34 each (Previous year - 4,838.78 of ₹1001.12 each)of Baroda Pioneer Mutual Fund - Daily Dividend	20	48
Total	276	610

* Amount less than ₹1 lakhs

NOTE 18 - INVENTORIES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(At lower of cost and net realisable value)		
Raw Material	2,029	3,207
Land, plots and construction work-in-progress	1,70,111	1,41,816
Completed Finished Properties	1,675	1,696
Total	1,73,815	1,46,719

NOTE 19 - TRADE RECEIVABLES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(Unsecured, considered good)		
Trade receivables outstanding for a period exceeding six months from the date they were due for payment	2,247	3,088
Other Trade receivables (less than six months)	11,932	7,001
Total	14,179	10,089

Notes forming part of the consolidated financial statements

NOTE 20 - CASH AND CASH EQUIVALENTS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
A. Cash and cash equivalents		
i) Cash on hand	38	40
ii) Cheques, drafts on hand	1	2
iii) Balances with Banks:		
- Current Account	6,847	3,139
- Demand deposit accounts (Original Maturity of 3 months or less)	467	587
	7,353	3,768
B. Other bank balances		
i) In other Deposit accounts		
Fixed Deposit as a security against borrowing	841	246
(Original Maturity of more than 3 months and less than 12 months)		
ii) In earmarked accounts		
- Unpaid dividend accounts	37	36
	878	282
Total	8,231	4,050

NOTE 21 - SHORT TERM LOANS AND ADVANCES

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
(Unsecured, considered good)		
(a) Loans and advances to related parties (Refer note 37)	486	738
(b) Security deposits	87	157
(c) Prepaid Expenses	124	74
(d) Loans and advances to employees	71	114
(e) Balances with government authorities (Cenvat Credit receivable and Service tax credit receivable)	1,413	1,194
(f) Other short term loans and advances		
Advances to suppliers, contractors & Land Vendors	14,131	11,926
Advance given to India Advantage Fund III	-	3,100
Other Advances	108	52
Total	16,420	17,355

Note: Short Term Advances includes amount due from:

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Directors and their relatives	486	738
	486	738

Notes forming part of the consolidated financial statements

NOTE 22 - OTHER CURRENT ASSETS

(₹ in Lakhs)

Particulars	As at 31 March 2016	As at 31 March 2015
Interest accrued on deposits	886	55
Unbilled Revenue	1,954	694
Other Advance (Maintenance charges receivable)	34	-
Total	2,874	749

NOTE 23 - REVENUE FROM OPERATIONS

(₹ in Lakhs)

Particulars	For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Revenue from:		
Sale of Properties/ Flats (Residential and commercial)	66,431	63,797
Sale of Land	823	3,956
(b) Other operating revenues:		
Rent Income	105	130
Project Management Fees	154	369
Sale of Services	896	1,188
Modification, Extra Work & Other Receipts	129	224
Total	68,538	69,664

NOTE 24 - OTHER INCOME

(₹ in Lakhs)

Particulars	For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Interest Income from		
Deposits with banks and other investments	1,059	865
Customers/employees	16	11
(b) Dividend income from current investments (Mutual Fund)	110	219
(c) Miscellaneous Income	118	76
(d) Liabilities no longer required written back	164	-
Total	1,467	1,171

NOTE 25 - COST OF CONSTRUCTION/ DEVELOPMENT, LAND, PLOTS & DEVELOPMENTS RIGHTS

(₹ in Lakhs)

Particulars		For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Opening stock		1,43,512	1,26,940
Less : Completed unit transferred to Fixed Assets		-	(147)
	A	1,43,512	1,26,793
(b) Add: Cost incurred during the year			
Cost of land/ development rights		7,689	12,439
Consumption of material & transportation		32,439	11,111
Contract cost, labour and other charges		15,870	15,993
Other construction expenses		7,315	12,219
Personnel costs (Contract cost, labour and other charges)		2,169	1,589
Finance Cost (Refer note 27)		1,483	1,348
	B	66,965	54,699
(c) Less : Closing stock	C	1,71,786	1,43,512
Total	(A+B-C)	38,691	37,980

Notes forming part of the consolidated financial statements

NOTE 26 - EMPLOYEE BENEFITS EXPENSES

(₹ in Lakhs)

Particulars	For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Salaries and wages	3,689	3,878
(b) Contributions to provident and other funds	456	256
(c) Expenses on employee stock option scheme	10	35
(d) Staff welfare expenses	75	114
Total	4,230	4,283

NOTE 27 - FINANCE COST

(₹ in Lakhs)

Particulars	For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Interest expense on Borrowings	7,243	5,597
(b) Other borrowing costs	153	147
	7,396	5,744
Less: Transferred to cost of construction (Refer note 25)	1,483	1,348
Total	5,913	4,396

NOTE 28 - OTHER EXPENSES

(₹ in Lakhs)

Particulars	For the year ended 31 March 2016	For the year ended 31 March 2015
(a) Advertisement and Selling Expenses	3,912	4,057
(b) Lease rent	466	586
(c) Repair & Maintenance		
-Building	14	23
-Machinery	6	31
-Others	271	143
(d) Insurance	95	112
(e) Rates & Taxes	437	61
(f) Communication	101	114
(g) Travelling and conveyance	358	340
(h) Printing and Stationery	65	32
(i) Legal and professional	579	652
(j) Audit Fees (Refer note 30)	104	67
(k) Amount Written Off	1	1
(l) Net loss on foreign currency transactions and translation (other than considered as finance costs)	1	48
(m) Miscellaneous Expenses	682	697
(n) Expenditure on Corporate Social Responsibility	104	-
Total	7,196	6,964

Notes forming part of the consolidated financial statements

NOTE 29 - CONTINGENT LIABILITIES (TO THE EXTENT NOT PROVIDED FOR)

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
(a) Claims against the Company not acknowledged as debt *	2,136	2,134
(b) Income Tax matters (pending in Appeal)	1,504	1,599
(c) Guarantees issued by the Company on behalf of Subsidiary and joint venture companies**	20,000	21,800
(d) In relation to the Company's interests in joint ventures and its share in each of the contingent liabilities which have been incurred jointly with other ventures * (Refer Note 36)	-	35
Total	23,640	25,568

*in the opinion of the management the above claims are not sustainable and the Company does not expect any outflow of economic resources in respect of above claims and therefore no provision is made in respect thereof.

**The Company does not expect any outflow of resources in respect of the Guarantees issued.

NOTE 30 - AUDITORS REMUNERATION (NET OF SERVICE TAX) TOWARDS

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Audit Fees including fees for quarterly limited reviews	99	66
Other services	4	1
Reimbursement of expenses	1	-*
Total	104	67

* Amount is less than ₹1 lakh

NOTE 31 - DISCLOSURE AS REQUIRED BY GUIDANCE NOTE ON ACCOUNTING FOR REAL ESTATE TRANSACTIONS (REVISED 2012):

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
- Project revenue recognised as revenue for the year ended 31 March	66,431	63,797
- Methods used to determine the project revenue	Percentage of completion	Percentage of completion
- Method used to determine the stage of completion of the Project	% of actual cost to budgeted cost	% of actual cost to budgeted cost
- Aggregate amount of costs incurred and profits recognised to date as at 31 March	366,491	335,277
- Advances received as at 31 March	55,626	44,485
- Amount of work in progress as at 31 March	171,786	143,512
- Amount of Construction Materials as at 31 March	2,029	3,207
- Unbilled revenue as at 31 March	1,954	694
- Sundry Debtors as at 31 March	11,962	8,192

Notes forming part of the consolidated financial statements

NOTE 32 - EMPLOYEE BENEFITS

The details of employee benefits as required under Accounting Standard 15 'Employee Benefits' is given below

(A) Defined Contribution Plan:

Amount recognized as an expense in the Statement of Profit and Loss in respect of Defined Contribution Plans (Provident and other funds) is ₹370 lakhs (Previous year ₹126 lakhs)

(B) Defined benefit plan:

Gratuity is a defined benefit plan covering eligible employees. The plan provides for a lump sum payment to vested employees on retirement, death while in employment or termination of employment of an amount equivalent to 15 days salary for each completed year of service. Vesting occurs on completion of five years of service.

Disclosure as required under Accounting Standard – 15 (Revised) on "Employee Benefits" in respect of defined benefit plan is as under:

i. **Changes in the present value of defined obligation (DBO) during the year representing reconciliation of opening and closing balances thereof are as follows:**

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Present value of benefit obligation at the beginning of the year	551	413
Acquisition Cost	-	-
Current service cost	140	127
Past service cost	-	-
Interest cost	44	32
Curtailment cost / (credit)	-	-
Settlement cost / (credit)	-	-
Actuarial (gains) / losses	(80)	(13)
Benefits paid	(99)	(8)
Present value of Defined Benefit Obligation as on Balance Sheet date.	556	551

ii. **Changes in the fair value of plan assets during the year representing reconciliation of opening and closing balances thereof are as follows:**

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Fair value of Plan Assets at the beginning of the year	244	195
Acquisition adjustment	24	4
Expected return on plan assets	20	19
Actual company contributions	90	29
Actuarial gains and (losses)	(1)	(3)
Benefits paid	(97)	-
Plan assets as on the end of the year	280	244
Actual Returns on Plan Assets	20	16

iii. **Analysis of Defined Benefit Obligations**

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Defined benefit obligations as at 31 March	556	551
Fair value of plan assets at the end of the year	280	244
Net Asset/(Liability) recognised in Balance sheet as at 31 March	(276)	(307)

Notes forming part of the consolidated financial statements

NOTE 32 - EMPLOYEE BENEFITS (contd.)

iv. Reconciliation of present value of Defined Benefit Obligations and fair value of Plans assets showing amounts recognised in Balance sheet

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Present value of defined benefit obligation at End of the year	556	551
Fair value of plan assets	280	244
Funded status [Surplus/(Deficit)]	(276)	(307)
Unrecognized Past Service Costs	-	-
Net asset / (liability) recognised in the Balance Sheet	(276)	(307)

v. In respect of Funded Benefits with respect to gratuity, the fair value of Plan assets represents the amounts invested through "Insurer Managed Funds"

vi. Expenses recognized in the statement of profit and loss

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Current service cost	140	127
Interest cost	44	32
Past service cost	-	-
Expected return on plan assets	(20)	(19)
Net actuarial loss/(Gain) recognized in the year	(79)	(10)
Total expense recognised in the Statement of Profit and Loss	85	130

vii. Actual Contribution and benefit payments for the year

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Actual benefit paid directly by the company	-	-
Actual contributions	90	29

viii. Principal Actuarial Assumptions for gratuity

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Discount Rate	8.10%	7.80%
Rate of Increase in compensation levels of covered employees	9.00%	9.00%
Rate of Return on Plan Assets	8.50%	9.00%
Expected Average Remaining working lives of employees (Years)	16.28	16.36

a. The discount rate is based upon the market yields available on Government bonds at the accounting date with a term that matches that of the liabilities.

b. Expected Rate of Return of Plan Assets: This is based on the expectation of the average long term rate of return expected on investments of the Fund during the estimated term of obligations.

c. Salary Escalation Rate : The estimates of future salary increases considered takes into account the inflation, seniority, promotion and other relevant factors

Notes forming part of the consolidated financial statements

NOTE 32 - EMPLOYEE BENEFITS (contd.)

ix. Experience Adjustments

(₹ in Lakhs)

Experience History	31 March 2016	31 March 2015	31 March 2014	31 March 2013	31 March 2012
Defined Benefit Obligation at the end of the period	556	551	413	310	188
Plan Assets at the end of the period	280	244	195	96	22
Funded Status surplus / (deficit)	(276)	(307)	(218)	(214)	(167)
Experience adjustments on Plan Liabilities Loss / (Gain)	(56)	(55)	(13)	(23)	21
Experience adjustments on Plan Assets Loss / (Gain)	NIL	3	14	(1)	1

x. Actuarial assumptions for long-term compensated absences (Leave Salary)

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Discount Rate	8.10%	7.80%
Rate of Increase in compensation levels of covered employees	9.00%	9.00%
Expected Average Remaining working lives of employees (Years)	16.28	16.36

The discount rate is based upon the market yields available on Government bonds at the accounting date with a term that matches that of the liabilities.

NOTE 33 - SEGMENT INFORMATION

The Group is predominantly engaged in Real Estate. The operations of the company do not qualify for reporting as business segments as per the criteria set out under Accounting Standard 17 (AS-17) on “Segment Reporting”. The Group is operating in India hence there is no reportable geographic segment. Accordingly no disclosure is required under AS-17.

NOTE 34 - OPERATING LEASES

Where the Company is Lessee:

The Group has entered into operating lease arrangements for certain facilities and office premises. The leases are non-cancellable and range over a period of 2 years to 5 years and may be renewed for a further period based on mutual agreement of the parties. The lease agreements provide for an increase in the lease payments by 10% to 15% in few cases.

Rental expense for operating leases included in the Statement of Profit and Loss for the year is ₹466 lakhs [Previous Year - ₹586 Lakhs].

The future minimum lease payments under non-cancellable operating lease

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Not later than one year	534	555
Later than one year but not later than five years	1,564	861
Later than five years	550	-

Where the Company is Lessor:

The Group has entered into operating lease arrangements for certain surplus facilities. The leases are cancellable.

Rental income from operating leases included in the Statement of Profit and Loss for the year is ₹105 lakhs [Previous Year - ₹130 Lakhs].

Notes forming part of the consolidated financial statements

NOTE 35 - EARNINGS PER SHARE

(₹ in Lakhs)

Particulars	Year ended 31 March 2016	Year ended 31 March 2015
Net Profit attributable to shareholders (₹ in Lakhs)	5,908	6,532
Nominal value of equity shares – Rupees	10	10
Weighted average number of equity shares for basic EPS (in lakhs)	758	758
Weighted average number of equity shares for diluted EPS (in lakhs)	758	759
Basic earnings per share – Rupees	7.80	8.62
Diluted earnings per share – Rupees	7.80	8.61

NOTE 36 - PARTICULARS OF JOINT VENTURES

The Group has interests in the following jointly controlled entities (JCE):

Sr. No	Joint Venture Entity	Location	Principal activities	Ownership interest
1	Kolte-Patil I-Ven Townships (Pune) Limited (Township)	Pune, India	Development and construction of townships	45%
2	Corolla Realty Limited (Corolla) (Note 2)	Pune, India	Development and construction of townships	37%

Financial interest of the Group in jointly controlled entities is as under

(₹ in Lakhs)

Particulars	Township		Corolla	
	Year 2016	Year 2015	Year 2016 (Note 2)	Year 2015
Assets	27,654	25,131	-	6,806
Liabilities	23,097	19,550	-	3,011
Income	4,309	8,428	-	2,702
Expenses	5,359	7,816	-	1,765
Contingent Liabilities	-	-	-	35

Note 1 - The Company's share of assets, liabilities, income and expenditure has been included on the basis of audited financial statements of the above mentioned Joint venture entities

Note 2 - During the year, the Company has increased its stake from 37% to 100% in Corolla Realty Limited. Corolla Realty Limited is now a Wholly Owned Subsidiary of the Company.

Notes forming part of the consolidated financial statements

NOTE 37 - RELATED PARTY TRANSACTIONS

A. List of related Parties

Related Parties (as identified by the Management) are classified as:

i. Investing parties or joint venturers / Entities which can exercise significant influence over the Subsidiary/Joint ventures

1. IDBI Trusteeship Services Limited (Trustee of India Advantage Fund -III & IV)
2. Balakor Holdings Limited
3. Portman Advisory Private Limited
4. K2A Residential Limited
5. ASK Trusteeship Services Private Limited (Trustees of ASK Real Estate Special Opportunities Fund)
6. Kolte-Patil Enterprises
7. Portman Holding (Hyderabad) Limited

ii. Key Management Personnel and relatives of Key Management Personnel

a. Key Management Personnel

1. Mr. Rajesh Patil
2. Mr. Naresh Patil
3. Mr. Milind Kolte
4. Mrs. Sunita Kolte (Up to 30 June 2015)
5. Mrs. Vandana Patil (Up to 30 June 2015)
6. Mr. Sujay Kalele (Up to 31 December 2015)
7. Mrs. Shraddha Jain (up to 4 November 2015)
8. Mr. Atul Bohra (w.e.f. 5 November 2015)

b. Relatives of Key Management Personnel

1. Mr. Digambar Kolte
2. Mrs. Pramila Kolte
3. Mr. Pradeep Kolte
4. Mr. Sudhir Kolte
5. Mrs. Sunita Patil
6. Ms. Ankita Patil
7. Mr. Nirmal Kolte

B. Transactions with Related Parties

i. Related Party Transactions and Balance Outstanding

(₹ in Lakhs)

Transaction / Outstanding Balances	Investing parties or joint venturers / Entities which can exercise significant influence over the Subsidiary/Joint ventures	Key Management Personnel and their Relatives
I. Transactions during the year:		
Repayment of Advance for Land Purchase		252 (-)
Interest Paid on fixed Deposits		- (3)
Repayment of Fixed Deposits		- (22)
Advances given for land purchase		- (205)

Notes forming part of the consolidated financial statements

NOTE 37 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Investing parties or joint venturers / Entities which can exercise significant influence over the Subsidiary/Joint ventures	Key Management Personnel and their Relatives
Managerial Remuneration		544 (498)
Interest on Debentures	2,236 (3,064)	
Redemption of Debentures	700 (1,250)	
Interim Dividend paid on Equity Share Capital	1,950 (700)	
Project Management fees and Service Charges	14 (26)	
Buy back of equity shares	- (225)	
Premium on Buy back of Equity Shares	- (2,206)	
Loan Taken		225 (-)
Loans Repaid	188 (-)	
II. Balances at year end		
Advances given for land purchase		486 (738)
Advances received for land purchase		- (79)
Interest on Debentures payable	985 (712)	
Debenture Interest Paid in Advance	20 (-)	
Project Management and Service charges payable	10 (9)	
Loan Payable	839 (1,027)	225 (-)
Investment in Debentures	9,653 (10,353)	

Notes forming part of the consolidated financial statements

NOTE 37 - RELATED PARTY TRANSACTIONS (contd.)

ii. Details of material related party transactions:

(₹ in Lakhs)

Transaction / Outstanding Balances	Investing parties or joint venturers / Entities which can exercise significant influence over the Subsidiary/Joint ventures	Key Management Personnel and their Relatives
I. Transactions during the year:		
Repayment of Advance for Land Purchase		
Mr. Rajesh Patil		171 (-)
Mr. Milind Kolte		81 (-)
Advance Given for Land Purchase		
Mr. Pradeep Kolte		- (205)
Managerial remuneration		
Mr. Rajesh Patil		102 (69)
Mr. Naresh Patil		90 (60)
Mr. Milind Kolte		90 (61)
Mrs. Sunita Kolte		14 (60)
Mrs. Vandana Patil		14 (60)
Mr. Sujay Kalele		188 (126)
Mrs. Shraddha Jain		29 (23)
Mr. Atul Bohra		17 (-)
Interest on Debenture		
IDBI Trusteeship Services Limited (Trustees of India Advantage Fund – III)	441 (859)	
IDBI Trusteeship Services Limited (Trustees of India Advantage Fund – IV)	295 (572)	
Balakor Holdings Limited	295 (408)	
ASK Trusteeship Services Private Limited (Trustees of ASK Real Estate Special Opportunities Fund)	1,205 (1,225)	
Redemption of Debenture		
Balakor Holdings Limited	- (1,250)	
ASK Trusteeship Services Private Limited (Trustees of ASK Real Estate Special Opportunities Fund)	700 (-)	

Notes forming part of the consolidated financial statements

NOTE 37 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Investing parties or joint venturers / Entities which can exercise significant influence over the Subsidiary/Joint ventures	Key Management Personnel and their Relatives
Interim Dividend on Equity Share Capital		
Portman Holdings (Hyderabad) Limited	480 (700)	
K2A Residential Limited	1,470 (-)	
Project Management and Service Fees		
Portman Advisory Private Limited	14 (26)	
Buy Back of Equity shares		
K2A Residential Limited	- (225)	
Premium paid on Buy Back of Equity shares		
K2A Residential Limited	- (2,026)	
Loan Taken		
Mr. Naresh Patil		25 (-)
Mr. Sudhir Kolte		200 (-)
Loan Repaid		
Kolte-Patil Enterprises	188 (-)	
II. Balances at year end		
Advances for land purchase		
Mr. Rajesh Patil		- (171)
Mr. Naresh Patil		68 (68)
Mr. Milind Kolte		279 (360)
Mr. Pradeep Kolte		112 (112)
Mr. Nirmal Kolte		27 (27)
Payable for land purchases		
Mr. Naresh Patil		- (79)
Interest on Debenture – Payable		
Balakor Holdings Limited	323 (116)	

Notes forming part of the consolidated financial statements

NOTE 37 - RELATED PARTY TRANSACTIONS (contd.)

(₹ in Lakhs)

Transaction / Outstanding Balances	Investing parties or joint venturers / Entities which can exercise significant influence over the Subsidiary/Joint ventures	Key Management Personnel and their Relatives
IDBI Trusteeship Services Limited trustees of India Advantage Fund – III	397 (358)	
IDBI Trusteeship Services Limited trustees of India Advantage Fund – IV	265 (239)	
Debenture Interest Paid in Advance		
ASK Trusteeship Services Private Limited (Trustees of ASK Real Estate Special Opportunities Fund)	20 (-)	
Project Management and Service Fees Payable		
Portman Advisory Private Limited	10 (9)	
Loan Taken		
Mr. Naresh Patil		25 (-)
Mr. Sudhir Kolte		200 (-)
Kolte-Patil enterprises	839 (1,027)	
Debentures Investments		
Balakor Holdings Limited	1,967 (1,967)	
ASK Trusteeship Services Private Limited (Trustees of ASK Real Estate Special Opportunities Fund)	7,469 (8,169)	
IDBI Trusteeship Services Limited (Trustees of India Advantage Fund – III)	217 (217)	

Note: Figures in bracket relate to the previous year.

NOTE 38 - DOMESTIC TRANSFER PRICING

The Group enters into “domestic transactions” with specified parties that are subject to the Transfer Pricing regulations under the Income Tax Act, 1961 (‘regulations’). The pricing of such domestic transactions will need to comply with the Arm’s length principle under the regulations. These regulations, inter alia, also require the maintenance of prescribed documents and information including furnishing a report from an accountant which is to be filed with the Income tax authorities.

The Group has undertaken necessary steps to comply with the regulations. The management is of the opinion that the domestic transactions are at arm’s length, and hence the aforesaid legislation will not have any impact on the financial statements, particularly on the amount of tax expense and that of provision for taxation.

NOTE 39 - DETAILS OF EXPENDITURE ON CORPORATE SOCIAL RESPONSIBILITY

a) Gross amount required to be spent by the Company during the year is ₹491 lakhs (Previous Year:-₹409 lakhs).

b) Amount spend during the year ₹104 lakhs (Previous Year:- ₹Nil)

Notes forming part of the consolidated financial statements

NOTE 40

Trade receivables outstanding as at the balance sheet date include amounts of ₹2,247 lakhs relating to dues from certain parties that are outstanding for more than 6 months from the date they became due. As the Company continues to have business relationship and arrangements with these parties, the Company is confident of recovering these dues in the normal course of business. All these dues are considered good for recovery and hence no provision is considered necessary.

NOTE 41 - EMPLOYEE STOCK OPTION SCHEME

a) **Employee stock option scheme (ESOS 2014)**

The ESOS was approved by Board of Directors of the Company on 13 August 2014 and thereafter by the shareholders on 13 September 2014. A compensation committee comprising of independent directors of the company administers the ESOS plan. Each option carries with it the right to purchase one equity share of the company. The maximum exercise period is 3 year from the date of vesting.

b) **Number of options granted, exercised, cancelled / lapsed during the financial year are as follows**

Particulars	31 March 2016	31 March 2015
Options granted, beginning of the year	855,000	-
Granted during the year	350,000	855,000
Exercised during the year	-	-
Cancelled/lapsed during the year	1,155,000	-
Options granted, end of the year	50,000	855,000
Weighted Average remaining life	1.74 - 3.74 years	2.74 - 6.74 years

c) **The compensation cost of stock option granted to employees has been accounted by the Company using the intrinsic value method.**

The guidance note on accounting of employee share based payments issued by the Institute of Chartered Accountants of India requires the disclosure of pro forma net results and EPS both basic & diluted, had the Company adopted the fair value method. Had the Company accounted these options under fair value method, amortizing the stock compensation expense thereon over the vesting period, the reported profit for the year ended 31 March 2016 would have been lower by ₹6 lakhs (Previous year: ₹43 lakhs) and Basic and diluted EPS would have been revised to ₹7.79 per share (Previous year ₹8.56 per share) and ₹7.79 per share (Previous year ₹8.55 per share) respectively as compared to ₹7.80 per share (Previous year ₹8.62 per share) and ₹7.80 per share (Previous year ₹8.61 per share) without such impact.

d) The fair value of the stock option is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Binomial lattice option pricing model, considering the expected weighted average term of the options to be 1 year from the date of vesting, an expected dividend rate of 2% on the underlying equity shares, a risk free rate in the range of 7.70% - 8.50% and weighted average volatility in the share price in the range of 69.36% - 71.14%. The expected volatility is based on historical volatility of the share price after eliminating the abnormal price fluctuations. The forfeiture/lapse estimated rate is based on historical employee turnover rates and future lapse expectations.

Notes forming part of the consolidated financial statements

NOTE 42 - ADDITIONAL INFORMATION AS REQUIRED BY PARAGRAPH 2 OF THE GENERAL INSTRUCTIONS FOR PREPARATION OF CONSOLIDATED FINANCIAL STATEMENTS TO SCHEDULE III TO THE COMPANIES ACT, 2013

Name of the Entity	Net assets, i.e., total assets minus total liabilities		Share of profit or loss	
	As % of consolidated net assets	Amount (₹ in Lakhs)	As % of consolidated profit or loss	Amount (₹ in Lakhs)
Kolte-Patil Developers Limited	65.90% (72.01%)	75,668 (74,464)	24.37% (20.84%)	1,835 (2,123)
Subsidiaries				
Corolla Realty Limited	3.79% (2.63%)	4,419 (2,721)	21.66% (6.07%)	1,631 (618)
Tuscan Real Estate Private Limited	0.80% (0.95%)	930 (981)	0.18% (3.56%)	14 (363)
Bellflower Properties Private Limited	0.85% (1.33%)	993 (1,371)	5.76% (4.76%)	435 (485)
Kolte-Patil Real Estate Private Limited	2.64% (3.87%)	3,075 (4,005)	13.07% (22.97%)	984 (2,339)
Yashowardhan Promoters and Developers Private Limited	-0.30% (-0.30%)	-352 (-307)	-0.15% (-0.12%)	-11 (-12)
Regenesis Facility Management Company Private Limited	0.08% (0.08%)	95 (86)	0.21% (0.38%)	15 (39)
Regenesis Project Management Company Private Limited	- (-0.40%)	- (-413)	- (-0.54)	- (-55)
Lilac Hospitality Private Limited	- (-0.01%)	- (-14)	- (-0.05%)	- (-5)
Jasmine Hospitality Private Limited	0.00% (0.00%)	-4 (-1)	-0.02% (-0.01%)	-2 (-1)
Olive Realty Private Limited	0.15% (0.42%)	180 (435)	-1.38% (3.88%)	-104 (395)
Snowflower Properties Private Limited	2.42% (-0.07%)	2,826 (-72)	27.95% (-1.03%)	2,104 (-105)
PNP Retail Private Limited	-1.12% (-1.04%)	-1,309 (-1,071)	-3.19% (-3.66%)	-240 (-373)
PNP Agrotech Private Limited	0.15% (-0.05)	-158 (-54)	-0.68% (-0.70%)	-51 (-71)
Sylvan Acres Realty Private Limited	0.16% (-0.56%)	-192 (-574)	4.27% (3.77%)	322 (384)
Ankit Enterprises*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)
Kolte-Patil Homes*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)
KP-Rachana Real Estate LLP*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)
Sanjivani Interated Township LLP*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)

Notes forming part of the consolidated financial statements

NOTE 42 - ADDITIONAL INFORMATION AS REQUIRED BY PARAGRAPH 2 OF THE GENERAL INSTRUCTIONS FOR PREPARATION OF CONSOLIDATED FINANCIAL STATEMENTS TO SCHEDULE III TO THE COMPANIES ACT, 2013 (contd.)

Name of the Entity	Net assets, i.e., total assets minus total liabilities		Share of profit or loss	
	As % of consolidated net assets	Amount (₹ in Lakhs)	As % of consolidated profit or loss	Amount (₹ in Lakhs)
Bouvardia Developers LLP*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)
Carnation Landmarks LLP*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)
KP-SK Project Management LLP*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)
Lilac Hospitality LLP*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)
Regenesis Projects Management LLP*	0.00% (0.00%)	- (-)	0.00% (0.00%)	- (-)
Minority Interests in all subsidiaries	24.75% (18.62%)	28,861 (19,256)	21.54% (35.87%)	1,622 (3,653)
Joint Ventures (as per proportionate consolidation)				
Kolte-Patil I-ven Townships (Pune) Limited	1.34% (2.51%)	1,567 (2,594)	13.60% (4.01%)	-1,024 (408)
Total	**100.00% (100%)**	**116,599 (103,407)**	**100.00% (100%)**	**7,530 (10,185)**

*The Profit / (Loss) for the year and the Net Assets as at the end of the year of the Partnership Firm's and LLP's are included in the Standalone financials of the Company.

Previous year figures are in brackets

NOTE 43 -

On 11 December 2015, the Company has entered into an agreement with Metropolitan Lifespace Real Estate Developers Private Limited (MLREDPL), for redevelopment of Jay Vijay Society Co-operative Housing Society Limited in Vile Parle. The agreement defines the Company as "Developer" and MLREDPL as the "Co-Developer"

MLREDPL is contributing towards its share in the cost of the project, and will receive an identified area of the development as its return. This arrangement with the Co- Developer is a Jointly controlled operation.

NOTE 44 -

During the year, the Company has increased its stake in Corolla Realty Limited from 37% to 100%. Corolla Realty Limited is now a Wholly Owned Subsidiary of the Company.

Notes forming part of the consolidated financial statements

NOTE 45 -

The Board of Directors have approved the scheme of amalgamation of four Wholly Owned Subsidiaries namely Olive Realty Private Limited, Yashowardhan Promoters and Developers Private Limited, Corolla Realty Limited and Jasmine Hospitality Private Limited with Kolte-Patil Developers Limited. The Company has received the No Objection Certificate for the scheme from National Stock Exchange of India Limited and Bombay Stock Exchange Limited. The application has been filed in Hon'ble High Court, Mumbai and its approval is currently awaited. No effect of proposed amalgamation has been given in the financial statement for the year ended 31 March 2016 due to pending approval of the Hon'ble High Court, Mumbai.

NOTE 46 - PREVIOUS YEAR'S FIGURES

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure.

For and on behalf of the Board of Directors

Rajesh Patil
Chairman & Managing Director
(DIN:-00381866)

Milind Kolte
Executive Director
(DIN:-00170760)

Atul Bohra
Chief Financial Officer

Vinod Patil
Company Secretary

Place: Pune
Date: 28 May 2016

KOLTE-PATIL DEVELOPERS LIMITED

Corporate Identity Number (CIN): L45200PN1991PLC129428

Registered Office: 2nd Floor, City Point, Dhole Patil Road, Pune – 411001.

Tel. No.: +91 20 66226500 Fax No. +91 20 66226511 **Email ID:** investorrelation@koltepatil.com

Website: www.koltepatil.com

NOTICE

Notice is hereby given that the 25th ANNUAL GENERAL MEETING of KOLTE-PATIL DEVELOPERS LIMITED will be held at Yashwantrao Chavan Academy of Development Administration, MDC (Auditorium) Building, Raj Bhavan Complex, Baner Road, Pune – 411 007, Maharashtra, India, on Saturday, 17 September 2016 at 11.00 AM to transact the following business:

ORDINARY BUSINESS:

1. To consider and adopt:

(a) the Audited Financial Statement of the Company for the year ended 31 March 2016, the Report of the Board of Directors' and Auditors' thereon and

(b) the Audited Consolidated Financial Statement of the Company for the financial year ended 31 March 2016.

2. To declare a Final Dividend on Equity Shares for the financial year 2015-2016.

"**RESOLVED THAT** the Final Dividend of ₹1.50 per share on 7,57,74,909 equity shares of ₹10 each fully paid as recommended by the Board of Directors of the Company for the financial year 2015-2016 be and is hereby declared."

3. To appoint a Director in place of Mrs. Sunita M. Kolte (DIN 00255485) who retires by rotation and being eligible, offers herself for re-appointment.

4. To ratify the appointment of auditors of the Company, and to fix their remuneration and to pass the following resolution as an **Ordinary Resolution** thereof:

"**RESOLVED THAT** pursuant to Section 139, 142 and other applicable provisions of the Companies Act, 2013 and the Rules made thereunder, pursuant to the recommendations of the audit committee of the Board of Directors, and pursuant to the resolution passed by the members at the 24th Annual General Meeting held on 16 September 2015, the appointment of M/s. Deloitte Haskins & Sells LLP (LLP Registration No. AAB-8737, FRN - 117366W/W-100018), as the auditors of the Company to hold office till the conclusion of the AGM to be held in the calendar year 2018, be and is hereby ratified and that the Board of Directors be and is hereby authorized to fix the remuneration payable to them for the financial year ending 31 March 2017 as may be determined by the audit committee in consultation with the auditors, and that such remuneration may be paid on a progressive billing basis as may be agreed upon between the auditors and the Board of Directors."

Special Business:

5. To consider and if thought fit, to pass with or without modifications, the following resolution as an **Ordinary Resolution**:

"**RESOLVED THAT** pursuant to the provisions of Section 148(3) and other applicable provisions, if any, of the Companies Act, 2013 and The Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment(s) thereof, for the time being in force), the remuneration payable for the financial year 2015-2016 to M/s. Harshad S. Deshpande, Cost Accountants having Membership No. 25054 appointed by the Board of Directors of the Company to conduct the audit of the cost records of the Company for the financial year 2015-2016, amounting to ₹40,000/- (₹ Forty Thousand only) as also the payment of service tax and other taxes/ cess as applicable and re-imbursement of out of pocket expenses incurred by them in connection with the aforesaid audit be and is hereby ratified and confirmed."

6. To consider and if thought fit, to pass with or without modifications, the following resolution as an **Ordinary Resolution**:

"**RESOLVED THAT** pursuant to the Section 149, 152, 160 read with Schedule IV of the Companies Act, 2013 and the Companies (Appointment and Qualification of Directors) Rules, 2014 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Mr. Umesh Joshi (DIN-02557162), who was appointed as an Additional Director of the Company by the Board of Directors with effect from 28 May 2016 and who holds office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013 and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013 signifying his intention to propose Mr. Umesh Joshi as a candidate for the office of director and who has submitted a declaration that he meets the criteria for independence as provided in Section 149 (6) of the Companies Act, 2013 and who is eligible for appointment, be and is hereby appointed as Independent Director of the Company with effect from 17 September 2016 up to 16 September 2021, not liable to retire by rotation."

By Order of the Board

For **Kolte-Patil Developers Limited**

Place: Pune
Date: 28 May 2016

Vinod Patil
Company Secretary
(Membership No. A13258)

NOTES:

1. **A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote, on a poll, instead of himself and the proxy need not be a member of the Company. The proxy form, in order to be effective should be deposited at the Registered Office of the Company not later than 48 hours before the commencement of the meeting. Blank proxy form is attached to the Annual Report.**

2. The relevant Explanatory Statement pursuant to Section 102 of the Companies Act, 2013 in respect of the Special Business in the notice is annexed hereto.

3. The Profile of Director seeking re-appointment, as required in terms of Regulation 36(3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, is annexed to this Notice.

4. The Register of Members and Share Transfer Books of the Company will remain closed from Saturday, 10 September 2016 to Saturday, 17 September 2016 (both days inclusive).

5. Pursuant to Section 171 of the Companies Act, 2013, the Register of Directors and Key Managerial Personnel and their Shareholding, maintained under Section 170 of the Companies Act, 2013 will be available for inspection by the members at the venue of the Annual General Meeting.

6. The Register of Contracts or Arrangements, maintained under Section 189 of the Companies Act, 2013 will be available for inspection by the members at the Registered Office of the Company.

7. The Dividend would be payable within 30 days from date of declaration to the shareholders whose names appear in the Register of Members on 09 September 2016.

8. The Corporate members intending to send their authorized representatives to attend the Annual General Meeting are requested to send a duly certified copy of their Board Resolution authorizing their representatives to attend and vote at the Annual General Meeting.

9. The Members holding shares in physical form are requested to intimate the following directly to the Company's Registrar and Share Transfer Agent:

   (a) Change if any, in their address with Pin Code Number.

   (b) Quote their Ledger Folio No. in all their correspondence.

   (c) Send their Share Certificates for consolidation.

   (d) Request for nomination forms for making nominations as per Section 72 of the Companies Act, 2013, if not already intimated.

10. The Beneficial Owner(s) of dematerialized shares are requested to intimate change in their address to the concerned Depository Participant.

11. The Members are requested to note that dividend not encashed or not claimed within seven years from the date of transfer to the Company's Unpaid Account will, as per Section 205C of the Companies Act, 1956, be transferred to the Investor Education and Protection Fund (IEPF).

The details of unclaimed amounts are as follows:

Unclaimed Accounts	Date of transfer to unclaimed account	Unclaimed amount as on 31 March 2016 (Amount in INR)	Date of transfer to IEPF
Final dividend for FY 08-09	16 September 2009	4,69,880	15 September 2016
Final dividend for FY 09-10	16 September 2010	2,87,859	15 September 2017
Final dividend for FY 10-11	16 September 2011	4,19,056	15 September 2018
Final dividend for FY 11-12	16 September 2012	4,36,118	15 September 2019
Interim dividend for FY 12-13	30 November 2012	6,39,190	29 November 2019
Final dividend for FY 12-13	9 September 2013	3,04,778	8 September 2020
Interim dividend for FY 13-14	31 December 2013	5,22,669	30 December 2020
Final dividend for FY 13-14	22 October 2014	3,87,073	21 October 2021
Final dividend for FY 14-15	24 October 2015	2,70,191	23 October 2022

The list of investors or shareholders, who have not claimed dividend is available on the Company's website www.koltepatil.com under Investor Section.

The applicants/Members wishing to claim the unclaimed dividend are requested to correspond with the Compliance Officer or Registrar and Share Transfer Agent of the Company i.e. M/s. Bigshare Services Private Limited.

12. For registering/changing email address, Shareholders are requested to complete the online registration form – "Form for Registering/Changing E-mail Address" on the website of the Company www.koltepatil.com under the Investors section.

PROCEDURE FOR E-VOTING

In compliance with provisions of Section 108 of the companies Act, 2013 and Rule 20 of the Companies (Management and Administration) Rules, 2014, the Company is required to provide the e-voting facility to the members of the Company for the business to be transacted at the General Meeting of the Company. In this regards, the Company entered into agreement with Central Depository Services (India) Limited for providing the e-voting facility to the members of the Company.

The e-voting will commence on Wednesday, 14 September 2016 at 09.00 AM and will close on Friday, 16 September 2016 at 05.00 PM. The Company has appointed Mr. S.V. Deulkar, Partner of M/s. SVD & Associates, Company Secretaries, Pune as the Scrutinizer to scrutinize the e-voting process in a fair and transparent manner.

Shareholders who have already voted prior to the meeting date would not be entitled to vote at the meeting venue.

The procedure and instructions for the same are as follows:

The instructions for members for voting electronically are as under:

(i) The voting period begins on Wednesday, 14 September 2016 at 09.00 AM and ends on Friday, 16 September 2016 at 05.00 PM. During this period shareholders' of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date (record date) i.e. 10 September 2016 may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.

(ii) Log on to the e-voting website www.evotingindia.com

(iii) Click on Shareholders

(iv) Now Enter your User ID

a. For CDSL: 16 digits beneficiary ID,

b. For NSDL: 8 Character DP ID followed by 8 Digits Client ID,

c. Members holding shares in Physical Form should enter Folio Number registered with the Company.

(v) Next enter the Image Verification as displayed and Click on Login.

(vi) If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier voting of any company, then your existing password is to be used.

(vii) If you are a first time user follow the steps given below:

	For Members holding shares in Demat Form and Physical Form
PAN	Enter your 10 digit alpha-numeric PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders) ■ Members who have not updated their PAN with the Company/Depository Participant are requested to use the first two letters of their name and the 8 digits of the sequence number (refer serial no. printed on the name and address sticker/Postal Ballot Form/mail) in the PAN field. ■ In case the sequence number is less than 8 digits enter the applicable number of 0's before the number after the first two characters of the name in CAPITAL letters. E.g. If your name is Ramesh Kumar with serial number 1 then enter RA00000001 in the PAN field.
Dividend Bank Details OR Date of Birth (DOB)	Enter the Dividend Bank Details or Date of Birth (in dd/mm/yyyy format) as recorded in your demat account or in the company records in order to login. ■ If both the details are not recorded with the depository or company please enter the member id / folio number in the Dividend Bank details field as mentioned in instruction (iv).

(viii) After entering these details appropriately, click on "SUBMIT" tab.

(ix) Members holding shares in physical form will then reach directly the Company selection screen. However, members holding shares in demat form will now reach 'Password Creation' menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.

(x) For Members holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.

(xi) Click on the EVSN for Kolte-Patil Developers Limited.

(xii) On the voting page, you will see "RESOLUTION DESCRIPTION" and against the same the option "YES/NO" for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.

(xiii) Click on the "RESOLUTIONS FILE LINK" if you wish to view the entire Resolution details.

(xiv) After selecting the resolution you have decided to vote on, click on "SUBMIT". A confirmation box will be displayed. If you wish to confirm your vote, click on "OK", else to change your vote, click on "CANCEL" and accordingly modify your vote.

(xv) Once you "CONFIRM" your vote on the resolution, you will not be allowed to modify your vote.

(xvi) You can also take out print of the voting done by you by clicking on "Click here to print" option on the Voting page.

(xvii) If Demat account holder has forgotten the changed password then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.

(xviii) Shareholders can also cast their vote using CDSL's mobile app m-Voting available for android based mobiles. The m-Voting app can be downloaded from Google Play Store. Please follow the instructions as prompted by the mobile app while voting on your mobile.

(xix) Note for Non – Individual Shareholders and Custodians

- Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodian are required to log on to www.evotingindia.com and register themselves as Corporates.
- A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.
- After receiving the login details a Compliance User should be created using the admin login and password. The Compliance User would be able to link the account(s) for which they wish to vote on.
- The list of accounts linked in the login should be mailed to helpdesk.evoting@cdslindia.com and on approval of the accounts they would be able to cast their vote.
- A scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.

(xx) In case you have any queries or issues regarding e-voting, you may refer the Frequently Asked Questions ("FAQs") and e-voting manual available at www.evotingindia.com, under help section or write an email to helpdesk.evoting@cdslindia.com.

In case of members receiving the physical copy:

(A) Please follow all steps from sl. no. (i) to sl. no. (xix) above to cast vote.

(B) The voting period begins on Wednesday, 14 September 2016 at 09.00 AM and ends on Friday, 16 September 2016 at 05.00 PM. During this period shareholders' of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date (record date) of 10 September 2016, may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.

(C) In case you have any queries or issues regarding e-voting, you may refer the Frequently Asked Questions ("FAQs") and e-voting manual available at www.evotingindia.com under help section or write an email to helpdesk.evoting@cdslindia.com.

The Scrutinizer shall within a period not exceeding three (3) working days from the conclusion of the e-voting period, unblock the votes in the presence of at least (2) witnesses not in the employment of the Company and make a Scrutinizer's report of the votes cast in favour or against, if any, to the chairman of the Company.

The Results declared along with Scrutinizer's Report shall be placed on the Company's website www.koltepatil.com within two (2) working days of passing of the resolutions at the AGM of the Company and shall be communicated to National Stock Exchange of India Limited and BSE Limited.

REQUEST TO MEMBERS

Members desirous of getting any information/clarification on the Accounts and operations of the Company or intending to raise any query are requested to forward the same at least 10 days in advance of the meeting to the Compliance Officer so that, the same may be attended appropriately.

Members are requested to bring the Attendance Slip duly filled in for attending the meeting, with identity proof.

Explanatory Statement pursuant to Section 102 of the Companies Act, 2013

ITEM NO. 05

The Board of Directors of the Company on the recommendation of the Audit Committee, approved the appointment and remuneration of M/s Harshad S. Deshpande, Cost Accountants, to conduct the audit of the cost records of the Company for the financial year ended 31 March 2016. In terms of the provisions of Section 148(3) of the Companies Act, 2013 read with Rule 14(a)(ii) of The Companies (Audit and Auditors) Rules, 2014, the remuneration payable to the Cost Auditor is to be ratified by the Members of the Company. Accordingly, the Members are requested to ratify the remuneration payable to the Cost Auditors for the year ended 31 March 2016 as set out in the Resolution for the aforesaid services to be rendered by them.

None of the Directors, Key Managerial Personnel of the Company and their relatives, is in any way concerned or interested in the said Resolution.

The Board of Directors recommend the Ordinary Resolution set out at Item No. 05 of the Notice for approval by the Members.

ITEM NO. 06

Mr. Umesh Joshi was appointed as an Additional Director by the Board with effect from 28 May 2016, pursuant to Section 161 of the Companies Act, 2013, read with Article 148 of the Articles of Association of the Company. Pursuant to the provisions of Section 161 of the Companies Act, 2013, Mr. Umesh Joshi will hold office up to the date of ensuing Annual General Meeting. The Company has received notice in writing under the provisions of Section 160 of the Companies Act, 2013, from a member along with a deposit of ₹100,000/- proposing the candidature of Mr. Umesh Joshi for the office of Independent Director, to be appointed under the provisions of Section 149 of the Companies Act, 2013 with effect from 17 September 2016 up to 16 September 2021 (i.e. for a term of five consecutive years from the conclusion of the ensuing 25th Annual General Meeting).

Mr. Umesh Joshi has given a declaration to the Board that he meets the criteria of independence as provided under Section 149(6) of the Act. In opinion of the Board, Mr. Umesh Joshi fulfils the conditions specified in the Act and the Rules framed thereunder for appointment as Independent Director and he is independent of the management.

In compliance with the provisions of Section 149 read with Schedule IV of the Act, the appointment of Mr. Umesh Joshi as Independent Director is being placed before the shareholders for their approval.

The terms and conditions of appointment of Mr. Umesh Joshi are available for inspection to the shareholders of the Company for all working days at Registered Office between 09.00 AM and 11.00 AM up to the date of this Annual General Meeting.

A brief resume of Mr. Umesh Joshi is given in the Notice of this Annual General Meeting.

None of the Directors, Key Managerial Personnel except Mr. Umesh Joshi of the Company and their relatives, is in any way concerned or interested in the said Resolution.

The Board of Directors recommend an Ordinary Resolution set out at Item No. 06 of the Notice for approval by the Members.

By Order of the Board
For Kolte-Patil Developers Limited

Place: Pune
Date: 28 May 2016

Vinod Patil
Company Secretary
(Membership No. A13258)

The Profile of Director seeking appointment/re-appointment, as required in terms of Regulation 36 (3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Name of the Director	Mrs. Sunita M. Kolte	Mr. Umesh Joshi
Designation	Non-Executive Director	Additional Director (Independent)
Director Identification Number	00255485	02557162
Age (in years)	48	64
Date of appointment	15 April 1995	28 May 2016
Qualification	B. Com	B. E. (Civil), M. Tech. (Structrues) IIT Bombay, F. I. E.
Expertise in specific functional area	Total experience of more than 22 years in Real Estate Industry for sales promotion, advertisement, publicity and public relations for the Company	Total experience of 40 years in the field of structural Engineering. Under his leadership, his firm has provided structural designs and consultancy for almost all the builders/developers/architects in Pune, Mumbai and other cities like Kolkata, Bangalore, Delhi etc in India as well as some locations out of India also such as Bhutan, Tanzania, UAE, Kenya etc. Majority of the recent high rise buildings, commercial and residential projects, hotels and retail projects are being constructed in Pune and Mumbai are using structural designs of his firm.
Names of listed entities in which the person holds the directorship and the membership of Committees of the board	NIL	NIL
Relationship with other Directors	Wife of Mr. Milind Kolte *Executive Director* Sister of Mr. Rajesh Patil *Chairman and Managing Director* and Mr. Naresh Patil *Vice Chairman*	NIL
Number of shares held in the Company	55,39,553	NIL

KOLTE-PATIL DEVELOPERS LIMITED
Corporate Identity Number (CIN): L45200PN1991PLC129428
Registered Office: 2nd Floor, City Point, Dhole Patil Road, Pune – 411001.
Tel. No.: +91 20 66226500 Fax No. +91 20 66226511 **Email ID:** investorrelation@koltepatil.com
Website: www.koltepatil.com

ATTENDANCE SLIP

25th Annual General Meeting
Saturday, 17 September 2016 at 11.00 AM

DP ID No.	L.F No.
Client ID No.	No. of Shares held

I/We hereby record my/our presence at the 25th Annual General Meeting of the Company held at Yashwantrao Chavan Academy of Development Administration, MDC (Auditorium) Building, Raj Bhavan Complex, Baner Road, Pune – 411 007, Maharashtra, India, on Saturday, 17 September 2016 at 11.00 AM.

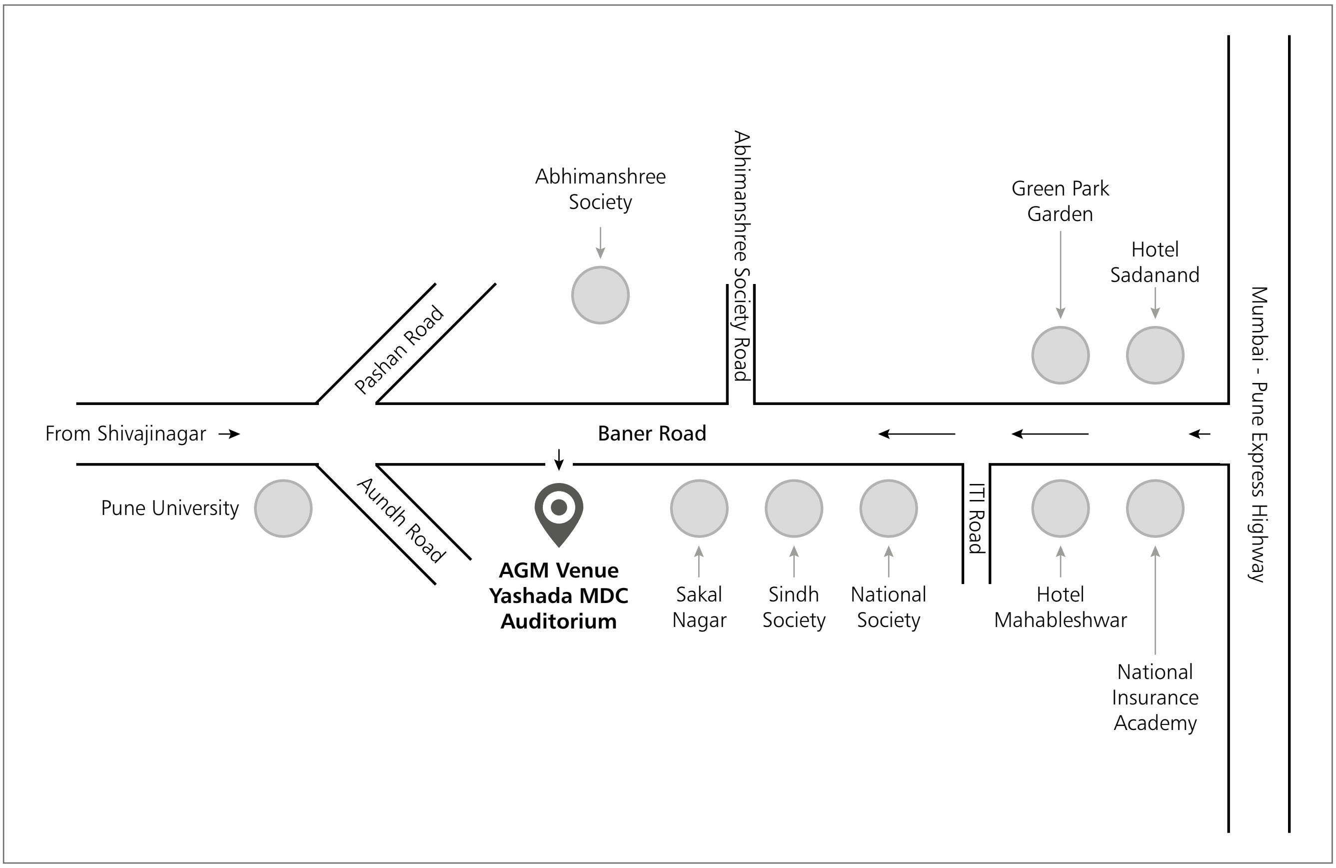
Name of Attending Member/Proxy

Signature of the Attending Member/Proxy

Note:

Please fill up this attendance slip and hand it over at the entrance of the meeting hall. Members are requested to bring this slip for the meeting.

MAP OF VENUE


Abhimanshree Society
Abhimanshree Society Road
Green Park Garden
Hotel Sadanand
Mumbai - Pune Express Highway
Pashan Road
From Shivajinagar
Baner Road
Pune University
Aundh Road
AGM Venue Yashada MDC Auditorium
Sakal Nagar
Sindh Society
National Society
ITI Road
Hotel Mahableshwar
National Insurance Academy

Form No. MGT-11

PROXY FORM

[Pursuant to section 105(6) of the Companies Act, 2013 and rule 19(3) of the Companies (Management and Administration) Rules, 2014]

CIN: **L45200PN1991PLC129428**

Name of the company: **KOLTE-PATIL DEVELOPERS LIMITED**

Registered office: **2nd Floor, City Point, Dhole- Patil Road, Pune – 411001**

Name of the Member(s):
Registered Address:
Email ID:
Folio No/Client Id:
DP ID:

I/ We, being the Member(s) of ________________ shares of the above named Company, hereby appoint

1	Name	
	Address	
	E-mail address	
	Signature	

Or failing him/her

2	Name	
	Address	
	E-mail address	
	Signature	

Or failing him/her

3	Name	
	Address	
	E-mail address	
	Signature	

as my/our Proxy to attend and vote (on a poll) for me/us and on my/our behalf at 25th Annual General Meeting of the Company, to be held on Saturday, 17 September 2016 at 11.00 AM at Yashwantrao Chavan Academy of Development Administration, MDC (Auditorium) Building, Raj Bhavan Complex, Baner Road, Pune – 411 007, Maharashtra, India, or any adjournment thereof in respect of such resolutions as are indicated below:

Resolution Nos.

Item No.	Description
ORDINARY BUSINESS:	
1	To consider and adopt: (a) the Audited Financial Statement of the Company for the year ended 31 March 2016, the Report of the Board of Directors' and Auditors' thereon and (a) the Audited Consolidated Financial Statement of the Company for the financial year ended 31 March 2016.
2	To declare a Final Dividend on Equity Shares for the financial year 2015-2016
3	To appoint a Director in place of Mrs. Sunita Kolte (DIN 00255485) who retires by rotation and being eligible, offers herself for re-appointment
4	Appointment of M/s. Deloitte Haskins and Sells LLP as Statutory Auditors of the Company
SPECIAL BUSINESS:	
5	To ratify the appointment and remuneration of M/s Harshad S. Deshpande, Cost Auditor of the Company for the financial year 2015-2016
6	To consider and approve appointment of Mr. Umesh Joshi (DIN-02557162) as an Independent Director for a period of five years from the conclusion of 25th Annual General Meeting

Signed this _________day of _______________________ 2016.

Affix Revenue Stamp

Signature of the shareholder ____________________________

Signature of Proxy holder(s) _____________________________

Note:

This form of Proxy Form in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the meeting.

KOLTE-PATIL DEVELOPERS LIMITED

Corporate Identity Number (CIN): L45200PN1991PLC129428

Registered Office: 2nd Floor, City Point, Dhole Patil Road, Pune – 411001.

Tel. No.: +91 20 66226500 Fax No. +91 20 66226511 **Email ID:** investorrelation@koltepatil.com

Website: www.koltepatil.com

BALLOT FORM

(In lieu of E-voting)

Sr. No.____________

1	Name	
	Registered Address of the sole/first named shareholder	
2	Name(s) of the Joint Shareholder(s), if any	
3	Registered Folio No./ DPID & Client ID No.	
4	No. of Shares held	

I/We, hereby exercise my/our vote in respect of the Resolution(s) to be passed for the business stated in the Notice of 25th Annual General Meeting of the Company to be held on Saturday, 17 September 2016, by conveying my/our assent or dissent to the said Resolution(s) by placing the tick (√) mark at the appropriate box below.

Item No.	Description	No. of equity shares	I/We assent to the resolution (For)	I/We dissent to the resolution (Against)
ORDINARY BUSINESS:				
1	To consider and adopt : (a) the Audited Financial Statement of the Company for the year ended 31 March 2016, the Report of the Board of Directors' and Auditors' thereon and (b) the Audited Consolidated Financial Statement of the Company for the financial year ended 31 March 2016.			
2	To declare a Final Dividend on Equity Shares for the financial year 2015-16			
3	To appoint a Director in place of Mrs. Sunita M. Kolte (DIN 00255485) who retires by rotation and being eligible, offers herself for re-appointment			
4	Appointment of M/s. Deloitte Haskins and Sells LLP as Statutory Auditors of the Company			
SPECIAL BUSINESS:				
5	To ratify the appointment and remuneration of M/s Harshad S Deshpande, Cost Auditor of the Company for the financial year 2015-16			
6	To consider and approve appointment of Mr. Umesh Joshi (DIN - 02557162) as an Independent Director for a period of five years from the conclusion of 25th Annual General Meeting			

Place:

Date:

Signature of the member

Note: Kindly read the instructions printed overleaf before filling the form. Valid Ballot Forms received by the Scrutinizer by 05.00 PM on 16 September 2016 shall only be considered.

INSTRUCTIONS

1. Members may fill up the Ballot Form printed overleaf and submit the same in a sealed envelope to the Scrutinizer, Mr. S.V. Deulkar, Partner of M/s. SVD & Associates, Company Secretaries, Pune at 4th Floor, Vedwati Apartments, Shivaji Nagar, Pune – 411005 so as to reach by 05.00 PM on 16 September 2016. Ballot Form received thereafter will strictly be treated as if not received.
2. The Company will not be responsible if the envelope containing the Ballot Form is lost in transit.
3. Unsigned, incomplete or incorrectly ticked forms are liable to be rejected and the decision of the Scrutinizer on the validity of the forms will be final.
4. A Member can opt for only one mode of voting i.e. either through e-voting or by the Ballot. If a Member casts votes by both modes, then voting done through e-voting shall prevail and the Ballot Form shall be treated as invalid.
5. The right of voting by Ballot Form shall not be exercised by a proxy.
6. To avoid fraudulent transactions, the identity/signature of the Members holding shares in electronic/demat form is verified with the specimen signatures furnished by NSDL/ CDSL and that of Members holding shares in physical form is verified as per the records of the of the Company. Members are requested to keep the same updated.
7. There will be only one Ballot Form for every Folio/ DP ID Client ID irrespective of the number of joint holders.
8. In case of joint holders, the Ballot Form should be signed by the first named shareholder and in his/her absence by the next named shareholder. Ballot form signed by a joint holder shall be treated valid if signed as per records available with the Company and the Company shall not entertain any objection on such Ballot Form signed by other joint holders.
9. Where the Ballot Form has been signed by an authorized representative of the body corporate/Trust/Society, etc., a certified copy of the relevant authorization/Board resolution to vote should accompany the Ballot Form.
10. The voting rights of Members shall be in proportion to their shares of the paid up equity share capital of the Company as on 10 September 2016.
11. Instructions for e-voting procedure are available in the Notice of Annual General Meeting and are also placed on the website of the Company.

Caution regarding forward-looking statements

This document contains statements about expected future events and financial and operating results of Kolte-Patil Developers Limited, which are forward-looking. By their nature, forward-looking statements require the Company to make assumptions and are subject to inherent risks and uncertainties. There is significant risk that the assumptions, predictions and other forward-looking statements will not prove to be accurate. Readers are cautioned not to place undue reliance on forward-looking statements as a number of factors could cause assumptions, actual future results and events to differ materially from those expressed in the forward-looking statements. Accordingly, this document is subject to the disclaimer and qualified in its entirety by the assumptions, qualifications and risk factors referred to in the management's discussion and analysis of the Kolte-Patil Developers Limited Annual Report 2015-16.

Registered office

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